KAPLAN

FINANCIAL

ATT

PAPER 2

Business Tax

INCOME TAX AND CGT

Study Manual

FA22

May and November 2023 sittings

PRODUCED BY TOLLEY EXAM TRAINING ON BEHALF OF

KAPLAN FINANCIAL

CONTENTS

INCOME TAX

CAPITAL GAINS TAX

DETAILED CONTENTS

INCOME TAX

USEFUL LEGISLATION LIST

INCOME TAX

TMA 1970

7(1), 8(1D, F, G), 9(1, 2), 9ZA(2, 3), 9ZB(1, 3), 9A(2, 3), 12B(1a, 2, 5), 59A(2, 4), 59B(1, 3, 4),	Income Tax self assessment

FA 2007

Sch 24 paras 2, 3, 4, 5, 9, 10, 11, 14	Penalties for incorrect returns

FA 2008

Sch 41 paras 5–7, 12–13, 16–18, 20	Penalties for late notification

FA 2009

Sch 55 paras 1–6, 14–16, 23	Penalties for late returns
Sch 56 paras 1, 3, 5–10, 16	Penalties for late payments

HMRC Codes of Practice and Factsheets

CC/FS7A	Penalties for incorrect returns
CC/FS11	Penalties for failure to notify
CC/FS18A	Penalties for late returns

CAPITAL GAINS TAX

TCGA 1992

28(1, 2)	Date of disposal
42	Part disposal formula
44	Definition of wasting asset
117	Definition of QCB
152–155	Rollover relief (inc qualifying assets)
165, 165A, 166(1), 168(1, 4, 5)	Gift relief (inc qualifying assets)
169H–169S	Business asset disposal relief
169SB-SH	Business asset disposal relief where company ceases to be individual's personal trading company
169VA-VY	Investors' relief
286 (2, 3, 4, 8)	Connected persons

SPs

D12	Partnerships

ATT EXAMINATIONS
2023
TAX TABLES

INCOME TAX

	2022/23
Rates (Note 1)	%
Starting rate for savings income only	0
Basic rate for non-savings and savings income only	20
Higher rate for non-savings and savings income only	40
Additional and trust rate for non-savings and savings income only	45
Dividend ordinary rate	8.75
Dividend upper rate	33.75
Dividend additional rate and trust rate for dividends	39.35

Thresholds	£
Savings income starting rate band	1 – 5,000
Basic rate band	1 – 37,700
Higher rate band	37,701 – 150,000
Dividend Allowance	2,000
Savings Allowance	
– Taxpayer with basic rate income	1,000
– Taxpayer with higher rate income	500
– Taxpayer with additional rate income	Nil
Standard rate band for trusts	1,000

Scottish Tax Rates and Thresholds (Note 2)

£	%
1 – 2,162	19
2,163 – 13,118	20
13,119 – 31,092	21
31,093 – 150,000	41
150,000 +	46

Reliefs	£
Personal allowance (Note 3)	12,570
Married couple's allowance (Note 4)	9,415
– Maximum income before abatement of relief - £1 for £2	31,400
– Minimum allowance	3,640
Transferable tax allowance for married couples and civil partners (Note 5)	1,260
Blind person's allowance	2,600
Enterprise investment scheme relief limit (Relief at 30%) (Note 6)	1,000,000
Venture capital trust relief limit (Relief at 30%)	200,000
Seed enterprise investment scheme relief limit (Relief at 50%)	100,000
Social investment relief limit (Relief at 30%)	1,000,000

Notes:
(1) Welsh taxpayers pay income tax using the same rates and thresholds as other UK (but not-Scottish) taxpayers.
(2) Scottish taxpayers pay Scottish income tax on non-savings income.
(3) The personal allowance of an individual with adjusted net income above £100,000 is reduced by £1 for every £2 of adjusted net income above the £100,000 limit.
(4) Only available where at least one partner was born before 6 April 1935. Relief restricted to 10%.
(5) The recipient must not be liable to tax above the basic rate. The recipient is eligible for a tax reduction of 20% of the transferred amount.
(6) The limit is £2 million, where over £1 million is invested in knowledge-intensive companies.

ISA limits	**Maximum subscription**
	£
'Adult' ISAs	20,000
Junior ISAs	9,000

ATT EXAMINATIONS
2023
TAX TABLES

Pension contributions

Basic amount qualifying for tax relief £3,600

	Annual allowance (Note 1)	Lifetime allowance	Minimum pension age
	£	£	
2022/23	40,000	1,073,100	55

Note: (1) The annual allowance is tapered by £1 for every £2 of adjusted income above £240,000 for individuals with threshold income above £200,000. It cannot be reduced below £4,000.

ITEPA mileage rates

Vehicles		
Car or van (Note 2)	First 10,000 business miles	45p
	Additional business miles	25p
Motorcycles		24p
Bicycles		20p
Passenger payments		5p

Note: (2) For NIC purposes, a rate of 45p applies irrespective of mileage.

Company cars and fuel – 2022/23

Emissions	**Electric range (miles)**	**Car benefit %** (Note 3)	
0g/km	N/A	2%	
1-50g/km	>130	2%	
1-50g/km	70-129	5%	
1-50g/km	40-69	8%	
1-50g/km	30-39	12%	
1-50g/km	<30	14%	
51-54g/km		15%	
55-59g/km		16%	
60-64g/km		17%	
65-69g/km		18%	
70-74g/km		19%	
75g/km or more		20%	+ 1% for every additional whole 5g/km above 75g/km
160g/km or more		37%	

Note: (3) 4% supplement for diesel cars, excluding those that meet the Real Driving Emissions Step 2 (RDE2) standard (not to exceed maximum of 37%).

Fuel benefit base figure £25,300

Taxable benefits for vans – 2022/23	**£**
Van benefit – No CO_2 emissions	Nil
Van benefit – CO_2 emissions > 0g/km	3,600
Fuel benefit	688

Official rate of interest - 2022/23 2%

ATT EXAMINATIONS
2023
TAX TABLES

Childcare

Employer supported childcare – basic rate taxpayer (Note 1)	£55 per week

Note: (1) For schemes joined on or after 6 April 2011 the exempt childcare amounts for higher and additional rate taxpayers (based on the employer's earning assessment only) are £28 and £25 respectively.

STUDENT AND POSTGRADUATE LOAN RECOVERY

Student Loans

	Plan 1	**Plan 2**	**Plan 4**
Employee earnings threshold	£1,682 per month	£2,274 per month	£2,114 per month

Rate of deductions is 9% of earnings above the threshold rounded down to the nearest whole pound.

Postgraduate Loans

Employee earnings threshold	£1,750 per month

Rate of deductions is 6% of earnings above the threshold rounded down to the nearest whole pound.

STATUTORY PAYMENTS

Statutory sick pay		**Weekly rate**
Average weekly gross earnings	£123.00 or more	£99.35

Statutory maternity/adoption pay	First 6 weeks @ 90% of AWE Next 33 weeks @ the lower of £156.66 and 90% of AWE
Statutory shared parental pay /paternity pay/parental bereavement pay	For each qualifying week, the lower of 90% of AWE and £156.66

QUALIFYING CARE RELIEF

	Flat rate	**Placement < 11**	**Placement ≥ 11**
Year to 5 April 2023	£10,000 per year	£200 per week	£250 per week

CHILD BENEFIT

Year to 5 April 2023

Rates	**Weekly rate**
	£
First child	21.80
Each subsequent child	14.45

Child benefit charge	**Withdrawal rate**
Adjusted net income >£50,000	1% of benefit per £100 of income between £50,000 and £60,000
Adjusted net income >£60,000	Full child benefit amount assessable in that tax year

HMRC INTEREST RATES

Late payment interest	3.5%
Underpaid corporation tax instalments interest	2.00%
Repayment interest	0.5%
Credit interest	0.5%

ATT EXAMINATIONS
2023
TAX TABLES

NATIONAL INSURANCE CONTRIBUTIONS — 2022/23

Class 1 limits	Annual £	Monthly £	Weekly £
Lower earnings limit (LEL)	6,396	533	123
Primary threshold (PT) (Notes 1 and 2)	11,908	1,048	242
Secondary threshold (ST)	9,100	758	175
Upper earnings limit (UEL)	50,270	4,189	967
Upper secondary threshold for U21 (UST)	50,270	4,189	967
Apprentice upper secondary threshold for U25 (AUST)	50,270	4,189	967

Note: (1) The monthly and weekly primary thresholds were £823 and £190 respectively until 5 July 2022.

(2) Due to the increase in the primary threshold part way through the 2022/23 tax year, for the purposes of the Annual Maxima Test 1 calculation, the primary threshold amount to use in Step 1 is £229.

	2022/23
Employment allowance	
Per year, per employer	£5,000
Class 1 primary contribution rates	
Earnings between PT and UEL	13.25%
Earnings above UEL	3.25%
Class 1 secondary contribution rates	
Earnings above ST (Notes 3 & 4)	15.05%

Notes: (3) The rate of secondary NICs for employees under the age of 21 on earnings between the ST and UST is 0%.

(4) The rate of secondary NICs for apprentices under the age of 25 on earnings between the ST and AUST is 0%.

Other contribution limits and rates

Class 1A contributions	15.05%
Class 1B contributions	15.05%
Class 2 contributions	
Normal rate	£3.15 pw
Small profits threshold (Note 5)	£6,725 pa
Lower profits limit (LPL) (Note 5)	£11,908 pa

Note: (5) Class 2 NICs are only payable where profits exceed the LPL. However, where profits are between the small profits threshold and the LPL, there will be an entitlement to contributory benefits.

Class 3 contributions	£15.85 pw
Class 4 contributions	
Annual lower profits limit (LPL)	£11,908
Annual upper profits limit (UPL)	£50,270
Percentage rate between LPL and UPL	10.25%
Percentage rate above UPL	3.25%

SIMPLIFICATION MEASURES

'Rent-a-room' limit	£7,500
Property allowance/Trading allowance	£1,000

ATT EXAMINATIONS
2023
TAX TABLES

FLAT RATE EXPENSES FOR UNINCORPORATED BUSINESSES

Motoring expenses	First 10,000 business miles		45p per mile
	Additional business mile		25p per mile
Business use of home	25 – 50 hours use		£10 per month
	51 – 100 hours use		£18 per month
	101+ hours use		£26 per month
Private use of business premises	No of persons living there:	1	£350 per month
		2	£500 per month
		3+	£650 per month

CASH BASIS

Turnover threshold to join scheme	£150,000
Turnover threshold to leave scheme	£300,000

CAPITAL ALLOWANCES

Annual investment allowance for plant and machinery (AIA) (Note 1)	100%
WDA on plant and machinery in main pool (Note 2)	18%
WDA on plant and machinery in special rate pool (Note 3)	6%
WDA on structures and buildings (SBA)	3%

Notes: (1) 100% on the first £1,000,000 of investment in plant and machinery (except cars) from 1 January 2019 to 31 March 2023 (£200,000 from 1 April 2023).
(2) The main pool rate applies to cars with CO_2 emissions of not more than 50g/km (prior to April 2021 not more than 110g/km).
(3) The special pool rate applies to cars with CO_2 emissions greater than 50g/km (prior to April 2021 not more than 110g/km).

100% First year allowances (FYA) available to all businesses
Capital expenditure incurred by a person on research and development.
New zero-emission goods vehicles.
New cars if the car either emits 0g/km of CO_2 or it is electrically propelled.
Electric vehicle charging points expenditure.

Super- deduction available to companies
Additional FYA for companies incurring expenditure on new plant and machinery (other than cars) between 1 April 2021 to 31 March 2023:

FYA for assets in main pool	130%
FYA for assets in special rate pool	50%

VALUE ADDED TAX

Standard rate	20%	VAT fraction	1/6

Limits	**From 1.4.22**
Annual registration limit	£85,000
De-registration limit	£83,000

Thresholds	**Cash accounting**	**Annual accounting**
Turnover threshold to join scheme	£1,350,000	£1,350,000
Turnover threshold to leave scheme	£1,600,000	£1,600,000

ADVISORY FUEL RATES (as at 1 March 2022)

Engine size	**Petrol**	**LPG**	**Engine size**	**Diesel**
1400cc or less	13p	8p	1600cc or less	11p
1401cc to 2000cc	15p	10p	1601cc to 2000cc	13p
Over 2000cc	22p	15p	Over 2000cc	16p

Electricity rate 5p

ATT EXAMINATIONS
2023
TAX TABLES

CORPORATION TAX

Financial year	**2023**	**2022 and 2021**
Main rate	25%	19%
Standard small profits rate	19%	N/A
Augmented profit limit for standard small profits rate	£50,000	N/A
Augmented profit limit for marginal relief	£250,000	N/A
Standard marginal relief fraction	3/200	N/A
Marginal rate	26.5%	N/A
Patent rate	10%	10%

Research and development expenditure

Small and medium sized enterprises (SMEs) (Note 1)	230%
Large companies – RDEC	13%

Note: (1) SMEs must have < 500 employees and *either* turnover ≤ €100m or assets ≤ €86m.

INHERITANCE TAX

Death rate	40% (Note 2)	**Lifetime rate**	20%

Note: (2) 36% rate applies where ≥10% of the deceased's net chargeable estate is left to charity.

Nil rate bands

6 April 1996 – 5 April 1997	£200,000	6 April 2003 – 5 April 2004	£255,000
6 April 1997 – 5 April 1998	£215,000	6 April 2004 – 5 April 2005	£263,000
6 April 1998 – 5 April 1999	£223,000	6 April 2005 – 5 April 2006	£275,000
6 April 1999 – 5 April 2000	£231,000	6 April 2006 – 5 April 2007	£285,000
6 April 2000 – 5 April 2001	£234,000	6 April 2007 – 5 April 2008	£300,000
6 April 2001 – 5 April 2002	£242,000	6 April 2008 – 5 April 2009	£312,000
6 April 2002 – 5 April 2003	£250,000	6 April 2009 – 5 April 2026	£325,000

Residence nil rate bands (Note 3)

6 April 2017 – 5 April 2018	£100,000	6 April 2019 – 5 April 2020	£150,000
6 April 2018 – 5 April 2019	£125,000	6 April 2020 – 5 April 2026	£175,000

Note: (3) An additional nil rate band is available where a main residence is passed on death to a direct descendant. Tapered withdrawal for estates > £2 million.

Taper relief

Death within 3 years of gift	Nil%
Between 3 and 4 years	20%
Between 4 and 5 years	40%
Between 5 and 6 years	60%
Between 6 and 7 years	80%

Quick succession relief

Period between transfers less than one year	100%
Between 1 and 2 years	80%
Between 2 and 3 years	60%
Between 3 and 4 years	40%
Between 4 and 5 years	20%

ATT EXAMINATIONS
2023
TAX TABLES

Lifetime exemptions

Annual exemption		£3,000
Small gifts		£250
Wedding gifts	– Child	£5,000
	– Grandchild or remoter issue or other party to marriage	£2,500
	– Other	£1,000

CAPITAL GAINS TAX

	2022/23
Annual exempt amount	£12,300

CGT rates for individuals (Notes 1 & 2)

Gains qualifying for business asset disposal relief/investors' relief	10%
Gains falling within remaining basic rate band (Notes 3 & 4)	10%
Gains exceeding basic rate band (Note 5)	20%

CGT rates for trusts & individuals paying the remittance basis charge

Gains qualifying for business asset disposal relief/investors' relief	10%
Other gains (Note 5)	20%

CGT Rate for personal representatives (PRs)

All gains (Note 5)	20%

Business Asset Disposal relief (BADR)

Relevant gains (lifetime maximum) (Note 6)	£1 million

Investors' relief (IR)

Relevant gains (lifetime maximum)	£10 million

Notes:
(1) For individuals, gains are taxed as if they are the top slice of income.
(2) Capital losses and the annual exempt amount may be offset in the most beneficial manner, ie against gains not qualifying for BADR/IR first.
(3) The remaining basic rate band is calculated as £37,700 (2022/23) less taxable income less any gains on which BADR/IR has been claimed. The remaining basic rate band can be allocated in the most beneficial manner.
(4) The rate is 18% if the gain is in respect of a residential property
(5) The rate is 28% if the gain is in respect of a residential property
(6) For qualifying disposals made before 11 March 2020 the lifetime limit was £10 million

Lease percentage table

Years	Percentage	Years	Percentage	Years	Percentage
50 or more	100.000	33	90.280	16	64.116
49	99.657	32	89.354	15	61.617
48	99.289	31	88.371	14	58.971
47	98.902	30	87.330	13	56.167
46	98.490	29	86.226	12	53.191
45	98.059	28	85.053	11	50.038
44	97.595	27	83.816	10	46.695
43	97.107	26	82.496	9	43.154
42	96.593	25	81.100	8	39.399
41	96.041	24	79.622	7	35.414
40	95.457	23	78.055	6	31.195
39	94.842	22	76.399	5	26.722
38	94.189	21	74.635	4	21.983
37	93.497	20	72.770	3	16.959
36	92.761	19	70.791	2	11.629
35	91.981	18	68.697	1	5.983
34	91.156	17	66.470	0	0.000

ATT EXAMINATIONS
2023
TAX TABLES

Retail Prices Index

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
1982	–	–	79.44	81.04	81.62	81.85	81.88	81.90	81.85	82.26	82.66	82.51
1983	82.61	82.97	83.12	84.28	84.64	84.84	85.30	85.68	86.06	86.36	86.67	86.89
1984	86.84	87.20	87.48	88.64	88.97	89.20	89.10	89.94	90.11	90.67	90.95	90.87
1985	91.20	91.94	92.80	94.78	95.21	95.41	95.23	95.49	95.44	95.59	95.92	96.05
1986	96.25	96.60	96.73	97.67	97.85	97.79	97.52	97.82	98.30	98.45	99.29	99.62
1987	100.0	100.4	100.6	101.8	101.9	101.9	101.8	102.1	102.4	102.9	103.4	103.3
1988	103.3	103.7	104.1	105.8	106.2	106.6	106.7	107.9	108.4	109.5	110.0	110.3
1989	111.0	111.8	112.3	114.3	115.0	115.4	115.5	115.8	116.6	117.5	118.5	118.8
1990	119.5	120.2	121.4	125.1	126.2	126.7	126.8	128.1	129.3	130.3	130.0	129.9
1991	130.2	130.9	131.4	133.1	133.5	134.1	133.8	134.1	134.6	135.1	135.6	135.7
1992	135.6	136.3	136.7	138.8	139.3	139.3	138.8	138.9	139.4	139.9	139.7	139.2
1993	137.9	138.8	139.3	140.6	141.1	141.0	140.7	141.3	141.9	141.8	141.6	141.9
1994	141.3	142.1	142.5	144.2	144.7	144.7	144.0	144.7	145.0	145.2	145.3	146.0
1995	146.0	146.9	147.5	149.0	149.6	149.8	149.1	149.9	150.6	149.8	149.8	150.7
1996	150.2	150.9	151.5	152.6	152.9	153.0	152.4	153.1	153.8	153.8	153.9	154.4
1997	154.4	155.0	155.4	156.3	156.9	157.5	157.5	158.5	159.3	159.5	159.6	160.0
1998	159.5	160.3	160.8	162.6	163.5	163.4	163.0	163.7	164.4	164.5	164.4	164.4
1999	163.4	163.7	164.1	165.2	165.6	165.6	165.1	165.5	166.2	166.5	166.7	167.3
2000	166.6	167.5	168.4	170.1	170.7	171.1	170.5	170.5	171.7	171.6	172.1	172.2
2001	171.1	172.0	172.2	173.1	174.2	174.4	173.3	174.0	174.6	174.3	173.6	173.4
2002	173.3	173.8	174.5	175.7	176.2	176.2	175.9	176.4	177.6	177.9	178.2	178.5
2003	178.4	179.3	179.9	181.2	181.5	181.3	181.3	181.6	182.5	182.6	182.7	183.5
2004	183.1	183.8	184.6	185.7	186.5	186.8	186.8	187.4	188.1	188.6	189.0	189.9
2005	188.9	189.6	190.5	191.6	192.0	192.2	192.2	192.6	193.1	193.3	193.6	194.1
2006	193.4	194.2	195.0	196.5	197.7	198.5	198.5	199.2	200.1	200.4	201.1	202.7
2007	201.6	203.1	204.4	205.4	206.2	207.3	206.1	207.3	208.0	208.9	209.7	210.9
2008	209.8	211.4	212.1	214.0	215.1	216.8	216.5	217.2	218.4	217.7	216.0	212.9
2009	210.1	211.4	211.3	211.5	212.8	213.4	213.4	214.4	215.3	216.0	216.6	218.0
2010	217.9	219.2	220.7	222.8	223.6	224.1	223.6	224.5	225.3	225.8	226.8	228.4
2011	229.0	231.3	232.5	234.4	235.2	235.2	234.7	236.1	237.9	238.0	238.5	239.4
2012	238.0	239.9	240.8	242.5	242.4	241.8	242.1	243.0	244.2	245.6	245.6	246.8
2013	245.8	247.6	248.7	249.5	250.0	249.7	249.7	251.0	251.9	251.9	252.1	253.4
2014	252.6	254.2	254.8	255.7	255.9	256.3	256.0	257.0	257.6	257.7	257.1	257.5
2015	255.4	256.7	257.1	258.0	258.5	258.9	258.6	259.8	259.6	259.5	259.8	260.6
2016	258.8	260.0	261.1	261.4	262.1	263.1	263.4	264.4	264.9	264.8	265.5	267.1
2017	265.5	268.4	269.3	270.6	271.7	272.3	272.9	274.7	275.1	275.3	275.8	278.1

IT & CGT – FA22 CHANGES GUIDE

Note that all chapters have been updated for 2022/23 thresholds, rates and allowances.

FA22 Ch	*FA21 Ch*	Topic	Major changes	Minor changes	No changes	Notes
1	*1*	An introduction to self-assessment			✓	
2	*2*	Payment dates, interest & penalties		✓		Amendments made to reflect HMRC's updated guidance re 'reasonable excuse'.
3	*3*	Self-assessment – further aspects			✓	
4	*4*	Class 1 National Insurance Contributions		✓		Note that the level of the primary threshold was further increased from 6 July 2022.
5	*5*	Class 1A & 1B National Insurance		✓		New illustration added on Class 1B NIC.
6	*6*	Classes 2 & 4 National Insurance			✓	
7	*7*	Employed or self-employed?			✓	

8	*8*	Introduction to capital gains tax			✓	
9	*9*	Calculation of capital gains			✓	
10	*10*	Business asset disposal relief & Investors' relief		✓		New illustration added covering BADR on the sale of a sole trader's business.
11	*11*	Relief for capital losses			✓	
12	*12*	Part disposals			✓	
13	*13*	Sales of leases			✓	
14	*14*	Grants of leases			✓	
15	*15*	Chattels			✓	
16	*16*	Connected persons & Inter Spouse Transfers		✓		New section added covering losses on disposals to connected persons.
17	*17*	Shares & securities: Matching rules		✓		New section on cryptocurrencies added to syllabus for 2023 exams.

18	*18*	Bonus issues & rights issues			✓	
19	*19*	Rollover relief			✓	
20	*20*	Rollover relief & depreciating assets			✓	
21	*21*	Rollover relief – further aspects			✓	
22	*22*	Gift relief			✓	
23	*23*	Gift relief - restrictions		✓		New section added covering gift relief restriction for non-business assets.
-	*24*	EIS and SEIS Reinvestment reliefs				Removed from syllabus for 2023 exams.
24	*25*	Partnership Capital Gains			✓	

CHAPTER 1

AN INTRODUCTION TO SELF-ASSESSMENT

THE FUNDAMENTAL PRINCIPLES OF THE INCOME TAX COMPUTATION ARE EXPLAINED IN CHAPTER 1 OF THE BUSINESS TAX MANUAL. YOU MAY WANT TO REFER BACK TO THIS CHAPTER BEFORE STUDYING THE CHAPTERS IN THIS MANUAL.

By the end of this chapter you will understand:
- the self-assessment regime
- the filing of tax returns
- notifying chargeability
- deadlines and penalties
- amendments and enquiries
- record keeping
- appeals

The legislation is very useful for this chapter. It is worth taking the time to highlight the detail included in this chapter in the legislation using the various references provided.

1.1 Introduction

The administration of taxes in the UK is in the hands of the **Commissioners for Her Majesty's Revenue and Customs (HMRC)**.

Self-assessment is the regime by which HMRC assess and collect direct tax in the UK.

1.2 Tax Returns

Taxpayers who are **self-employed** must submit tax returns, as may individuals whose taxable savings income exceeds their savings allowance or taxable dividend income exceeds the dividend allowance. Taxpayers who have other **untaxed** income (for example, property income) also have to file tax returns.

Finally, a taxpayer who has a taxable **capital gain** in the year may need to submit a tax return.

Many people in the UK who pay income tax do **not** have to fill in an income tax return. These will primarily be **employees** whose tax is deducted at source under the Pay As You Earn (PAYE) system. Such taxpayers who do not owe any tax on their interest or their dividend income do not normally need to fill in a tax return.

1.3 Notification

If an individual becomes **chargeable** to income tax or capital gains tax for the **first time**, they have a duty to **notify** HMRC within **six months of the end of the tax year in which they became chargeable**. TMA 1970, s.7(1)

For example, an individual who starts to receive rental income in the tax year 2022/23 has until 5 October 2023 to notify HMRC.

If the taxpayer misses this deadline, HMRC will charge a **penalty**. FA 2008, Sch 41

The penalty will be based on the behaviour of the person concerned and is a **percentage of the 'potential lost revenue'**. The potential lost revenue to which any penalty will apply **is the amount of the income tax (including Class 4 National Insurance contributions (NICs)) and/or capital gains tax unpaid at 31 January following the tax year** as a result of the failure to notify. FA 2008, Sch 41, para 7(2)

For a **deliberate and concealed failure**, the penalty will be a **maximum 100%** of the potential lost revenue; for a **deliberate but not concealed failure**, the **maximum penalty will be 70%** of the potential lost revenue; and for any other case – eg due to lack of care – the **maximum penalty will be 30%** of the potential lost revenue. FA 2008, Sch 41, para 6

A failure is deliberate and concealed where the failure is deliberate and the taxpayer **makes arrangements to conceal the situation** giving rise to the obligation. This would include creating false evidence of a non-taxable source of income to explain undisclosed income, or destroying books and records. FA 2008, Sch 41, para 5

A failure is deliberate but not concealed where the failure is deliberate but no arrangements are made to conceal the situation giving rise to the obligation. An example of this would be where a person is aware of the obligation to notify a source of income but decides not to do so, without taking steps to conceal the income.

Reductions in the amount of the penalty are available for both **'unprompted' and 'prompted' disclosures**.

The table below details the maximum and minimum penalties that could apply. Note that where the taxpayer is simply careless in not making the necessary notification, the reduction in the penalty also depends on how long has elapsed since any tax (or NICs) first became unpaid as a result of the failure. FA 2008, Sch 41, para 13

Behaviour	**Maximum penalty**	**Min penalty with unprompted disclosure**		**Min penalty with prompted disclosure**	
Deliberate and concealed	100%	30%		50%	
Deliberate but not concealed	70%	20%		35%	
		<12m	≥12m	<12m	≥12m
Any other case	30%	Nil	10%	10%	20%

Disclosure is unprompted if the taxpayer has no reason to believe HMRC have discovered or are about to discover the failure.

Disclosure takes place where a taxpayer **tells HMRC** about the failure, gives HMRC **reasonable help** in calculating the resulting unpaid tax and **allows HMRC access to records** to check the amount of unpaid tax. FA 2008, Sch 41, para 12

The actual reduction in the penalty depends on the quality of the elements of disclosure, including **timing, nature and extent**.

➢ Illustration 1

Oscar started to trade as a self-employed individual on 1 July 2022. He was very busy and therefore did not have time to consider his self-assessment responsibilities. As a result, he did not notify HMRC of his self-employment by 5 October 2023. HMRC contacted Oscar in July 2024 and Oscar appointed a tax adviser. HMRC were notified of the self-employment. The tax return for 2022/23 was filed in August 2024 showing tax and Class 4 NICs due of £15,000.

Explain the penalties due for late notification.

It would appear that the failure to notify HMRC of the self-employment by 5 October 2023 was due to carelessness, as Oscar did not deliberately decide not to notify HMRC.

The maximum penalty is therefore 30% of the potential lost revenue of £15,000, which is the liability which should have been paid by 31 January 2024. However, Oscar made a prompted disclosure within 12 months of the tax becoming unpaid, so the penalty may be reduced to a minimum of 10% of the potential lost revenue.

Penalties will not be charged if the taxpayer has a reasonable excuse for the failure and the failure is not deliberate. FA 2008, Sch 41, para 20

The ‘notification of chargeability’ provisions only apply to taxpayers who have **not** already received a **tax return** from HMRC. If a taxpayer receives a tax return, any income received or gains made in the tax year can simply be disclosed on the tax return in the normal way.

Terminology

The terms deliberate, deliberate and concealed, prompted and unprompted disclosure are used for penalties for late notification, incorrect returns and late returns. These terms keep the same meaning as outlined above.

1.4 Issue of a Tax Return

Tax returns are typically issued by HMRC to taxpayers on **6 April immediately following the tax year**. Therefore, tax returns for the year ended 5 April 2023 – ie returns for the 2022/23 tax year – will usually be issued the day after the end of the year, ie on 6 April 2023. If the taxpayer filed an online return for the previous year they will be sent a notice to fill in a tax return.

Every tax return requires the taxpayer to provide certain details. All taxpayers must give details of all income received from all sources in the tax year.

Once the taxpayer has completed the tax return, they will sign a declaration to say that to the **'best of my knowledge and belief'** the tax return is **'correct and complete'**.

If the tax return turns out not to be correct and complete – ie there are errors or omissions – HMRC have powers to charge penalties for incorrect returns. FA 2007, Sch 24

1.5 Filing Deadlines

There are two separate dates for filing a return, depending on whether the taxpayer is filing a paper return or an electronic/online return.

Where the taxpayer completes a **paper return**, the return should normally be filed no later than **31 October following the end of the tax year**. TMA 1970, s.8(1D)(a)

Therefore, for the tax year 2022/23, the paper return must normally be filed by 31 October 2023. However, the paper return can be filed within **three months** of the date of issue of the return if this is later than the following 31 October. TMA 1970, s.8(1F)(a)

Where a taxpayer completes an **online return**, the return should normally be filed no later than **31 January following the tax year**. TMA 1970, s.8(1D)(b)

Therefore, for the tax year 2022/23, the online return must normally be filed by 31 January 2024. However, the online return can be filed within **three months** of the date of **issue** of the return or notice if this is **later** than the following 31 January. TMA 1970, s.8(1G)

➢ Illustration 2

Assume that a 2022/23 tax return is issued by HMRC to a taxpayer on 25 November 2023.

State the deadline for filing the return.

As the return has been issued after 31 October, the deadline for filing the return (whether a paper return or online) is three months from issue of the return, being 25 February 2024.

If the return is filed by 25 February 2024, HMRC cannot charge any late return penalties.

Where a taxpayer has tax deducted at source via the PAYE system, underpayments of tax of **less than £3,000** can be collected via PAYE rather than a one-off payment. In order for this treatment to apply, if the taxpayer is filing an online return, the tax return must be filed by the earlier deadline of **30 December** following the end of the tax year. SI 2003/2682, Reg 186

1.6 Calculation of Tax

If a taxpayer files a return online, they do not have to worry about calculating their own tax liability. HMRC software will automatically calculate the tax liability.

If the taxpayer is filing a paper return, they can 'self-assess' their tax liability using the 'Tax Calculation Summary'. However, where a return is submitted by 31

October (or two months from the issue of the tax return if later) HMRC will calculate the tax for the taxpayer if they wish. TMA 1970, s.9(2)

This means that the taxpayer will tell HMRC what their income and allowances are and HMRC will calculate the tax on their behalf. The taxpayer can of course still calculate their own liability if they wish to. If the taxpayer does not want to calculate their own tax for the year, HMRC will simply work out the tax they owe from the income and allowances included within the tax return. HMRC will then send a statement to the taxpayer, telling them how much tax they owe or how much is repayable.

1.7 Penalties for Late Returns

Schedule 55 FA 2009 contains penalty provisions in respect of failure to make a return.

An **initial penalty of £100** will apply if a return is late, even where there are no amounts outstanding. Additional **daily penalties of £10 per day may** be levied in respect of returns which are more than three months late. The daily penalty can be imposed for a maximum of 90 days. FA 2009, Sch 55, paras 3 and 4

If a return is **more than six months late**, there will be an additional penalty of **5% of any liability to tax** which would have been shown in the return or **£300 if greater**. The liability to tax is the tax due for the year, after tax deducted at source. It is not reduced by any amount paid towards that liability. FA 2009, Sch 55, para 5

An additional penalty of **5% of any liability to tax** (or £300 if greater) will also be levied if the return **is more than 12 months late**. If the return has not been submitted within 12 months and by failing to make the return the taxpayer is deliberately withholding, but not concealing, information which would enable HMRC to assess the tax liability, the maximum amount of the penalty increases to **70%** (or £300 if greater). If the withholding of information is deliberate and concealed, the maximum amount of the penalty is **100% of the tax liability** (or £300 if greater). FA 2009, Sch 55, para 6

➢ Illustration 3

Mardy filed his 2022/23 income tax return online on 1 August 2024. He had received a notice to file the return on 6 April 2023. The return showed a liability to tax of £12,000.

Calculate any late filing penalties due for Mardy.

As the return was not filed by 31 January 2024, a fixed £100 penalty will be levied.

HMRC could decide to impose daily penalties of £10 per day for a maximum of 90 days as the return was outstanding for more than three months.

Finally, as the return was outstanding for more than six months, a penalty of £12,000 × 5% = £600 will be charged.

Penalties that apply where a person has deliberately withheld information can be reduced for both prompted and unprompted disclosure of the information. FA 2009, Sch 55, para 14

The table below details the maximum and minimum penalties that could apply:

Behaviour	Maximum penalty	Min penalty with unprompted disclosure	Min penalty with prompted disclosure
Deliberate but not concealed	70%	20%	35%
Deliberate and concealed	100%	30%	50%

The minimum penalty is £300 if greater.

HMRC have the power to reduce the penalty if there are special circumstances.

The maximum aggregate penalty (calculated as a percentage of the liability to tax) that can be charged in respect of the late filing of a return is **100% of the liability to tax**. FA 2009, Sch 55, para 17(3)

Penalties will not be charged if the taxpayer has a reasonable excuse for the failure. FA 2008, Sch 41, para 20

The HMRC Factsheet CC/FS18a is useful if you are dealing with penalties for returns filed late.

1.8 Amendments

HMRC have the right to amend the taxpayer's return within **nine months** of the date of receipt. HMRC will usually do this to eliminate or to reverse any obvious errors or mistakes within the return. These are usually arithmetical errors, although HMRC can reverse any technical mistakes made by the taxpayer in completing the return. HMRC will notify the taxpayer of any amendments made. TMA 1970, s.9ZB(3)

The taxpayer also has the right to amend the return already submitted, so long as this is within 12 months of the due date for filing. For example, if a taxpayer realises they have made an error in the return after having filed it, they can write to HMRC to reverse the error or mistake. The due date for filing, for amendment purposes, is 31 January following the tax year (or three months after the return was issued if later). TMA 1970, s.9ZA(2), (3)

1.9 Enquiries

HMRC have the right to make a formal 'enquiry' into every tax return submitted to them. This enables them to look closely at the individual entries within the return and often taxpayers will be asked to support each entry with the relevant documentary evidence. TMA 1970, s.9A

The most common target for enquiries are the **self-employed**, who are regularly asked to produce their books and records to support the details on the tax return. In particular, cash trades such as pubs, market traders, taxi drivers etc are a favourite source of HMRC enquiries.

To commence an enquiry, an HMRC officer must **issue a formal 'enquiry notice'** to the taxpayer under s.9A TMA 1970 within the 'time allowed'. The normal time limit for commencing an enquiry is **12 months after the day on which the return is delivered**. TMA 1970, s.9A(1), (2)(a)

This means that for a 2022/23 tax return, if HMRC wishes to commence an enquiry into that return, and it was delivered on, say, 15 December 2023, the taxpayer must receive the notice no later than 15 December 2024.

If the return is submitted late – ie the taxpayer misses the 31 January filing deadline – the deadline for HMRC to raise a formal enquiry into the return is extended. The final date for raising an enquiry is extended to the end of the **calendar quarter following the anniversary of the actual filing date** of the return. Here calendar quarters end on 30 April, 31 July, 31 October and 31 January. TMA 1970, s.9A(2)(b)

Once the enquiry has been fully completed, HMRC will issue a **'closure notice'**. This will include a statement of HMRC's conclusions and any amendments to the return deemed necessary as a result of the enquiry. TMA 1970, s.28A

The taxpayer has 30 days to appeal against any amendments included with a closure notice. TMA 1970, s.31(1)(b)

HMRC may **only enquire into a tax return once**.

An enquiry may be opened into an amendment to the tax return (this is effectively treated as a separate return for enquiry purposes). However, the enquiry will be restricted to matters covered in the amendment and cannot extend to the original return. TMA 1970, s.9A(5)

1.10 Record Keeping

It is easier to keep returns up to date and to avoid interest and penalties etc if we retain full and proper records. TMA 1970, s.12B

Taxpayers are required to retain records of income and capital gains for at least **22 months after the end of the tax year** to which they relate, ie the first anniversary of 31 January following the end of the tax year.

Taxpayers who are **self-employed** or who have income from property must retain records for at least **five years and ten months** after the end of the tax year to which they relate, ie the fifth anniversary of 31 January following the end of the tax year.

In the following situations, records must be kept for longer than the minimum periods stipulated above:

1. If there is an enquiry into the return which has not been completed by the date for which records must normally be retained, records must be kept **until the enquiry is completed**.

2. If the return is submitted late, the period within which HMRC can commence an enquiry is extended; in this instance, records must be kept until the final date for commencing an enquiry has passed.

Penalties may be charged for failure to retain proper records. The **maximum penalty is £3,000** for each failure to maintain records sufficient to support entries on the return.

1.11 Appeals

If a taxpayer disagrees with a decision made by HMRC in relation to a direct tax such as income tax, they can challenge the decision by appealing. A taxpayer may bring about an appeal for a number of reasons: TMA 1970, s.31

- The legislation is unclear or open to different interpretation.
- The taxpayer takes a different view to HMRC on the interpretation of the legislation, or the taxpayer does not accept HMRC's published view in a press release or Statement of Practice, etc.
- The taxpayer believes HMRC have made a mistake which has not been rectified (for example, an incorrect amendment to a return or any incorrect conclusion to a closure notice after an enquiry).

A taxpayer will have a right to appeal an amendment or HMRC assessment if they have reason to believe the calculation of tax liability is incorrect.

Notices of appeal must be given in writing within 30 days of the amendment or assessment etc as appropriate. The notice should give the grounds for the appeal. TMA 1970, s.31A

Appeals are made in the first instance to HMRC. Most appeals are determined by agreement between HMRC and the taxpayer without the need to involve the Tribunal.

For example, HMRC may make an amendment to a self-assessment, which is incorrect. The taxpayer will appeal HMRC's revised self-assessment stating the reasons for the appeal. The officer will consider the appeal by reviewing the amendment and determine the appeal by agreement. TMA 1970, s.54

If an appeal cannot be settled by agreement, HMRC may offer a review. TMA 1970, ss.49A–49E

If a review is not offered, the taxpayer can either ask HMRC to review their decision or ask the Tribunal to consider the appeal.

A review involves HMRC appointing an officer not previously involved with the case to carry out a review of the decision.

When the review is completed, the review officer will state their decision on the matter. If the taxpayer does not agree with the decision they can ask for the appeal to be heard by the Tribunal, within 30 days of the date of the review conclusion letter.

The Tribunal is an independent legal body which consists of independently appointed expert tax judges and/or panel members.

There are two tiers of the Tribunal, the First-tier Tribunal and the Upper Tribunal. At the First-tier, tax appeals are heard within the Tax Chamber. The Upper Tribunal is a Superior Court of Record with all the powers and authority of the High Court. There are four Chambers in the Upper Tribunal, one of which is the Tax and Chancery Chamber, where tax appeals are heard. TCEA 2007, s.3

Almost all tax appeals will start in the First-tier Tribunal.

Appeals against a decision of the First-tier Tribunal are made to the Upper Tribunal. Appeals can only be made on a point of law.

Decisions made by the Upper Tribunal are binding on both the taxpayer and HMRC unless either party appeals the decision to the Court of Appeal and finally (in exceptional cases) to the Supreme Court. A decision by the Supreme Court is final and conclusive and will establish a case law precedent that will stand (unless superseded by statutory changes) for reference in future cases. Once again, appeals can only be made on a point of law.

1.12 Penalties for Incorrect Returns

Penalties will apply where a tax return or claim for a relief contains an inaccuracy which leads to an understatement of tax, or a false or inflated statement of a loss, or a false or inflated claim to a tax repayment. FA 2007, Sch 24, para 1(2)

Penalties will be charged if the error occurred due to a careless action, ie failure by the taxpayer to **take reasonable care**. This would apply, for example, if insufficient records were maintained or if a taxpayer estimated figures rather than obtaining accurate information.

If a return contains more than one error, **a penalty is charged for each error**.

The penalty charged will be a percentage of the potential lost revenue.

The potential lost revenue is generally **the extra tax due** as a result of the discovery of the error. FA 2007, Sch 24, para 5(1)

The table below details the maximum and minimum penalties that could apply: FA 2007, Sch 24, paras 4 and 10

Behaviour	**Maximum penalty**	**Min penalty with unprompted disclosure**	**Min penalty with prompted disclosure**
Deliberate and concealed	100%	30%	50%
Deliberate but not concealed	70%	20%	35%
Careless	30%	0%	15%

Reductions are available for both 'unprompted' and 'prompted' disclosures.

➢ Illustration 4

Peter has a portfolio of investment properties producing rental income. He is a higher rate taxpayer. He files his tax return for 2022/23 on 30 January 2024. The return shows his property income to be £72,000. Due to carelessness on Peter's part, his property income should have been declared to be £90,000.

Calculate the maximum penalty that Peter could be charged by HMRC for his error.

The potential lost revenue as a result of Peter's error is:	
(90,000 – 72,000) = 18,000 × 40% (income tax)	£7,200
Peter's error is careless, so the maximum penalty for the error is:	
7,200 × 30%	£2,160

This penalty will be charged in addition to the extra tax of £7,200 and any interest Peter will have to pay if the tax is paid after the normal due date for payment.

Note here that if Peter discovers the error before HMRC and he voluntarily discloses his mistake, the penalty can be reduced, potentially to nil.

HMRC have the power to reduce the penalty if there are special circumstances.

You will see that these penalty provisions are very similar to the failure-to-notify penalties we have already looked at.

One difference to note is that **there are no penalties for inaccuracies where the person has taken reasonable care**. For example, an inaccuracy resulting from an arithmetical or transposition error which is not large in either absolute terms or in relation to the overall liability such that it would be identified in a review, would not result in a penalty. For example, reporting a car benefit figure as £5,120 instead of £5,210 would not incur a penalty, but reporting interest of £100 instead of £100,000 would!

If a penalty is charged due to failure to take reasonable care, it may be **suspended for two years** provided the suspension conditions agreed with HMRC are kept and no further penalties are incurred in the suspension period. If the conditions are met throughout the suspension period, the penalty will be cancelled. FA 2007, Sch 24, para 14

The ability to suspend a penalty is intended to support those who try to meet their obligations by giving them time to improve their systems, which helps them to avoid penalties for inaccuracies in the future.

Suspension of a penalty is not possible where it relates to an error that was deliberate or deliberate and concealed.

1.13 Partnership Self-Assessment

When a partnership is first formed it must be **registered with HMRC by the nominated partner**. In addition to registering the partnership, each individual partner (and any subsequent partners) must register individually with HMRC for self-assessment as normal. As part of this process, the individual partners are required to provide details of the partnership which they have joined.

The **nominated partner is responsible for completing the partnership's tax return**, which will contain details of the partnership's profit or loss and other income received by the partnership, as well as showing each partner's share of the profits and losses on the partnership statement. The partnership itself does not have a tax liability. TMA 1970, ss.12AA and 12AB

The filing deadlines for a partnership tax return are the normal self-assessment filing deadlines. Where the nominated partner fails to file a partnership return, every partner who was a partner at any point during the period in respect of which the return is required will be liable to a penalty. FA 2009, Sch 55, para 25

As the partnership return does not show a liability to tax, the tax geared penalties will not apply.

If there is an inaccuracy in the partnership return, **each partner will be liable to a penalty for the inaccuracy** based on their individual potential lost revenue. FA 2007, Sch 24, para 20

The individual partners will file their own tax returns as normal and will complete the 'Partnership' supplementary pages of the return.

The rules in respect of amendments and enquiries apply as normal in respect of partnership returns. If an amendment is made to a partnership return, corresponding amendments are made to the partners' returns. TMA 1970, ss.12ABA(3) and 12ABB(6)

Similarly, an enquiry into a partnership return automatically extends to the partners' own returns. TMA 1970, s.12AC(6)

Records must be kept by the partnership for at least five years and ten months following the end of the tax year to which they relate.

EXAMPLES

❖ Example 1

Lester received his tax return for 2022/23 on 6 April 2023. He submitted the return to HMRC on 4 March 2024.

What is the final date by which HMRC can give notice of their intention to commence an enquiry into Lester's return?

❖ Example 2

Kelly started trading on 1 October 2022. She informed HMRC on 4 October 2023. A tax return for 2022/23 was issued to Kelly on 19 January 2024.

Kelly submitted the electronic return on 20 February 2025. Her tax liability for 2022/23 was £1,000.

What is the maximum penalty that may be charged by HMRC for the late submission of the return?

❖ Example 3

Zack is in business as a taxi driver. He submits his tax return for 2022/23 on 29 January 2024. Zack did not want to pay tax on his profits, so he overstated his petrol expenses by £15,000. He created false invoices to back up his claim. The return shows a trading profit for the year of £5,000.

HMRC initiate a review into Zack's return. Zack starts to worry about his excessive claim and decides to disclose the error to HMRC.

Zack has considerable rental income each year and is a higher rate (40%) taxpayer. This error has understated his 2022/23 tax liability by £6,000.

State the maximum and minimum penalties that could be charged by HMRC on Zack in respect of his incorrect return.

ANSWERS

✓ Answer 1

The return should have been filed by 31 January 2024 – therefore, the return is late.

If HMRC wish to commence an enquiry into Lester's return, they must send him a notice by the end of the calendar quarter following the anniversary of the actual filing date.

The anniversary of the filing date is 4 March 2025. This is in the quarter ending on 30 April 2025.

The notice must therefore be received no later than 30 April 2025.

✓ Answer 2

Kelly has given notice of chargeability within six months of the year end (ie by 5 October 2023).

The return is issued on 19 January 2024. The due date for filing is therefore the later of:

i. 31 January 2024; or

ii. three months from the issue of the return, ie 19 April 2024.

The return is therefore due on 19 April 2024.

The return was filed on 20 February 2025, which is ten months late.

The maximum penalties are:

	£
Initial penalty	100
Daily penalties (£10 × 90 days)	900
Tax-geared penalty (5% × 1,000 = £50 or £300 if greater)	300
Total	1,300

✓ Answer 3

The potential lost revenue as a result of Zack's error is £6,000.

Zack's error is deliberate and concealed, so the maximum penalty for the error is:

6,000 × 100%	£6,000

However, Zack has made a prompted disclosure, so the minimum penalty for the error is:

6,000 × 50%	£3,000

CHAPTER 2

PAYMENT DATES, INTEREST AND PENALTIES

By the end of this chapter you will understand:

- when and how tax is paid under self-assessment
- when payments on account are required and how they are calculated
- balancing payments
- how to calculate interest on tax paid late
- the penalties that apply when tax is paid late
- reasonable excuse

In this chapter, all tax years are assumed to consist of 365 days and the effects of leap years have been ignored.

2.1 Payment of Tax

Tax for a tax year is paid in two stages. Firstly, a taxpayer makes two payments on account of income tax for the tax year. The first payment on account is made on 31 January in the relevant tax year and the second is made six months later, on 31 July following the tax year. For the **tax year 2022/23**, the **first payment** on **account** is made on **31 January 2023**. The **second payment on account** is made six months later, on **31 July 2023**. TMA 1970, s.59A

The taxpayer will **submit** their **tax return generally no later than 31 January following the tax year**, and at this point they will be in a position to finalise their tax liability for the tax year. Therefore, on this date the taxpayer will make a **'balancing payment'**. TMA 1970, s.59B

This means that, having calculated the tax due for the tax year, the taxpayer will deduct the two payments on account already made and pay the balance of tax no later than 31 January following the end of the year.

Therefore, the final date by which all tax must be paid for the tax year is 31 January following that tax year. For 2022/23, the final deadline for the payment of tax and for the submission of the tax return is 31 January 2024.

The only exception to this is where the taxpayer notified chargeability by 5 October following the tax year but the return was not issued until after 31 October. In this case, the date for filing the return and paying the tax is three months after the issue of the return. TMA 1970, s.59B(3)

Each payment on account for a tax year is **50% of the tax due for the previous tax year**. When calculating the payments due for 2022/23, we look back to 2021/22, work out the tax due for this year – tax due being tax liability less tax deducted at source – and divide this by two. The resulting number is each payment on account for 2022/23.

The payments on account described above are only made in respect of income tax. Generally, no payments on account are required in respect of capital gains tax (CGT) and CGT is due and payable on 31 January following the year in which the capital gain was made. Therefore, CGT for 2022/23 is generally payable in one lump sum on **31 January 2024**.

All individuals making a disposal of UK residential property are required to make a payment of CGT within 60 days of completion.

➢ Illustration 1

Roger has the following tax liabilities:

	2021/22	2022/23
	£	£
Income tax liability	14,000	18,000
Less: Deducted at source	(8,000)	(10,000)
Income tax due	6,000	8,000
Capital gains tax payable on share disposals	1,500	5,000
Total tax due	7,500	13,000

State the payment dates for the tax due in respect of 2022/23.

Income tax due	8,000
Capital gains tax due	5,000
Total	13,000
Less: Payment on account 31.1.23 (50% × 6,000)	(3,000)
Less: Payment on account 31.7.23 (50% × 6,000)	(3,000)
Balancing payment due 31.1.24	7,000

However, if you were writing to Roger in practice, you would **not** simply advise him to pay the sum of £7,000 on 31 January 2024.

Do not forget that on **31 January**, as well as making a balancing payment for the previous year, Roger will also have to make his **first payment on account** for the following year.

This will be £4,000 – ie 50% of the income tax due for 2022/23 of £8,000. A few months later, you would need to remind Roger to make a second payment on account of £4,000 on 31 July 2024. HMRC usually send out reminders to taxpayers a few weeks before the due date.

2.2 Interest on Tax Paid Late

If tax is paid late, HMRC will charge interest on any overdue tax. Interest will be charged if either the payments on account are late or the final balancing payment is late. FA 2009, s.101

Interest runs from the late payment interest start date, being the **normal due date for payment of the tax**, until the date of payment. So, if tax due on 31 January 2023 is paid on 1 February 2023, interest runs from 31 January to 1 February and is therefore charged for one day as the payment was one day late.

HMRC charge interest at an **interest rate** (calculated as Bank Base Rate plus 2.5%). For the purposes of the exam the rate is assumed to be 3.5%.

2.3 Penalty Regime

Schedule 56 FA 2009 contains the penalty provisions in respect of late payment of tax.

Where the tax due in respect of a tax return is outstanding **more than 30 days** after the **payment due date**, a penalty of 5% of the unpaid tax will be charged.

A further 5% penalty will be charged in respect of tax outstanding **more than five months** after the first penalty is charged.

Finally, an additional penalty of 5% will apply to tax still outstanding more than **11 months** after the first penalty is charged. FA 2009, Sch 56, para 3

Note that payments on account paid late do not suffer separate late payment penalties.

Illustration 2

Sarah, an employee, has an outstanding tax liability of £4,000 in respect of 2021/22 as a result of a capital gain she had made in the year. She filed her tax return by the due date of 31 January 2023, but she did not pay the tax due until 1 May 2023.

Explain the late penalty payments due for Sarah.

Sarah will be liable to a late payment penalty of £4,000 × 5% = £200 as the tax is paid more than 30 days after the due date of 31 January 2023.

Illustration 3

Josh was due to make payments on account in respect of 2021/22 of £5,000 on 31 January 2022 and 31 July 2022. He paid £5,000 on 1 July 2022 but failed to make the second payment on account. His final liability for 2021/22 was £13,000. He paid £6,000 on 31 March 2023 and the remaining £2,000 on 31 August 2023. His tax return form had been issued to him on 6 April 2022. No tax had been deducted at source.

Explain the position with regards to late payment penalties for Josh.

Although Josh paid the first payment on account late and failed to make a second payment on account before the final due date, no separate penalties are charged in respect of these failures.

Tax of £8,000 is outstanding more than 30 days after the payment due date of 31 January 2023.

The penalty charged will be £8,000 × 5% = £400.

2021/22 tax due on 31.1.23, Josh did not pay until 31.3.23

Tax of £2,000 is still outstanding more than five months after the first penalty was levied.

A further penalty will be charged of £2,000 × 5% = £100.

Penalties will not be charged if the taxpayer has a reasonable excuse for the late payment. FA 2009, Sch 56, para 16

2.4 'Reasonable Excuse'

Where penalties have been correctly charged by HMRC, the taxpayer's only grounds for appeal are that they had a 'reasonable excuse' for the failure and put the failure right without unreasonable delay after the excuse had ended. This applies to penalties for late notification where the failure is not deliberate, and to penalties for late returns and late payment.

The term 'reasonable excuse' is not defined in the legislation, although it does set out what is not a reasonable excuse. An insufficiency of funds is not a **reasonable excuse** (unless due to events outside the taxpayer's control). Relying on a third party is also not a reasonable excuse, unless the taxpayer took reasonable care.

Examples of when a 'reasonable excuse' claim may be accepted are as follows:

- The return or payment was posted in good time but arrived late/never arrived due to disruption to the postal service.
- The taxpayer (or a member of their family) suffered serious illness or bereavement immediately before the deadline which prevented the taxpayer attending to their tax affairs in the proper time.
- Service issues with HMRC Online Service.
- Loss of tax records due to fire, flood, theft or computer failure.
- The taxpayer was unaware that they had a legal obligation to do something, having done their best to ensure that they were aware of and understood their obligations. This will depend on their abilities and circumstances as well as the nature of the obligation.

HMRC will also consider a person's mental health.

2.5 Partnerships

A partnership does not pay tax on its profits. Instead, the individual partners pay tax on their share of the partnership profits, which are reported on their individual tax returns.

The individuals' share of the partnership profit is simply taken into account when calculating their total tax liability for a year and any payments on account due.

EXAMPLES

❖ Example 1

Janet has the following tax liabilities in 2022/23:

	£
Income tax	19,000
Capital gains tax on disposal of painting	4,200
	23,200
Income tax paid under PAYE	(14,000)
Balance due for year	9,200

In 2021/22, her income tax liability was £16,000, of which £12,000 was deducted under PAYE.

Calculate the total tax payment to be made by Janet on 31 January 2024.

ANSWERS

✓ Answer 1

	£
Income tax due (19,000 – 14,000)	5,000
Capital gains tax due	4,200
	9,200
Less: Payments on account for 2022/23	
(16,000 – 12,000) × 50% × 2	(4,000)
Balancing payment 2022/23	5,200
Add: First payment on account for 2023/24	
(19,000 – 14,000) × 50%	2,500
Due 31 January 2024	7,700

CHAPTER 3

SELF-ASSESSMENT – FURTHER ASPECTS

By the end of this chapter you will understand:
- when payments on account are not required
- when discovery assessments can be made

3.1 No Requirement for Payments on Account

Normally, each payment on account is **50% of the tax due for the previous year**. However, not every UK taxpayer is required to make payments on account. **No payments on account** are required where either the **tax due for the previous year was less than £1,000**, or **more than 80% of the tax liability for the previous year was collected at source**. For example, payments on account will not be required for 2022/23 where the taxpayer's outstanding income tax liability for 2021/22 was less than £1,000. TMA 1970, s.59A(1); SI 1996/1654

By collection at source, we generally mean tax paid under Pay As You Earn (PAYE). Tax is also deducted at source from payments received from trusts and interest on loan stock. If the tax deducted at source is more than 80% of the total liability, no payments on account need to be made for the following tax year. This means that for most taxpayers in the UK, no payments on account will actually be required as the majority of UK taxpayers are employees whose tax is deducted at source under PAYE.

3.2 Claims to Reduce Payments on Account

Taxpayers who are required to make payments on account can, in certain instances, make a claim to reduce their payments on account. If the taxpayer anticipates that their current year tax liability will be less than the tax due for the previous year, they can ask HMRC to accept **lower payments on account**. TMA 1970, s.59A(4)

When making a claim to reduce payments on account, the taxpayer must specify the amount that they wish to pay. The taxpayer must make this claim by **notice in writing**, giving **reasons** why the payments on account should be reduced. The claim can be made at any time up to 31 January after the end of the tax year concerned.

HMRC are normally quite relaxed about accepting claims to reduce payments on account. However, they do state that if the reduction is excessive so that the taxpayer pays far less on account than in reality they ought to, HMRC can charge penalties.

If tax is paid late, HMRC will always charge interest on the overdue tax. The same principle will apply where a taxpayer excessively reduces the payments on account that he should be making.

3.3 Discovery Assessments

HMRC may in certain circumstances make an assessment on an individual which is not a self-assessment (or a simple assessment). This is known as a discovery assessment. The rules in relation to discovery assessments are contained in s.29 TMA 1970. TMA 1970, s.29

HMRC can make a discovery assessment if they discover that:

a. an amount which ought to have been assessed has not been assessed;

b. an assessment is or has become insufficient; or

c. relief has been given which is or has become excessive. TMA 1970, s.29(1)

The assessment is to be in an amount which is considered necessary to make good the loss of tax.

The circumstances in which a discovery assessment can be made would include, for example, where a tax return is in some way incorrect or incomplete. However, there are restrictions on HMRC's ability to make a discovery assessment.

The time limit for HMRC making a discovery assessment depends on the reason for the incomplete disclosure.

The general rule is **four years** from the end of the tax year to which the assessment relates.

However, if the loss of tax is due to careless behaviour by the taxpayer, the deadline is **extended to six years** from the end of the tax year to which it relates. The deadline is **extended to 20 years** from the end of the tax year to which it relates where the loss of tax was caused deliberately. TMA 1970, s.36

Who is likely to be affected

Individuals who incur certain tax charges (the High Income Child Benefit Charge (HICBC), those relating to Gift Aid Donations and a number of different pension charges) but fail to notify HMRC and fail to complete a Self Assessment tax return for the tax year in which the charge(s) arose. The measure confirms the longstanding basis on which HMRC can assess these charges and does not impose any additional liability.

CHAPTER 4

CLASS 1 NATIONAL INSURANCE CONTRIBUTIONS

By the end of this chapter you will understand:
- the six classes of National Insurance
- the definition of earnings for National Insurance purposes
- how to calculate Class 1 primary contributions
- how to calculate Class 1 secondary contributions

4.1 Introduction

The purpose of National Insurance contributions is to provide certain retirement benefits such as the state pension, as well as to fund certain social security benefits such as jobseeker's allowance and employment and support allowance.

At present there are six classes of National Insurance:

a. Class 1 – paid by both employees and employers on earnings from employment. SSCBA 1992, s.1

b. Class 1A – paid by employers only on benefits provided to employees.

c. Class 1B – paid by employers only on PAYE Settlement Agreements (PSAs).

d. Class 2 – a flat rate, weekly amount paid by self-employed persons.

e. Class 3 – voluntary contributions paid by taxpayers who wish to top-up their contribution record in order to preserve their entitlement to state benefits.

f. Class 4 – paid by self-employed persons on the profits from their trade.

This gives us an overview of National Insurance. In this chapter we shall concentrate solely on Class 1 National Insurance contributions.

4.2 Class 1 NICs

Class 1 National Insurance contributions (NICs) are broken down into **primary** contributions or **secondary** contributions. **Primary** contributions are paid by **employees** whilst **secondary** contributions are paid by **employers**.

Class 1 NICs are paid on earnings from the employment. If an employee receives earnings, that employee will pay Class 1 primary contributions, whilst an employer who pays earnings to an employee will make a secondary Class 1 contribution.

Both primary and secondary contributions are accounted for under the PAYE system and are paid over to HMRC, along with income tax, on the **22nd of each month where payment is made electronically** (otherwise on the 19th).

Every time an employer makes a payment of earnings to an employee, that employer will have to account for Class 1 secondary NICs, currently at a rate of 15.05%. This is a very substantial additional cost borne by employers and the majority of NICs raised by the Treasury are collected from employers rather than employees.

For 2022/23, the rates of NICs for both employees and employers were increased by 1.25 percentage points. The increase will be spent on the NHS, and health and social care in the UK. From 6 April 2023, the rate of NICs will reduce by 1.25 percentage points and a separate Health and Social Care Levy of 1.25% will apply to earnings that are subject to Class 1 NICs.

4.3 Earnings

Exempt:
1. Int free loan < £10,000
2. Pension

Class 1 NICs are paid on 'earnings'. It is very important that we establish what constitutes **'earnings'** for National Insurance purposes. **Any cash payment** made by an employer to an employee is likely to be earnings for National Insurance purposes, including salaries and bonuses. The reimbursement of genuine business expenses is also not earnings for Class 1 NICs purposes. SSCBA 1992, s.3

If an **employer settles an employee's personal liability**, this payment will also constitute earnings for Class 1 National Insurance. For example, if an employee makes a visit to a shop and spends £100 on goods (not a business expense) on their credit card and the credit card bill of £100 is subsequently paid by the employer, the employer has paid for an employee's personal bill. That payment will constitute earnings for National Insurance .

If an employer makes a non-cash payment to an employee – ie some form of payment in kind – and that **payment in kind** can be **surrendered for cash**, that payment will **also be earnings** for National Insurance. For example, if the employer provides the employee with a bonus in the form of Premium Bonds, the employee has the legal right to exchange or surrender the Premium Bonds for cash. The payment in Premium Bonds will therefore be subject to Class 1 National Insurance. Contrast this with the employer giving the employee, say, a television. The only way the employee can obtain cash for the TV is if they sell the asset, not simply by surrender. The payment by way of the TV is therefore not subject to Class 1 National Insurance. Instead, it will be subject to Class 1A.

Payments in the form of **'readily convertible assets'** are earnings for National Insurance purposes. A readily convertible asset is an asset that is traded on a recognised stock, or commodities exchange, or an asset for which trading arrangements exist. ITEPA 2003, s.702

Vouchers are earnings for National Insurance purposes, regardless of whether they are cash or non-cash vouchers.

Mileage payments are not earnings for Class 1 NICs purposes if they do not exceed 45p per mile (irrespective of the number of miles reimbursed). If an employer pays more than this, then the excess over 45p per mile will be subject to Class 1 NICs.

So, if an employee travels 15,000 miles on company business in a year and is reimbursed 50p per mile, the excess of 5p per mile (ie £750) will be subject to Class 1 NICs.

The vast majority of common benefits will not be earnings for Class 1 NICs purposes. For instance, if an employee is given use of a company car, or has a taxable cheap loan, that benefit will be charged to income tax, but it will not then be charged to Class 1 NICs in the hands of the employee. Again, Class 1A NICs will be payable by the employer.

4.4 Class 1 Primary Contributions

Primary contributions are paid by employees on earnings in an ‘earnings period’. Most UK employees have a monthly earnings period – ie we receive our salary etc on a monthly basis. Some employees, typically in manufacturing industries, still receive their earnings weekly.

Class 1 primary NICs are not payable on earnings up to the level of the **‘primary threshold’** (PT). On **earnings between the primary threshold and the ‘upper earnings limit’** (UEL), Class 1 primary NICs are paid at a rate of **13.25%** in 2022/23.

Employees pay Class 1 primary NICs at the additional rate of **3.25% on earnings in excess of the upper earnings limit**.

For employees who receive their remuneration weekly, in 2022/23 the primary threshold is £190 per week for the 13 weeks to 5 July 2022, before increasing to £242 per week thereafter. The upper earnings limit is £967 per week throughout 2022/23. For employees with a monthly earnings period, in 2022/23 the primary threshold is £823 per month for the 3 months to 5 July 2022, before increasing to £1,048 per month thereafter. The upper earnings limit is £4,189 per month throughout 2022/23. SSCBA 1992, s.8

This is illustrated by the diagram below:

	Nil	PT	13.25%	UEL	3.25%
£0		£242* pw		£967 pw	
		£1,048** pm		£4,189 pm	
		£11,908 pa		£50,270 pa	

* £190 to 5 July 2022

** £823 to 5 July 2022

An employee will start to pay Class 1 primary NICs with effect from their 16th birthday and will stop paying NICs when the pensionable age is reached. Pensionable age is currently 66 for both men and women. It will increase gradually to 67 between 2026 and 2028, depending on the individual’s date of birth. However, from 6 April 2023, employees above pensionable age will be subject to the 1.25% Health and Social Care Levy on earnings above the primary threshold. SSCBA 1992, s.6

NICs are calculated for earnings periods. An employee who is paid monthly will have 12 earnings periods in any particular tax year, so to calculate the NICs for the year, we do 12 separate NICs calculations and add them together.

➢ Illustration 1

An employee has a salary of £18,000 per annum which is paid monthly at the end of each month. The employee has use of a company car giving rise to a benefit of £2,500, which is included in payroll. The employee gets a cash bonus at Christmas of £5,000.

Calculate the employee's NICs for 2022/23.

The salary and the Christmas bonus constitute earnings for Class 1 NICs, but the company car benefit does not. It does not make any difference whether the benefit is included in payroll or not.

The monthly limits are:

	£
Primary threshold	
- to 5 July 2022	823
- from 6 July 2022	1,048
Upper earnings limit	4,189

For 11 months of the year the employee's earnings will be 18,000/12 = £1,500.

In December his earnings will be 1,500 + 5,000 = £6,500.

We need to remember that in 2022/23 the primary threshold only increases to £1,048 per month from 6 July 2022 and that a lower primary threshold of £823 per month applies for the first 3 months of the year.

The calculation will therefore be as follows:

Class 1 primary NICs	£
3 months to 5 July with earnings of £1,500	
(1,500 – 823) × 13.25% × 3 months	269
8 months from 6 July with earnings of £1,500	
(1,500 – 1,048) × 13.25% × 8 months	479
1 month with earnings of £6,500	
(4,189 – 1,048) × 13.25% × 1 month	416
(6,500 – 4,189) × 3.25% × 1 month	75
NICs payable	1,239

The effect of this is that part of the £5,000 bonus paid in December 2022 will only have been charged to NICs at 3.25%.

4.5 Class 1 Secondary Contributions

Class 1 secondary NICs are paid by employers on any earnings paid to employees. The current rate of Class 1 secondary NICs is 0% on earnings up to the secondary threshold (ST) and 15.05% on the excess.

The secondary threshold in 2022/23 is £175 per week and £758 per month, with these thresholds applying throughout 2022/23. You will note that employers start to pay Class 1 secondary NICs in respect of an employee's earnings at a level of earnings lower than that at which the employee will start to pay primary Class 1 NICs.. SSCBA 1992, s.9

	Nil	ST	15.05%
£0		£175 pw £758 pm £9,100 pa	

You will also note two other things here. The first is that the **rate of NICs is higher for employers than for employees – ie 15.05% as opposed to 13.25%.** The second thing to note is that there is **no upper earnings limit** for employer's contributions, ie the 3.25% rate does not apply for employers. So, for every one pound of earnings paid to an employee above the secondary threshold, the employer will have to pay 15.05 pence in NICs.

This is a substantial cost for employers to have to bear, and effectively adds nearly another 15.05% to their total wages bill.

In the case of an employee or director earning £23,000 in 2022/23, the secondary liability to be paid by the employer is:

(23,000 – 9,100) @ 15.05% = £2,092

Employer's secondary contributions begin with effect from the employee's 16th birthday, but there is no upper age limit. So, in 2022/23, if a salary is paid to an employee who has reached pensionable age, the employee will have no Class 1 primary liability, but the employer will still have to pay Class 1 secondary NICs at 15.05%.

Relief

Class 1 secondary contributions paid by the employer in respect of an employee, along with Class 1A and 1B contributions, are deductible by the employer in arriving at taxable profits.

Under 21 and Apprentices Under 25

The age of the employee can be important in two situations. Where the earnings are paid to employees under the age of 21, the rate of **employer's secondary** contributions is **0% on earnings between the secondary threshold and the 'upper secondary threshold'**. This is the same as the primary upper earnings limit. Where earnings exceed the upper secondary threshold, no secondary Class 1 NICs are payable on earnings below this limit but are paid at the usual 15.05% rate on earnings above this limit.

Similarly, the reduced rate of employer's secondary contributions of 0% on earnings between the secondary threshold and the apprentice upper secondary threshold applies to the earnings of apprentices under the age of 25 who are working towards an apprenticeship in the UK which follows a government approved framework or standard.

Note that the 0% rate does not apply when calculating the Class 1 primary contributions payable by the employee or apprentice.

Illustration 2

Oliver, aged 20, has a salary of £24,000 paid monthly.

Calculate the employee's and employer's NICs for 2022/23.

The monthly limits are:	£
Primary threshold	
- to 5 July 2022	823
- from 6 July 2022	1,048
Secondary threshold	758
Upper earnings limit	4,189
Upper secondary threshold	4,189

Oliver's monthly earnings are £24,000/12 = £2,000

Employee's Class 1 primary NICs:	
(2,000 – 823) × 13.25% × 3	468
(2,000 – 1,048) × 13.25% × 9	1,135
	1,603
Employer's Class 1 secondary NICs:	
(2,000 – 758) × 0% × 12	Nil

4.6 Employment Allowance

An eligible employer can claim to reduce their secondary Class 1 NICs bill by up to £5,000 each tax year. £5,000 is the maximum relief available. So, if the secondary Class 1 NICs liability for the year is less than this amount, the employer will not have to pay Class 1 NICs. There is no provision to carry forward any unused relief to the next tax year. The allowance can be claimed by employers who are sole traders, partnerships or companies. NICA 2014, s.1

In order to be eligible for the allowance, the employer's Class 1 NICs liability in the previous tax year must be less than £100,000. Where the employer is part of a group of companies, the total Class 1 NICs liability for the group must be less than £100,000 in the previous tax year and only one company in the group can claim the allowance. NICA 2014, ss.2 and 3

Illustration 3

Doodle Ltd has six employees. The secondary Class 1 NICs due each month in 2022/23 amount to £3,100 in total. Doodle Ltd is eligible to claim the employment allowance.

Show how Doodle Ltd will obtain relief for the employment allowance.

For the tax month ended 5 May 2022, Doodle Ltd will not have to pay Class 1 NICs as the liability of £3,100 is covered in full by the employment allowance. Of the £5,000 allowance, £3,100 has been used in the month ended 5 May 2022, leaving £1,900 to set against the secondary Class 1 NICs due for the month ended 5 June

2022. £1,200 of Class 1 NICs (being £3,100 less £1,900) is due for payment by Doodle Ltd in respect of the month ended 5 June 2022. Doodle Ltd has now received the maximum relief of £5,000; therefore, employer's Class 1 NICs of £3,100 will be payable each month for the remainder of 2022/23.

There are a number of other important situations where the employment allowance is not available.

A company cannot claim the employment allowance where all the payments of earnings subject to secondary Class 1 NICs it pays in a tax year are paid to only one employee who is also a director of the company at the time the payments are made. So, **'one-man companies' cannot claim the employment allowance** to reduce their secondary Class 1 NICs bill. NICA 2014, s.2(4A)

EXAMPLES

❖ Example 1

Which of the following forms of remuneration are earnings for Class 1 NICs purposes?

a. Interest-free loan

b. £5,000 of Premium Bonds

c. £20,000 of gold bullion

d. John Lewis store voucher

e. Reimbursement of home telephone calls

f. Reimbursement of business expenses

❖ Example 2

Harry, aged 31, is an employee earning £26,000 per year. He is paid weekly and in March 2023 he received a bonus of £1,000.

Calculate his Class 1 NICs due for 2022/23.

ANSWERS

✓ Answer 1

		Earnings	
a.	Interest-free loan	No	(No Class 1 NICs on benefits)
b.	£5,000 of Premium Bonds	Yes	(Surrenderable for cash)
c.	£20,000 of gold bullion	Yes	(Readily convertible asset)
d.	John Lewis store voucher	Yes	
e.	Home telephone bill	Yes	(Settlement of employee's liability)
f.	Reimbursed business expenses	No	

✓ Answer 2

Earnings:
51 weeks @ £500
1 week @ £1,500

NICs:	£
(500 – 190) @ 13.25% × 13	534
(500 – 242) @ 13.25% × 38	1,299
(967 – 242) @ 13.25% × 1	96
(1,500 – 967) @ 3.25% × 1	17
Total	1,946

CHAPTER 5

CLASS 1A AND 1B NATIONAL INSURANCE CONTRIBUTIONS

By the end of this chapter you will understand:
- when and how to calculate Class 1A NICs
- when and how to calculate Class 1B NICs

5.1 Introduction

Class 1A National Insurance contributions (NICs) are paid by **employers only**. Employees do not pay Class 1A NICs. SSCBA 1992, s.10

Class 1A NICs are paid by employers on the **cash equivalent of certain taxable benefits** and on taxable **termination payments in excess of the £30,000** exemption. As Class 1A National Insurance is the liability of the employer, it is charged at the employer's rate of 15.05%.

By benefits we mean non-cash remuneration. Many employees receive a remuneration package which could include cash remuneration, such as a salary and a bonus, as well as benefits.

These benefits often include the use of a company car, fuel, the use of company-provided accommodation, a cheap/interest-free loan or private medical insurance. The majority of these benefits are taxable in the hands of the employee and are subject to NICs.

There are also certain benefits which are exempt from income tax. Where a benefit is exempt from income tax it will also be exempt from National Insurance.

Where Class 1A NICs are due **in respect of benefits** (including those provided as part of a termination package), payment is made in one sum on **22 July following** the end of the tax year where payment is made electronically (otherwise 19 July).

Class 1B NICs are also paid by **employers only**. Class 1B National Insurance is charged on earnings which are included within a PAYE Settlement Agreement (PSA). The rate of Class 1B National Insurance is 15.05%. A PSA is an agreement between an employer and HMRC allowing the employer to settle the income tax liability on minor or irregular benefits to employees. The employee then effectively receives the benefit tax free.

Class 1B NICs are collected annually on 22 October following the end of the tax year where payment is made electronically (otherwise 19 October). SSCBA 1992, s.10A

5.2 Class 1A NICs on Benefits

Class 1A NICs are payable by employers on the cash equivalent of taxable benefits provided to employees, such as company cars and fuel, living accommodation and beneficial loans. Where an employer has included a benefit in payroll, this does not affect the National Insurance position and the benefit will still be subject to Class 1A NICs.

There is no Class 1A charge if there is no associated income tax liability. This means that exempt benefits such as a mobile phone, a work car parking space, or exclusive nursery etc, will not be charged to Class 1A NICs.

If a payment in kind is categorised as earnings, and as such is charged to NICs under the normal Class 1 rules, that benefit will not be charged on the employer under Class 1A.

Therefore, if an employer provides an employee with benefits such as Premium Bonds, readily convertible assets or high street store vouchers, the employer will have to pay Class 1 secondary NICs on those benefits because they are classified as earnings. The employer will not have to pay Class 1A as well.

Illustration 1

An employee, aged 26, receives the following remuneration package:

	£
Salary (paid monthly)	24,000
Company car benefit	4,200
Medical insurance benefit (included in payroll)	600
High street store voucher (awarded December 2022)	200
Cash bonus (March 2023)	10,000

Calculate the total NICs due for 2022/23.

To calculate total NICs payable for the tax year, we first calculate the Class 1 primary NICs payable by the employee on their earnings. We then move on to calculate the Class 1 secondary NICs paid by the employer on earnings given to the employee. The final National Insurance will be the Class 1A NICs payable by the employer on the benefits awarded to the employee.

We start with the Class 1 primary NICs. The employee is paid monthly so they have a monthly earnings period. For ten months of the year they earn a salary of £2,000.

In December 2022, they are given a high street store voucher. This is regarded as earnings for Class 1 NICs purposes, so their earnings for December 2022 go up to £2,200. Due to the cash bonus of £10,000 paid in March 2023, for this month the employee's earnings in the period go up to £12,000.

Earnings:

10 months	@ £2,000
1 month	@ £2,200
1 month	@ £12,000

Employees pay Class 1 NICs at 13.25% on monthly earnings between the primary threshold and the upper earnings limit, and at 3.25% above the upper earnings limit. The monthly primary threshold for 2022/23 is £823 until 5 July 2022 and £1,048 thereafter. The monthly upper earnings limit is £4,189.

	£
Class 1 primary NICs	
(2,000 – 823) @ 13.25% × 3 months	468
(2,000 – 1,048) @ 13.25% × 7 months	883
(2,200 – 1,048) @ 13.25% × 1 month	153
(4,189 – 1,048) @ 13.25% × 1 month	416
(12,000 – 4,189) @ 3.25% × 1 month	254
	2,174

Next we move on to Class 1 secondary NICs. Total earnings for the year are the salary of £24,000, the store vouchers of £200 and the bonus of £10,000. Total earnings, subject to secondary contributions in the year, are therefore £34,200. As the employee is not under 21 or an apprentice under 25 (or an armed forces veteran), the special 0% rate on earnings between the secondary threshold and the upper secondary threshold does not apply. As there is no upper earnings limit for secondary contributions, all earnings in excess of the secondary threshold will be charged to NICs at the rate of 15.05%.

Class 1 secondary NICs	
(34,200 – 9,100) @ 15.05%	£3,778

Finally, we calculate the Class 1A NICs liability. The car benefit is £4,200. The only other benefit for the year is the medical insurance of £600. We add this on to give us total taxable benefits for the year of £4,800. It does not make any difference that the medical insurance benefit was included in the payroll – it is still subject to Class 1A NICs.

Class 1A NICs	
4,800 @ 15.05%	£722

In summary, the following NICs are due:

Class 1 primary	**£2,174**
Class 1 secondary	**£3,778**
Class 1A	**£722**

This example demonstrates the interaction between Class 1 primary, Class 1 secondary and Class 1A National Insurance. What it also shows is that the National Insurance burden is much heavier on employers than on employees. This is partly because there is no upper earnings limit for employers and also because employees do not have the burden of Class 1A NICs.

5.3 Class 1B NICs

Class 1B NICs are payable by the employer where the employer has entered into a PAYE Settlement Agreement (PSA). A PSA allows the employer to settle the employee's tax liability in respect of minor or irregular benefits and expenses payments.

Whenever tax is settled under a PSA, the employer also needs to consider the impact of Class 1B National Insurance. Class 1B National Insurance is **charged on the grossed-up value of the benefits included within a PSA**. Included within the PSA is the total cost of the benefit. We then need to add on any income tax that has been included within the PSA – ie any income tax paid by the employer on behalf of their employees. Class 1B National Insurance is charged at the employer's rate of 15.05% on the total amount.

➢ Illustration 2

Such benefit will not be included in Class 1 Primary & Secondary nor Class 1A

A company has 100 employees. It holds a summer ball and the total cost of that function is £20,000, ie exactly £200 per head. Technically each employee will therefore have a benefit of £200, as the cost of the party exceeds the £150 per head threshold. However, as a gesture of goodwill, the company agrees to meet the tax liabilities via a PSA. Of the employees, 50 of them pay tax at the basic rate of 20%, whilst 50 of them pay tax at the higher rate of 40%.

Calculate the income tax and the Class 1B NICs due.

Each employee will have a benefit of £200. This is a 'net' benefit because the employee is deemed to have received a benefit of £200 **after** the tax has been settled by the employer.

To calculate the tax on this net benefit for basic rate employees, we multiply the net figure of £200 by 20/80. This gives tax of £50 and gives rise to a gross benefit of £250.

Basic rate employee:	£
Net benefit	200
Tax @ 20/80	50
Gross benefit	250

For the higher rate employees, we arrive at the tax by multiplying the net benefit by 40/60 to give tax of £133. The gross benefit in this instance is £333.

Higher rate employee:	£
Net benefit	200
Tax @ 40/60	133
Gross benefit	333

We can now calculate the total tax to be included in the PSA:

Tax in PSA	£
50 employees @ £50	2,500
50 employees @ £133	6,650
Total tax	9,150

Class 1B NICs are payable on the total benefit included in the PSA plus the income tax due

	£
Earnings within PSA (£200 × 100)	20,000
Income tax payable	9,150
	29,150
Class 1B NICs (29,150 @ 15.05%)	4,387

Class 1B National Insurance is the employer's liability only.

The due date for payment of Class 1B NICs is 22 October following the end of the tax year if payment is made electronically (otherwise 19 October). The income tax payable is due at the same time.

At first sight this may appear a little harsh; as well as paying income tax of £9,150, the employer also has to pay National Insurance at 15.05% on the income tax paid. This is because the income tax of £9,150 is strictly the liability of the employees, so what the employer is doing is settling the employees' personal liability. We know that if an employer settles an employee's liability under normal circumstances, there will be a charge to Class 1 secondary NICs. Here the charge is under Class 1B instead.

EXAMPLES

❖ Example 1

Norman receives the following non-cash benefits from his employer, Techno plc. Techno plc is a company listed on the UK stock exchange.

a. Company car and fuel
b. Interest-free loan of £8,000
c. 500 shares in Techno plc
d. £100 high street store voucher
e. Contributions to company pension scheme
f. Membership of local gym arranged by employer

Which of the above are subject to Class 1A NICs?

❖ Example 2

Brian is awarded a holiday to Florida by his employer. The holiday cost £3,000 and the company agrees to pay the tax on Brian's behalf via a PAYE Settlement Agreement. Brian is a salesman earning £20,000 per annum.

Calculate the Class 1B NICs liability for the employer.

ANSWERS

✓ Answer 1

		Class 1A NICs	
a.	Company car and fuel	Yes	Benefit
b.	Interest-free loan of £8,000	No	Exempt as less than £10,000
c.	500 shares in Techno plc	No	Class 1 applies
d.	High street store voucher	No	Class 1 applies
e.	Pension contributions	No	Exempt
f.	Local gym membership	Yes	Benefit

✓ Answer 2

	£
Earnings covered by PSA	3,000
Tax @ 20/80 (basic rate taxpayer)	750
	3,750
Class 1B NICs @ 15.05%	564

CHAPTER 6

CLASSES 2 AND 4 NATIONAL INSURANCE

By the end of this chapter you will understand:
- when Class 2 National Insurance contributions (NICs) must be paid
- when Class 4 NICs must be paid
- how to calculate Class 4 NICs
- the effect of trading losses on the Class 4 calculation
- the annual maxima that apply where more than one class of NICs is paid
- when there can be deferment of NICs

6.1 Introduction

Class 4 是到了退休年齡的下一個稅務年度停止徵收。

Self-employed earners between 16 and the 'pensionable age' **pay Class 2 and Class 4 NICs**. Class 2 ceases immediately on reaching pensionable age. Class 4 stops from the start of the tax year after the one in which pensionable age is reached.

Pensionable age depends on the individual's date of birth. Currently, individuals (both men and women) will not reach pensionable age until they are at least 66.

Pensionable age for both men and women is gradually increasing (depending on date of birth). It will increase to 67 between 2026 and 2028.

6.2 Class 2 Contributions

Class 2 NICs are flat rate contributions, currently payable at **£3.15 per week**. The amount of Class 2 NICs due is calculated based on the number of weeks of self-employment within the tax year.

The liability to Class 2 NICs is due for payment as part of the balancing payment for the tax year. For 2022/23, Class 2 NICs will therefore be payable on 31 January 2024. Class 2 NICs are not taken into account when calculating payments on account.

Where profits for the tax year do not exceed the 'lower profits limit', there is no liability to Class 2 NICs. Profits for this purpose are the same as profits for Class 4 NICs purposes. The lower profits limit is **£11,908** for 2022/23.

Where profits are between the 'small profits threshold' and the lower profits limit no Class 2 NICs are payable but the entitlement to the state pension and other state benefits is preserved. The small profits threshold is **£6,725** for 2022/23. Where profits are less than the small profits threshold the individual can pay voluntary Class 2 NICs in order to preserve this entitlement.

6.3 Class 4 Contributions

For 2022/23, Class 4 NICs are payable at **10.25%** on profits **between £11,908 and £50,270**, with an **uncapped 3.25%** payable on profits **above £50,270**. SSCBA 1992, s.15(3)

For example, if profits exceed the upper limit:

Class 4 NICs payable at 10.25%	£
(50,270 – 11,908) × 10.25%	3,932
Plus: Additional amount at 3.25%	
(Profits – 50,270) × 3.25%	X
Total Class 4 NICs payable	X

'Profits' in this context are the trading profits for the tax year. SSCBA 1992, s.15(1)

Class 4 NICs are **payable in the same way as income tax under self-assessment**, ie **payments on account** are due on 31 January in the tax year and 31 July following the tax year, based on the previous year's liability. A **balancing payment** is due on 31 January following the end of the tax year. SSCBA 1992, s.15(2)

6.4 Class 4 Contributions and Losses

Losses are 'negative earnings' for Class 4 NICs purposes. This is the case even if they have been **fully utilised for income tax purposes** – for instance, where they have been claimed against other income under s.64 ITA 2007.

Losses used against non-trading income are **still available to be used for Class 4 NICs purposes**.

➢ Illustration 1

In the year ended 31 March 2022, a trader made a trading loss of £16,000 and had other income of £10,000.

In the year ended 31 March 2023, the trader made trading profits of £30,000 and had other income of £5,000.

The trader submits a current year loss claim under s.64 ITA 2007. £10,000 of the loss will be set against the other income in 2021/22, reducing it to zero.

The trader will have losses to carry forward under s.83 ITA 2007 of £6,000.

Income tax computations

	2021/22	2022/23
	£	£
Trading income	Nil	30,000
Less: s.83 loss b/f		(6,000)
		24,000
Other income	10,000	5,000
Net income	10,000	29,000
Less: s.64 current year loss	(10,000)	
Revised net income	Nil	29,000

Show the profits chargeable to Class 4 NICs for 2022/23

For 2022/23, the profits for Class 4 purposes will be £14,000 as the **full amount of the trading losses will be available against profits for Class 4 purposes**, even though only £6,000 will be available in 2022/23 for income tax purposes.

We can **carry forward the full amount** where losses have been offset for income tax purposes against non-trading income.

	2022/23
	£
Trading income	30,000
Full loss b/f	(16,000)
Profits chargeable to Class 4 NICs	14,000

Example 1

Calculate the Class 4 NICs due in the illustration above.

6.5 Annual Maxima

There is an 'annual maximum' of contributions applying to any individual for a 'contribution year'. The contribution year is the same as the tax year. These 'annual maxima' rules apply where the earner either has **two jobs** (and is therefore paying Class 1 NICs twice), or is **both employed and self-employed** (and liable to Classes 1, 2 and 4).

If an individual has substantial earnings and profits as both an employee and as a self-employed individual, this could add up to a sizeable amount of NICs each year. A similar issue could arise if an individual has two jobs. There is therefore a **maximum cap** which applies each tax year and any excess over this amount will be refunded. This maximum amount is there essentially to ensure that an individual with two or more employments, or an employment and self-employment, does not pay considerably more NICs than an individual with one source of income.

The maximum amount is not a **fixed amount** and will vary according to the combination of employments and self-employments as well as the amounts earned. There are **two tests**. Test 1 looks at Classes 1 and 2 and may result in a reduced liability for Class 2 NICs. If appropriate, there may be a refund of Class 1 NICs. Test 2 may result in a reduced amount of Class 4 NICs payable.

Where relevant, HMRC will calculate the annual maxima automatically and determine the correct amount of Class 2 and Class 4 NICs payable, notifying this amount to the individual.

The annual maxima rules are contained in **Regs 21 and 100 SI 2001/1004 within the NICs section of Tolley's Yellow Tax Handbook Part 3**.

Tutorial Note:

The ATT Paper 2 syllabus requires an awareness of the annual maxima for NIC, calculations are not required.

6.6 Deferment of NICs

Deferment of **Class 1** primary contributions applies where the taxpayer has more than one employment.

The National Insurance Contributions Office (NICO) will determine for which of the employments deferment will be granted. In those employments where Class 1 deferment is granted, the employee will **continue to pay Class 1 contributions at 3.25% on earnings in excess of the primary threshold**.

Deferment does not apply to Class 2 and Class 4 NICs as HMRC will calculate the correct amount payable and only this amount will be paid via self-assessment.

ANSWERS

✓ Answer 1

Class 4 NICs for 2022/23 are (14,000 − 11,908) × 10.25% = £214

CHAPTER 7

EMPLOYED OR SELF-EMPLOYED?

By the end of this chapter you will understand:
– the distinction between employed and self-employed workers and why this matters
– the criteria for determining the status of a worker

7.1 Introduction

The tax legislation does not tell us whether a worker is employed or self-employed, so the distinction between the two is based on **HMRC practice and case law**. A **contract of service** is where an employee works for an employer. 'Contract of service' is specifically mentioned in s.4 ITEPA 2003. This statute primarily determines how an employee is taxed on the income and benefits received from the employment. Conversely, a **contract for services** is where an individual is self-employed. The legislation governing how the income of a self-employed individual is taxed is primarily ITTOIA 2005.

In the majority of instances, it is obvious whether an individual is an employee or whether they are in business on their own account as a self-employed trader. However, there is a considerable grey area between the two.

Responsibility for correctly determining whether an individual is employed or self-employed rests with the business which engages the services of the worker (the 'engager').

In cases of doubt, an engager who is taking on the services of an individual can ask their local HMRC Status Inspector for an opinion as to the employment status of the worker.

Alternatively, the engager can obtain an HMRC view of the employment status of a worker by using the 'Check employment status for tax' service on the HMRC website. Provided the information provided is accurate, HMRC will stand by the result given.

7.2 Employed or Self-employed – Why does it matter?

A worker's employment status – ie whether they are employed or self-employed – is **not a matter of choice**. Whether someone is employed or self-employed depends upon the terms and conditions of the relevant engagement.

It is **important to determine correctly the status of a worker** because the tax and NICs treatment of workers who are employees and workers who are self-employed is different.

An incorrect classification of a worker's status will therefore mean that the amount of tax and NICs paid is incorrect and that the tax and NICs are paid at the wrong time.

It is also unfair that two workers engaged by separate businesses on similar projects who perform the same tasks and receive the same pay do not pay the same tax and NICs because of the incorrect classification of one of them.

➢ Illustration 1

Lilliput Ltd engages the services of Derek as a handyman on 6 April 2022.

Derek informed Lilliput Ltd that he is self-employed. He invoices Lilliput Ltd at the end of each month and is paid gross, without deduction of tax or NICs.

From his gross payments, Derek deducts the costs of travelling to work every day along with some other expenses such as stationery and clothing. Derek accounts for tax and NICs on his business profits via his annual self-assessment tax return.

An HMRC enquiry into Lilliput Ltd's PAYE procedures in 2023/24 results in Derek being reclassified as an employee from his first day of work. As a result:

- **Income tax should have been deducted at source** from payments to Derek under PAYE (rather than being paid on the following 31 January under self-assessment).
- **Class 1 primary NICs should have been deducted** from payments to Derek (rather than Class 2 and Class 4 NICs being paid on the following 31 January).
- **Additional NICs will be due** as the Class 1 rate is higher than the Class 4 rate.
- **Class 1 secondary NICs should have been paid by Lilliput Ltd** on payments to Derek.
- **Derek should not have made payments on account** under self-assessment as most of his tax liability should have been paid at source.
- The **expenses deducted by Derek from his income will not be allowable** – for example, home-to-work travel costs are not deductible and it is unlikely that Derek will be allowed a deduction for stationery and clothing as these will not meet the 'wholly, exclusively and necessarily' tests which apply to employees.
- If Derek has registered for VAT as a self-employed individual, his registration will need to be cancelled and any VAT paid or repaid will need to be revisited.
- As an employee, Derek will receive protection under employment law for such things as Statutory Sick Pay, Statutory Paternity Pay, holiday pay, the right not to be dismissed unfairly or without notice, the right to join the company pension scheme etc (these are not available to the self-employed).

7.3 Determining Employment Status

Recent court cases indicate there is **no single straightforward test governing the question of whether a person is employed or self-employed**.

HMRC advice is to **consider all the factors** that are present in, or absent from, a particular case then **weigh those pointing to employment against those pointing to self-employment**. Having done that, **a picture will emerge** from which employment status can usually be ascertained.

Case law has dictated that there **must be four factors present** before an individual will be classed as an employee:

- Mutuality of obligation.
- Wage paid to the worker (and not a third party).

- Personal service.
- Control.

Once the above four factors are present, the courts adopt an **economic reality (multiple) test** to determine if the person is an employee. The following is a list of the other **factors to be taken into account** in determining whether a worker is employed or self-employed:

- Degree of integration into the organisation.
- Provision of own equipment.
- Basis of payment.
- Financial risk.
- Opportunity to profit.
- Business organisation.
- The number and length of engagements.
- Name of the contract and position of the parties.

This is by no means an exhaustive list but it does include the most important criteria.

We shall examine some of these tests.

7.4 Key Factor: Mutuality of Obligation

Where an **engager is under an obligation to provide work** and the **worker is under a similar obligation to accept the work** and to perform the tasks delegated to them, this usually points to the relationship **being one of employment**.

If a worker is self-employed, they will have no guarantee of work, and even if work is offered to them they are under no legal obligation to accept the work offered. Employees on the other hand are rarely allowed the freedom to refuse work allocated to them.

The existence of any mutual obligation between the parties will **usually be obvious from any service contract between the two parties**. Employees usually have an employment contract which sets out the terms and conditions under which they are to perform duties for their employer.

7.5 Key Factor: Personal Service

Where a person does not have to personally perform their services, then the arrangement is not of employer and employee. The ability to provide a substitute and/or engage helpers is something HMRC look at closely.

An employee will have no freedom to send a substitute in their place if, for whatever reason, they are unable to perform their duties. Similarly **an employee will rarely be allowed to engage the services of a helper or assistant**.

On the other hand, if a self-employed person has contracted to do a job and is either sick or double-booked, **that self-employed person will usually have the freedom to provide a substitute** to complete the job in their place.

When looking at the right of substitution, HMRC will require **evidence of occasions when a substitute has actually been used to fulfil a task**. Therefore, the mere presence in a contract of a clause which gives the worker the right to provide a substitute is not usually enough. The worker must clearly show that a substitute has in fact been engaged.

7.6 Key Factor: Control

In a typical employer/employee relationship, **the employee will exercise very little control over what they do on a day-to-day basis**. An employer will typically tell an employee what to do, how to do it and when to do it by.

The fact that a worker may be told how to perform duties will usually be seen as a **strong pointer to employment**.

On the other hand, **a self-employed person will have far more control** over the jobs that they undertake and the deadline for completion of those jobs.

However, where the worker is an expert (eg a ship's captain or a brain surgeon), the issue of control would probably not be seen as material. For example, consider a brain surgeon who works for the NHS. Whilst performing the surgery, they are in total control over what they do, how they do it and how long they take to complete the task. This does not mean that they are self-employed, however. **This is an unusual situation and the issue of control in this instance will therefore carry less weight**.

7.7 Other Factors: Degree of Integration into the Organisation

Establishing whether a person becomes 'part and parcel' of the engager's organisation can be a useful indicator.

An employee will be integrated into the business of the employer. For example, an employee will usually have their own desk, a designated computer with which to work, an email address, a land line phone number, their own stationery, access to normal employee facilities such as the staff restaurant, and access to the employer's premises (often by means of a security pass). Employees will also be allowed to join company pension schemes, receive invitations to staff functions such as Christmas parties and perhaps have a car parking space.

Contrast this with the position of a self-employed person, who will not be as integrated into an engager's business, will not have a desk, a computer or access to the business premises without prior appointment, and will not have the 'employee type' benefits such as those described above.

7.8 Other Factors: Provision of Own Equipment

When considering whether a worker is employed or self-employed, HMRC will look at **who provides the tools for the job in hand**.

An **employee is rarely responsible for providing their own equipment**. When we turn up for work we expect our employers to provide us with a computer, a printer, a telephone and some stationery etc.

A self-employed person, on the other hand, will customarily be responsible for providing the necessary equipment to enable them to undertake the work offered.

7.9 Other Factors: Financial Risk

Individuals who risk their own money by (say) buying assets needed for the job, bearing the running costs and paying for overheads and materials **are more likely to be self-employed**. Employees are not usually expected to risk their own capital.

An example of a financial risk is where a worker incurs significant amounts of expenditure on training in order to obtain the skills needed, which are then used in subsequent engagements. This can be treated as a **pointer to self-employment** if there is a **real risk that the investment in training would not be recovered** from income from future engagements.

Self-employed workers may also be required to **rectify unsatisfactory work in their own time** and at their own expense.

Financial risk could also take the form of quoting a fixed price for a job, with the consequent risk of bearing the additional costs if the job overruns. **The risk of making a loss is a very strong indicator of self-employment**.

7.10 Other Factors: Opportunity to Profit

A person whose profit (or loss) depends on the capacity to reduce overheads and organise the work effectively is likely to be self-employed.

People who are paid by the job will often be in this position. For example, a person who quotes a fixed price may well be able to complete the task ahead of schedule or at a lower cost than originally envisaged.

7.11 Other Factors: The Number and Length of Engagements

A typical employee is only likely to be employed by one person at any one time.

However, a worker who typically performs services for a number of different businesses is more likely to be self-employed.

CHAPTER 8

INTRODUCTION TO CAPITAL GAINS TAX

By the end of this chapter you will understand:
- who is liable to pay capital gains tax (CGT)
- what types of disposals are liable to CGT
- what types of assets are liable to CGT
- the special rules for transfers between spouses
- the availability of the annual exempt amount
- how to calculate CGT

8.1 Introduction

In general terms a **capital gain** will arise when a person disposes of a **capital asset** at a **profit**. Profit, again in general terms, is the excess of proceeds over cost.

A charge to capital gains tax will arise when a chargeable person makes a chargeable disposal of a chargeable asset.

8.2 Chargeable Person

A chargeable person could be an individual or it could be a company. Note here, however, that if a company makes a chargeable gain – it does not pay capital gains tax but instead the **company pays corporation tax on its gain**. TCGA 1992, s.1

This is covered further in your corporation tax manual.

8.3 Chargeable Disposal

The most common way for a person to dispose of an asset is to **sell** it to another person. However, a **gift** also constitutes a disposal for capital gains tax purposes. There are provisions within the capital gains tax legislation that provide for the **loss or destruction** of an asset also to be treated as a disposal for CGT. TCGA 1992, s.22(1)(a)

Death is not an occasion of charge for CGT purposes – no capital gains or losses will arise for the deceased. The person who is left the assets by the deceased will inherit the assets with a base cost equal to market value at the date of death – known as **probate value**. We often say that where assets pass on death there is a CGT free uplift to probate value. TCGA 1992, s.62(1)

8.4 Chargeable Assets

Most property other than cash in sterling is an asset for CGT purposes. An asset is a chargeable asset if it is **not specifically exempt** under the capital gains tax legislation. If you cannot find an asset on the list of exempt assets, it will be a chargeable asset for capital gains tax purposes. TCGA 1992, s.21(1)

8.5 Exempt Assets

Cars are always exempt from capital gains tax. The legislation defines a car as a 'mechanically propelled road vehicle constructed or adapted for the carriage of passengers'. As such, assets such as vans and lorries are not exempt from CGT, because they do not satisfy the definition of the word 'car'. TCGA 1992, s.263

Wasting chattels are exempt from CGT. A chattel is 'tangible, moveable property' – ie an asset that one can see, touch and move. A wasting chattel is a chattel with a useful life of not more than fifty years. Assets such as greyhounds and racehorses are exempt from CGT. TCGA 1992, s.45

Chattels that are bought and sold for not more than £6,000 are exempt from CGT. This would cover other non-wasting chattels, such as antiques, which are of relatively low value. TCGA 1992, s.262

Gilts are also exempt from CGT. Gilts are Treasury Stock issued by the UK Government on which annual interest is payable. Qualifying corporate bonds (QCBs), such as loan stock issued by a company, are exempt assets for CGT. TCGA 1992, s.115; TCGA 1992, s.117

Shares in an **ISA** (Individual Savings Account) are exempt as are shares in **VCTs** (Venture Capital Trusts), provided that they were acquired within the investment limit for the year of acquisition. Gains on shares in **EIS** and **SEIS** companies in respect of which income tax relief has been claimed are also exempt (subject to certain conditions). SI 1998/1870; TCGA 1992, s.151A

This is not an exhaustive list and there are one or two other assets that are also exempt from capital gains tax. These include foreign currency held for personal expenditure outside the UK, foreign currency bank accounts, certain decorations for valour, life assurance policies and certain works of art. Remember if an asset is not specifically exempt, it must be a chargeable asset for capital gains tax. Annex to SP 4/92; TCGA 1992, s.258

8.6 Transfers between Spouses and Civil Partners

Any transfer between a husband and wife is treated as taking place at no gain and no loss. This means that spouses can transfer assets freely between them, without incurring a charge to CGT. The same rule applies to civil partners. Throughout this manual, the word 'spouse' means husband, wife and civil partner. TCGA 1992, s.58

8.7 Annual Exempt Amount

Every individual has an annual exempt amount for capital gains tax. This annual exempt amount is **£12,300** for the tax year 2022/23. The annual exempt amount is similar to the personal allowance for income tax in that the first £12,300 of capital gains in the year are not chargeable to CGT. Therefore, in order to arrive at taxable gains, we take chargeable gains and deduct £12,300. TCGA 1992, s.1K

➢ Illustration 1

Charlie sold a statue on 7 April 2022 giving rise to a gain of £8,500. He also sold some shares in AOK plc on 8 May 2022 giving rise to a gain of £12,600.

Calculate Charlie's taxable gains (after the annual exempt amount) for 2022/23.

	£
Gain on statue	8,500
Gain on shares	12,600
Total chargeable gains	21,100
Less: Annual exempt amount	(12,300)
Taxable gain	8,800

8.8 Calculation of CGT

The rate of capital gains tax depends on **the level of an individual's taxable income** and the **nature of the asset** being disposed of. TCGA 1992, s.1H

Generally, if an individual pays tax at the higher or dividend upper rates (or additional rates) on their income, then the rate of capital gains tax is 20%.

Otherwise, gains are generally taxed at a rate of 10% to the extent that they do not exceed the individual's unused basic rate band and at 20% to the extent that they exceed the amount of the unused basic rate band.

The unused basic rate band is the **amount of basic rate band remaining after an individual's income has been taxed**.

If a disposal is made by a Scottish taxpayer **the basic rate band used is still £37,700**.

➢ Illustration 2

Gian sold a painting on 3 May 2022 giving rise to a gain of £20,000. He also sold a plot of land on 31 August 2022 giving rise to a gain of £50,000.

Gian works as a financial controller and earns £36,000 per annum. This is his only source of income in 2022/23.

Calculate Gian's CGT liability for 2022/23.

We deduct the annual exempt amount of £12,300 in order to arrive at the amount of taxable gains.

	£
Painting	20,000
Plot of land	50,000
Less: Annual exempt amount	(12,300)
Taxable gains	57,700

In order to calculate his capital gains tax liability for 2022/23, we need to establish the amount of Gian's unused basic rate band.

		£
Salary		36,000
Less: Personal allowance		(12,570)
Taxable income		23,430
Basic rate band		37,700
Less: Taxable income		(23,430)
Unused amount		14,270
14,270	@ 10%	1,427
43,430	@ 20%	8,686
57,700		
Total CGT liability		10,113

Where a gain arises on the disposal of **residential property**, the 10% and 20% rates increase to **18%** and **28%** respectively.

A residential property is a property which at any time during the individual's period of ownership was **used as a dwelling** or was suitable for use as a dwelling. TCGA 1992, Sch 1B para 5

8.9 Due Date and Reporting Rules

Capital gains tax is generally due and payable in full on 31 January following the year the gain was made. For 2022/23, the CGT will be due and payable on 31 January 2024. Payments on account of CGT are not required on 31 January in and 31 July following the tax year, as they are for income tax.

There are specific reporting and payment rules for UK residential property disposals. These are not covered here.

For disposals of assets other than UK residential property, taxpayers can report their capital gains via either:

- a 'real-time transaction tax return'; or
- their self-assessment tax return.

Real-time returns are normally used by unrepresented taxpayers who are not within the self-assessment system and who can therefore report a gain or loss without the need to register for self-assessment and file annual returns.

Real-time returns can be submitted at any time after the disposal up until 31 December following the end of the tax year in which the gain or loss was made.

Once the real-time return has been filed, HMRC will contact the taxpayer with details of how and when to pay any CGT. The CGT is payable by 31 January following the end of the tax year in which the gain was made, although the taxpayer can choose to settle the tax straight away if they wish (to make sure the tax is settled before they spend the disposal proceeds!).

There is no obligation to make a payment on account.

If a taxpayer does not wish to report gains in real time, they can do so via the Capital Gains pages of the self-assessment tax return and pay the tax by the normal 31 January deadline.

EXAMPLES

❖ Example 1

Indicate whether the following assets are chargeable or exempt.

		Chargeable	Exempt
a.	Cottage in Lake District		
b.	Villa in Spain		
c.	Antique vase		
d.	Vintage Rolls Royce		
e.	Shares in Tolley Ltd		
f.	Shares in an ISA		
g.	Thoroughbred racehorse		
h.	Factory used for business		

❖ Example 2

Vince is a Civil Servant earning £34,350 per annum. In 2022/23 he sold 2 assets:

1. Shares in ICI plc on 1 December 2022 realising a gain of £15,000.
2. A commercial property on 1 March 2023 realising a gain of £45,000.

Calculate Vince's CGT liability for 2022/23.

ANSWERS

✓ Answer 1

		Chargeable	Exempt
a.	Cottage in Lake District	X	
b.	Villa in Spain	X	
c.	Antique vase	X	
d.	Vintage Rolls Royce		X
e.	Shares in Tolley Ltd	X	
f.	Shares in an ISA		X
g.	Thoroughbred racehorse		X
h.	Factory used for business	X	

✓ Answer 2

Capital gains	£
Shares	15,000
Commercial property	45,000
	60,000
Less: Annual exempt amount	(12,300)
Taxable gains	47,700

CGT:

15,920 @ 10% (W1)	1,592
31,780 @ 20%	6,356
CGT payable	7,948

Workings

W1:

Salary	34,350
Less: Personal allowance	(12,570)
Taxable income	21,780

Basic rate band	37,700
Less: Taxable income	(21,780)
Unused amount	15,920

CHAPTER 9

CALCULATION OF CAPITAL GAINS

By the end of this chapter you will understand:
- how a capital gain is calculated on the disposal of an asset
- what types of expenditure can be deducted when calculating a capital gain
- how to treat enhancement expenditure

9.1 Calculation of Gains

The method of calculating the capital gain on assets disposed of is very straightforward:

Proceeds of sale	P
Less: Costs of acquisition	(C)
Capital gain	G

We simply **take proceeds of sale and deduct all costs of acquisition** to leave us with the capital gain.

In essence, we are simply working out the cash profit on the transaction.

From the proceeds of sale we may deduct **incidental costs of disposal**. These will include legal fees, valuation fees, and any costs of advertising for sale.

Similarly the costs of acquiring an asset will include allowable costs and expenses. These allowable costs will obviously include the actual cost of acquiring the asset in the first place. An asset which is inherited is treated as being acquired at probate value. In addition to this we can include any **associated expenses** such as legal fees, commissions and stamp duty reserve tax or stamp duty land tax. TCGA 1992, s.38

➢ Illustration 1

In June 2014, Diana bought a house at a cost of £120,000. Legal fees in acquiring the property amounted to £5,000. In May 2022, Diana sold the house and the proceeds of sale were £200,000. Diana incurred estate agent's fees of £4,000 on the sale. Diana is a higher rate taxpayer and this is her only disposal in 2022/23.

Calculate Diana's capital gain arising on the sale of the house.

In order to calculate Diana's capital gain on the sale of the property, we start with the gross proceeds of sale. From this we deduct the selling expenses – ie the estate agent's fees on sale, to leave net proceeds of sale. From net proceeds we deduct costs of acquisition.

These are the initial purchase cost, and the legal fees on purchase.

	£
Gross proceeds	200,000
Less: Selling expenses	(4,000)
Net proceeds	196,000
Less: Costs of acquisition	
– purchase cost	(120,000)
– legal fees	(5,000)
Capital gain	71,000

You will note here that Diana is simply paying capital gains tax on the cash gain. £71,000 is the difference between the cash that she receives and the total cash that she has spent. This capital gain will then be taxed by deducting the annual exempt amount of £12,300 and charging the remaining taxable gain at 28% – as Diana is a higher rate taxpayer and the gain arises on a residential property disposal.

It is important that we identify the correct date of disposal as this determines in which tax year the gain will be charged.

The date of disposal for capital gains tax is the **date when the contract** to sell the asset **is signed**, ie the date that contracts are exchanged. If a **contract is conditional** on a particular event taking place, the date of disposal for CGT purposes is the **date that all of the relevant conditions have been fulfilled**. TCGA 1992, s.28(1), (2)

9.2 Enhancement Expenditure

Any expenditure which enhances the value of the asset is also deductible. TCGA 1992, s.38(1)(b)

Enhancement expenditure is expenditure which increases the value of an asset and is reflected in the nature of the asset at the date of disposal. The most common type of enhancement expenditure is where a taxpayer incurs building costs in enhancing the value of a property. The allowable expenditure will be the original cost of acquiring the property plus any amount spent in improving or enhancing its value.

➢ Illustration 2

Rahul buys a property in July 2008 for £30,000. In March 2009, Rahul spends £10,000 in adding an extension to the property. He sells the property in March 2023 for £150,000.

Calculate Rahul's capital gain.

The expenditure incurred in March 2009 has enhanced the value of the property and is reflected in the nature of the asset at the date of sale. This enhancement expenditure is therefore deductible in calculating the capital gain.

	£
Sale proceeds	150,000
Less: Original cost (July 2008)	(30,000)
Less: Enhancement (March 2009)	(10,000)
Capital gain	110,000

EXAMPLES

❖ Example 1

Jennifer buys a painting in January 2005 for £15,000 and sells it in September 2022 for £50,000.

Jennifer has employment income of £28,000 per annum and has no other income.

Calculate Jennifer's CGT liability for 2022/23.

❖ Example 2

Shelley bought a painting in January 2001 for £12,000. In May 2011 she had it restored and reframed at a cost of £3,000.

Shelley sold the painting at auction in October 2022 for £50,000. Auctioneer's fees of 5% were charged on sale.

Calculate Shelley's capital gain.

ANSWERS

✓ Answer 1

	£
Proceeds	50,000
Less: Cost	(15,000)
Capital gain	35,000
Less: Annual exempt amount	(12,300)
Taxable gain	22,700

CGT:

22,270 @ 10% (W)	2,227
430 @ 20%	86
Total CGT due	2,313

Working

Basic rate band	37,700
Less: Taxable income (28,000 – 12,570)	(15,430)
Basic rate band remaining	22,270

✓ Answer 2

	£
Gross proceeds	50,000
Less: Auctioneer's fees (5%)	(2,500)
	47,500
Less: Original cost	(12,000)
Less: Enhancement	(3,000)
Capital gain	32,500

CHAPTER 10

BUSINESS ASSET DISPOSAL RELIEF AND INVESTORS' RELIEF

By the end of this chapter you will understand:
– how business asset disposal relief operates
– which disposals of business assets the relief applies to
– when investors' relief applies

10.1 Business Asset Disposal Relief

Business asset disposal relief (BADR) is a CGT relief available to taxpayers who sell or give away their businesses. Prior to 2020/21 the relief was called entrepreneurs' relief.

The relief is available where there is:

1. a 'material disposal' of 'business assets'; or TCGA 1992, s.169I

2. a disposal which is 'associated' with a material disposal. TCGA 1992, s.169K

Generally, BADR is available to:

a. **sole traders and partners** selling the whole or part of their businesses – this includes **furnished holiday lettings**;

b. company **directors and employees** who dispose of shares or securities in the **personal trading company** they work for; and

c. company directors and employees who **acquired shares under the EMI option scheme** (this is not in your syllabus).

We will look at the detailed conditions later.

BADR must be claimed on or before the first anniversary of 31 January following the tax year of the qualifying disposal, ie no later than 31 January 2025 for disposals in 2022/23. However in most cases the relief will be claimed when filing the self-assessment tax return for the year in which the gain is made. TCGA 1992, s.169M

10.2 Operation of the Relief

The aim of BADR is **to reduce the rate of capital gains tax paid by taxpayers on qualifying disposals to 10%**. Gains are eligible for relief up to a maximum lifetime limit which is currently £1 million (discussed later). For disposals prior to 11 March 2020 the limit was £10 million.

Relief is given by taxing gains qualifying for BADR **at a flat rate of 10%**, regardless of whether the taxpayer is a basic, higher or additional rate taxpayer. TCGA 1992, s.169N

When determining the rate of tax payable in respect of other gains (including residential property gains), gains eligible for BADR which are subject to tax at 10%

are treated as using up any unused basic rate band in priority to other gains. TCGA 1992, s.1I(4)–(6)

The **annual exempt amount should be deducted in order to minimise the tax due**. The AEA should therefore be deducted from gains subject to tax at the highest rate. TCGA 1992, s.1K(5)

Illustration 1

Ian Robinson is the managing director and sole shareholder of Ganymede Ltd, a small printing company. On 1 June 2022 he sold his shares in the company making a gain of £720,000 which qualifies for BADR. He also sold a painting on 15 July 2022 making a gain of £36,000.

He had not previously made any disposals qualifying for BADR.

Ian's taxable income for 2022/23 was £25,000.

Calculate Ian's CGT due for 2022/23.

His CGT due is calculated as follows:

	Gains eligible for BADR £	Other gains not eligible for BADR £
Gain on sale of shares	720,000	
Gain on sale of painting		36,000
Less: Annual exempt amount		(12,300)
Taxable gains	720,000	23,700
CGT:		
720,000 @ 10%		72,000
23,700 @ 20%		4,740
CGT payable		76,740

Although the level of Ian's taxable income means that some of the basic rate band is unused, this is allocated first to gains eligible for BADR. The gain on the painting is fully taxable at 20%. Note that the annual exempt amount is set against the gain taxable at 20% in order to minimise the tax liability.

Where the disposal is of an unincorporated business, the gain qualifying for BADR is the aggregate gain on the business assets.

➢ Illustration 2

Kemar sold his sole trader business on 31 December 2022 for £500,000.

The assets sold are his business premises, goodwill, machinery and current assets, which are valued as follows:

	Market value	Cost
	£	£
Business premises	175,000	60,000
Goodwill	250,000	Nil
Plant and machinery	52,000	
Current assets (cash and debtors)	23,000	
MV of business at 31.12.22	500,000	

The cost and market value of each individual item of plant and machinery is less than £6,000. Cost and sales proceeds <£6,000, exempt

Kemar's taxable income for 2022/23 was £25,000 and he has not previously made any disposals qualifying for BADR.

Calculate Kemar's CGT due for 2022/23.

The only chargeable assets are the premises and the goodwill.

The plant and machinery is exempt under the chattels rules and the current assets do not give rise to chargeable gains.

Kemar's CGT due is calculated as follows:

	Premises	Goodwill
	£	£
Proceeds (MV)	175,000	250,000
Less: Cost	(60,000)	Nil
Gains	115,000	250,000
Total gains		365,000
Less: Annual exempt amount		(12,300)
Taxable gains		352,700
CGT		
352,700 @ 10%		35,270

10.3 Lifetime Limit

BADR can only be claimed in respect of capital gains up to a lifetime limit. Individuals can claim relief for gains on **multiple occasions** until this limit is reached. Gains which exceed the lifetime limit are taxed at the normal CGT rates.

The lifetime limit is currently £1 million. For disposals prior to 11 March 2020 the limit was £10 million.

In order to calculate the amount of qualifying gains eligible for relief in respect of each disposal, the **cumulative total of gains** which have obtained BADR (or entrepreneurs' relief before April 2020) must be deducted from the lifetime limit at the date of disposal to see if any of the lifetime limit remains. If the cumulative total of gains which have obtained relief **exceeds** the lifetime limit at the date of disposal, no further relief may be claimed.

➢ Illustration 3

Ellen Richardson owns and runs Chalice Ltd, a manufacturing company. On 1 August 2022 she sold her shares in the company making a gain of £980,000 which qualifies for BADR. She also sold a vase on 15 August 2022, making a chargeable gain of £10,000.

Ellen had claimed entrepreneurs' relief in 2012/13 in respect of an earlier gain of £240,000.

Ellen's taxable income for 2022/23 was £67,000.

Calculate Ellen's CGT due for 2022/23.

When calculating the amount of qualifying gain eligible for relief in 2022/23, the earlier gain which obtained relief of £240,000 is deducted from the current lifetime limit of £1 million. This means that a further £760,000 of gain is eligible for BADR in 2022/23.

The remaining gain of £220,000 (£980,000 less £760,000) will not qualify for relief.

Ellen's CGT due for 2022/23 is therefore calculated as follows:

	Gains eligible for BADR	Other gains not eligible for BADR
	£	£
Gain on sale of shares	760,000	220,000
Gain on sale of vase		10,000
Less: Annual exempt amount		(12,300)
Taxable gains	760,000	217,700
CGT:		
760,000 @ 10%		76,000
217,700 @ 20%		43,540
CGT payable		119,540

10.4 'Material Disposals' of 'Business Assets'

BADR is available to taxpayers who make a 'material disposal' of 'business assets'. TCGA 1992, s.169I

A 'business asset' means:

a. the whole or part of a **sole trade or partnership business**; or

b. a disposal of an **asset used in a business at the time the business ceases** to be carried on; or

c. a **disposal of shares** (or securities, loan stock etc) in a company.

Whole or Part of a Business

The individual must be disposing of the whole or part of their business. Therefore, the **disposal of a single asset used in that business does not qualify** for BADR.

A 'material disposal' means that the business must have been **owned by the taxpayer for at least two years** prior to the disposal. TCGA 1992, s.169I(3)

Relief is only given in respect of 'relevant business assets' (ie **assets used for the purpose of the business** at the time the business is disposed of).

This generally means business premises, goodwill, plant etc, but not shares or other assets held for investment purposes. Gains and losses on relevant business assets must be aggregated in order to find the net gain eligible for relief. TCGA 1992, s.169L; TCGA 1992, s.169N

Assets Used in the Business at the time the Business Ceases

In the case of the disposal of an asset used in a business at the time of cessation, 'material' means that the business must have been owned by the taxpayer for at least two years prior to cessation and the **asset must be sold within three years of the cessation**. TCGA 1992, s.169I(4)

Shares in a Personal Company

In the case of the disposal of shares or securities in a company, 'material' means that for **at least two years prior to the disposal**: TCGA 1992, s.169I(6)

i. the company is the taxpayer's **'personal trading company'**; and

ii. the taxpayer must **work for the company** (or for another company in the same group). There is no minimum hour stipulation, so full or part-time employees or directors will be eligible.

A personal company is one where the shareholder owns **at least 5% of the ordinary share capital** and by virtue of that holding is able to **exercise at least 5% of the voting rights**. In addition, the shareholder must **either** be entitled to **at least 5% of the distributable profits** and **5% of the assets available on a winding up**, **and/or** be entitled to **at least 5% of the proceeds of a disposal of the whole of the ordinary share capital** of the company. TCGA 1992, s.169S(3)

The conditions which must be met for a company to be an individual's personal company are intended to ensure that the individual has a minimum economic stake in the company, indicating actual entrepreneurial activity. For exam purposes, if a question simply states that an individual owns 5% of a company and does not provide any other information, you should assume the conditions are met.

Note that the sale of securities (loan stock etc) in a company will be eligible for BADR, but this will only be the case where the loan stock is in a company for which the taxpayer is an employee or director and which meets the definition of a personal company (so the individual must own at least 5% of the ordinary shares).

The disposal of shares in a company that has **ceased trading** may also satisfy the material disposal condition. In this case the personal trading company and working conditions must be satisfied for the **two years prior to cessation of trade**. Then the disposal of the shares must take place within **three years of cessation**. TCGA 1992, s.169I(7)

10.5 'Associated' Disposals

'Associated' disposals also qualify for BADR. TCGA 1992, s.169K

An 'associated' disposal is where:

a. a taxpayer makes a **material disposal** of a business or shares/securities in a company; and

b. as part of the withdrawal of the individual from the business, the individual makes a **disposal of an asset which had been used in that business**; and

c. the asset disposed of had been **used in that business for at least two years** and **has been owned by the individual for the three years prior to the disposal**.

For example, if a company director owns at least 5% of the shares of a company and also owns the premises from which the company trades, if the director sells the building **at the same time** as they sell the shares, this is an 'associated disposal' and is eligible for relief.

An associated disposal also includes a situation where a partner sells their interest in a partnership, **and also sells an asset they own personally** but which is used in the partnership's trade.

Withdrawal from the business does not require full and complete disposal of the business interests/shareholding and can encompass a sale of part of a partnership interest or the sale of some shares, provided the material disposal comprises the disposal of **at least a 5% shareholding** in the company or a **5% share in the partnership assets**.

However, the material disposal may be of less than a 5% interest where the disposal is of **the whole of the individual's partnership interest**, providing the individual has owned **5% or more for 3 of the 8 years prior to the disposal**. TCGA 1992, s.169K(1AA)

Note here that the **associated disposal rules cannot apply to sole traders**. Also, the 'associated disposal' rules cannot apply to isolated disposals of assets. The disposal must be 'associated' with something – ie the disposal of the business in which the asset was being used.

In order for relief to be available, there **must not normally be a significant interval of time** between the 'associated' disposal and the material disposal to which it relates.

To this end, where the business has **ceased** HMRC will accept that there has been an associated disposal so long as the asset was **used in the business in the period two years before cessation** and the disposal takes place:

- within **one year of the business's cessation**; or
- within **three years** so long as the asset has not been leased or used for **any other purpose** in the meantime.

However, if the business has **not ceased** the acceptable time period is within **three years** of the material disposal, again so long as the asset has **not been used for any other purpose** in the meantime.

10.6 Associated Disposals – Rent for Use of Assets

In the case of an associated disposal, if rent has been charged by the individual to the business for the use of the asset now being sold, this **receipt of rent restricts the availability of BADR**. TCGA 1992, s.169P(4)

Gains eligible for BADR are restricted on a 'just and reasonable' basis. This means that:

- if **no rent** is charged, **full** relief is available;
- if a **full commercial rent** is charged, **no relief** is available;
- if rent is charged at **below commercial rates, some** relief is available.

In the past taxpayers may have taken the decision to charge rents for the use of the asset as such income is free of PAYE and NIC, and the payment of rent is tax deductible for the company.

10.7 Relief where a Company Ceases to be a Personal Trading Company

In order for BADR to be available on the disposal of shares (or securities) in a trading company, it must be the individual's personal company – they must therefore own at least 5% of the ordinary share capital.

However, it may be that where an individual originally held a shareholding of at least 5%, additional shares are issued to other investors such that **the shareholding falls to below 5%** with the result that **the company ceases to be the individual's personal company**. So as a result of the issue of additional shares, perhaps to raise finance to facilitate growth, an individual ceases to hold shares that qualify for BADR, even though they may have met the necessary conditions for a number of years.

Relief is available for gains made before an individual's shareholding is 'diluted' to less than 5% so that BADR is still available in respect of the gains made before the dilution.

An election can be made for a **deemed disposal and reacquisition of the shares immediately before the dilution**. The election will result in a **notional gain in respect of which a claim for BADR can be made**.

The amount of the deemed sale proceeds is the **value of the shares on the assumption that all of the share capital of the company had been disposed of at market value** prior to the new share issue. So, no account is taken of minority discounts. This value will become the base cost of the actual shares going forward.

When the actual shares are sold, the disposal will not qualify for BADR if the personal company conditions have not been met for the two years prior to the disposal. TCGA 1992, s.169SC

In order for an election to be possible, the company must cease to be the individual's personal company as a result of **an issue of shares wholly for cash**, where the shares are **subscribed for and issued for commercial reasons**.

In addition, for an election to be possible **all the conditions for a disposal of shares to qualify for relief must be met immediately before the share issue.** This means that as well as it being the individual's personal trading company for the previous two years, the individual must have been employed by the company for two years as well.

An **additional election** can be made to **defer the notional gain until the actual shares are disposed of**. This may be useful as at the time that the notional gain is deemed to be made, the individual will not have realised any cash with which to pay any tax due. TCGA 1992, s.169SD

When the deferred gain becomes chargeable, **a claim for BADR must be made** by the first anniversary of 31 January following the tax year in which the gain is treated as accruing. A further claim is not necessary on a subsequent disposal. TCGA 1992, s.169SH

Note that in order to qualify for relief when the deferred gain becomes chargeable, the individual must still have been an employee for the two years prior to the actual disposal. If this condition may not be met, then an election to defer the gain should not be made.

The election for relief as a result of the dilution of a shareholding must be made by the **first anniversary of 31 January following the tax year in which the notional disposal is made**. So if a notional disposal occurs in 2022/23, the election must be made by 31 January 2025. The election for deferral must be made **within four years of the end of the tax year of the notional disposal**, so by 5 April 2027 for notional disposals in 2022/23. Both elections are **irrevocable.** TCGA 1992, s.169SG

➢ Illustration 4

Meera bought 10,000 shares in Square Ltd (a trading company) for £40,000 in January 2016 when she started to work for the company. This represented a 7% shareholding.

In August 2022, further shares were issued in the company for cash in order to raise additional funds. As a result, after the share issue Meera only held a 4% shareholding. If the whole company had been sold immediately prior to the share issue, Meera would have received £90,000 for her shares. Had Meera sold her shares prior to the share issue, the gain would have been eligible for BADR.

Meera sold her shares for £150,000 in August 2023, having remained an employee of Square Ltd.

Meera is a higher rate taxpayer and has made no other capital disposals.

Calculate the CGT payable by Meera, on the assumption that all possible claims for relief are made.

<u>Notional disposal in 2022/23</u>

As a disposal of her shares immediately before the share issue in August 2022 would have qualified for BADR, Meera can make an election to be treated as having disposed of and immediately reacquired her shares for the amount she would have received for the shares on the disposal of the whole company.

	£
Deemed proceeds	90,000
Less: Cost	(40,000)
Notional gain	50,000

Meera can also make an election to defer this gain until she actually disposes of the shares, which may be helpful as at this stage she has not realised any cash with which to pay the tax due. Note however that this does waste her annual exempt amount in 2022/23 – it is not possible to elect to defer only part of the notional gain.

When Meera sells her shares in August 2023, the deferred gain becomes chargeable. Meera can make a claim for BADR in respect of this gain as she still works for the company.

In addition, a gain arises on the actual sale of the shares – but this gain does not qualify for relief as Square Ltd is no longer her personal company. When calculating the gain on the actual disposal of the shares, remember that the cost of the shares is the amount deemed to be the proceeds in respect of the notional disposal ie £90,000.

	Deferred gain eligible for BADR	Actual gain not eligible for BADR
	£	£
Deferred gain	50,000	
Actual gain on sale of shares (W)		60,000
Less: Annual exempt amount		(12,300)
Taxable gains	50,000	47,700
CGT:		
50,000 @ 10%		5,000
47,700 @ 20%		9,540
CGT payable		14,540

Working

	Actual gain on shares
	£
Proceeds	150,000
Less: Deemed cost	(90,000)
Gain	60,000

10.8 Investors' Relief

Introduction

Investors' relief will be available where an individual makes a disposal of **qualifying shares in a trading company** (or holding company of a trading group).

Where a claim for relief is made, the gains will be **taxed at 10%**. TCGA 1992, s.169VC(2)

When determining the rate of tax payable in respect of other gains (including residential property gains), gains eligible for investors' relief which are subject to tax at 10% are treated as using up any unused basic rate band in priority to other gains. TCGA 1992, s.1I(4)–(6)

The gains qualifying for relief will be subject to a **lifetime limit of £10 million** per individual. This is a separate limit to that applying for BADR. TCGA 1992, s.169VK

Conditions

The shares must have been issued by the company on or after 17 March 2016 and must be **held continuously for a period of at least three years**. TCGA 1992, ss.169VB(2)(c), (h) and 169VB(7)

The claim must be made by the **first anniversary of 31 January following the tax year in which the disposal is made**, so by 31 January 2025 for disposals in 2022/23. TCGA 1992, s.169VM(2)

The shares must be **new ordinary shares subscribed for by the individual for cash**. At the time the shares were issued the company must have been **unlisted**. TCGA 1992, ss.169VB(2)(a), (d), (e) and 169VU

There is no minimum or maximum holding requirement for the relief to be available – any size holding will be eligible for relief.

The relief is only available to an individual who is **not a 'relevant employee'**, ie who is not a director or employee of the company (or a connected company) during the three-year holding period. Relief is also denied if a person connected with the investor is a relevant employee. However, the relief is still available if the individual either becomes an **unremunerated director** following the purchase, or becomes an **employee of the company 180 days after the share issue** (so long as there was no reasonable prospect that they would become an employee at the time the shares were issued). TCGA 1992, s.169VB(2)(g)

Where the original subscriber transfers shares that they subscribed for to a spouse, the spouse is treated as having subscribed for the shares at the original date of issue. TCGA 1992, s.169VU(3)

Gains eligible for relief

When an individual disposes of shares in an unlisted trading company, those shares may have been acquired at different times and in different ways. Some may have been subscribed for and held for three years and will therefore be **'qualifying shares'**. Some may have been subscribed for but not yet held for three years – these will be **'potentially qualifying shares'**. If any shares were not subscribed for but were purchased from another shareholder (other than a spouse) they will not qualify for relief and so are '**excluded shares**'.

Only the proportion of the gain on the sale of a shareholding which relates to the qualifying shares will be eligible for investors' relief. TCGA 1992, s.169VD

Illustration 5

Carly sold 10,000 shares in ABC Ltd (a trading company) on 1 October 2022, making a gain of £50,000.

Carly had subscribed for the shares as follows:

1 June 2019	>3 years	7,000 shares
1 June 2020	<3 years	3,000 shares

Carly is a higher rate taxpayer and made no other capital disposals in 2022/23. She does not work for ABC Ltd.

Calculate the CGT payable by Carly, on the assumption that all possible claims for relief are made.

	Gain eligible for IR	Gain not eligible for IR
	£	£
Gain eligible for IR (7,000/10,000 × 50,000)	35,000	
Gain not eligible for IR (3,000/10,000 × 50,000)		15,000
Less: Annual exempt amount	______	(12,300)
Taxable gains	35,000	2,700
CGT:		
35,000 @ 10%		3,500
2,700 @ 20%		540
CGT payable		4,040

The 7,000 shares acquired on 1 June 2019 are qualifying shares as they have been held for three years. Although Carly subscribed for the shares acquired on 1 June 2020, these have not been held for three years and therefore are potentially qualifying shares. Only the proportion of the gain relating to the qualifying shares (being 7,000/10,000) is eligible for investors' relief. The annual exempt amount is allocated to the part of the gain which does not qualify for investors' relief as this is taxed at the higher rate of 20%. The gain eligible for investors' relief is taxed at 10%.

EXAMPLES

❖ Example 1

Georgina sold the following assets in May 2022:

	Gains
	£
Shares in Barclays Bank plc	50,000
Shares in Pampered Pooches Ltd	585,000
Vintage car	10,000
Total	645,000

Georgina owned 50% of the shares of Pampered Pooches Ltd and had run the company for many years with her friend, Jean. They sold their respective shares to a major pet-store chain in May 2022. Georgina made no other disposals in 2022/23. Her taxable income in 2022/23 was £30,000.

Calculate the CGT payable by Georgina for 2022/23.

ANSWERS

✓ Answer 1

	Gains eligible for BADR	Other gains not eligible for BADR
	£	£
Barclays Bank plc		50,000
Pampered Pooches Ltd	585,000	
	585,000	50,000
Less: Annual exempt amount		(12,300)
Taxable gains	585,000	37,700

The gain on the vintage car is exempt.

CGT:

585,000 @ 10%	58,500
37,700 @ 20%	7,540
Total CGT due	66,040

Tutorial Note:

The gains eligible for BADR fully use up the remaining basic rate band. The other gains (after the annual exempt amount) are therefore taxed at 20%.

CHAPTER 11

RELIEF FOR CAPITAL LOSSES

By the end of this chapter you will understand:
- how to use current year losses
- when losses are carried forward

11.1 Introduction

In this chapter, we shall look at how we deal with a situation when a taxpayer sells a chargeable asset and makes a loss. The way we calculate a capital loss is very straightforward, a loss will only arise if proceeds are less than cost.

11.2 The Offset of Capital Losses

A taxpayer will **set capital losses against capital gains**. Capital losses reduce gains. They are not normally set against the taxpayer's income. TCGA 1992, s.1(3)(a)

Capital losses must be **set off against capital gains in the same tax year**. This is **automatic**. This means, for example, that if a taxpayer makes a gain of, say, £5,000 on one asset, and a loss of £1,000 on another asset, these must be netted off, to give net gains in the year of £4,000. The annual exempt amount is deducted after relief for current year losses. The taxpayer cannot ask HMRC to cover their gains by the annual exempt amount, and leave the losses to be used in another year. TCGA 1992, s.1K(4)(a)

Although capital losses must be set off against gains in the same year, the taxpayer can **deduct losses in the most beneficial way**, ie in order to **minimise the tax liability**. Where an individual has capital gains which are charged to tax at different rates, for example because one gain relates to a residential property, losses should be **offset against gains taxed at higher rates in priority**. So, losses should be allocated to gains in respect of residential property in priority, and then against other gains not eligible for business asset disposal relief. TCGA 1992, s.1F(1)

➢ Illustration 1

Jess, who has an annual income in excess of £100,000, sells shares in a trading company on 23 May 2022 and makes a gain of £100,000 which is eligible for business asset disposal relief. She sells a painting on 31 August 2022 and makes a gain of £18,000. The final disposal of 2022/23 gives rise to a loss of £2,000 on shares in an investment company on 3 January 2023.

Calculate the taxable gains, showing the allocation of the loss and the annual exempt amount in the most beneficial way.

	Gains eligible for BADR	Other gains not eligible for BADR
	£	£
Gain on trading company shares	100,000	
Gain on painting		18,000
Loss on investment company shares		(2,000)
Total chargeable gains	100,000	16,000
Less: Annual exempt amount		(12,300)
Taxable gains	100,000	3,700

The gain on the painting will be taxed at 20%. The loss is therefore set against this gain in priority to the gain on the trading company shares as this will be taxed at the lower rate of 10% as the gain is eligible for business asset disposal relief. The annual exempt amount should also be allocated to the gain on the painting, to save the most tax.

Where current year gains exceed current year losses, the excess gains are taxed. If, on the other hand, losses in the year exceed gains in the year, the taxpayer will be left with net gains of zero. The **excess losses will be carried forward and set against gains in future years**. It is therefore always important that you look back at the previous year, to see if the client had any capital losses which they are bringing forward. TCGA 1992, s.1(3)(b)

11.3 Losses Carried Forward

If losses in the year exceed gains in the year, the excess loss is carried forward. The chargeable gains in the year will be nil and the annual exempt amount will be lost. Most taxpayers do not make use of their CGT annual exempt amount. If an **annual exempt amount is not used**, it **cannot be carried forward or transferred** to another person. It is simply wasted.

Any excess losses for the year are carried forward and reduce capital gains in future years. However, the annual exempt amount is deducted **before** relief is given for capital losses brought forward. So, where gains net of current year losses are less than the annual exempt amount, any brought forward losses are preserved to offset in a future year. TCGA 1992, s.1K(4)(b)

Capital losses brought forward are also allocated against gains in the most beneficial manner if there are gains charged to tax at different rates.

➢ Illustration 2

Laura made a capital gain on 1 August 2022 of £20,000. She made a capital loss of £6,000 on a disposal on 1 October 2022. She has capital losses brought forward at the start of the tax year of £15,000.

Calculate Laura's capital loss carried forward.

Laura must offset her current year loss against her current year gain in full. She must then offset the annual exempt amount. Finally, she will offset £1,700 of her brought forward loss, leaving taxable gains of nil.

	£
Gain	20,000
Less: CY loss	(6,000)
	14,000
Less: Annual exempt amount	(12,300)
	1,700
Less: Losses b/f	(1,700)
Taxable gain	Nil
Capital losses c/f (15,000 – 1,700)	13,300

EXAMPLES

❖ Example 1

Anthony sold his 1% shareholding in Technik Ltd (an unlisted trading company) in November 2022 making a gain of £13,000. He has never worked for the company.

Anthony has capital losses brought forward of £5,000.

Calculate the capital losses available to carry forward to 2023/24.

ANSWERS

✓ Answer 1

	£
Gain	13,000
Less: Annual exempt amount	(12,300)
	700
Less: Losses b/f	(700)
Taxable gains	Nil
Capital losses remaining to c/f:	
5,000 – 700	4,300

CAPITAL GAINS TAX PROFORMA

(W) for each asset disposal

	£	£
Gross sales proceeds	X	
Less: Selling costs	(X)	
Net sales proceeds		X
Less: Cost		(X)
Less: Acquisition costs		(X)
Less: Enhancement expenditure		(X)
Gain		X

CGT summary for the tax year

	Gains eligible for BADR/IR	Other gains not eligible for BADR/IR	Residential property gain
Gains arising in 2022/23	X	X	X
Less: Current year capital losses (Note 1)			(X)
Less: Annual exempt amount (Note 1)			(12,300)
Less: Capital losses brought forward			(X)
Taxable gains	X	X	X

CGT:

@ 10% if eligible for BADR/IR	X
@ 10% on other gains within basic rate band (Note 2)	X
@ 20% on other gains above basic rate band	X
@ 18% on residential property gains within basic rate band (Note 2)	X
@ 28% on residential property gains above basic rate band	X
Total CGT for 2022/23	X

Notes:

1. Losses and annual exempt amount should be offset against gains taxable at the highest rate in priority.

2. Where there are no residential property gains then this will be against the other gains not eligible for business asset disposal relief or investors' relief.

3. Gains eligible for business asset disposal relief/investors' relief which are subject to tax at 10% use up the basic rate band in priority to other gains.

CHAPTER 12

PART DISPOSALS

By the end of this chapter you will understand:
– how to calculate the cost on the disposal of part of an asset
– how to treat enhancement expenditure

12.1 Introduction

A taxpayer makes a part disposal when they sell part of an asset. The most common example of a part disposal is when a taxpayer sells part of a piece of land. Land is a relatively easy asset to divide into parts. With other assets, such as buildings or paintings etc, they are not easily divided, so the part disposal rules will rarely apply. TCGA 1992, s.21(2)(a)

The part disposal rules are also used to calculate the gain on the disposal of a right or interest in an asset. For example, when a taxpayer grants a lease, they are creating a right or interest which is separate from the original asset. TCGA 1992, s.21(2)(b)

To calculate the chargeable gain on a part disposal, we start with sale proceeds then deduct the cost of the asset being sold. However, **if we are only selling part of an asset, we only take a deduction for part of the original cost**.

The way we arrive at the allowable cost, is to take the cost of the whole and multiply it by a fraction: TCGA 1992, s.42(2)

A/(A + B) × cost

A = the gross disposal proceeds.

B = the value of the part retained.

Note that we use the **gross disposal proceeds** here, ie the proceeds before any expenses of sale are deducted.

➢ Illustration 1

In July 2005, Seth bought 20 acres of land for £50,000. In February 2023, he sold part of the land for £28,000. In February 2023, the value of the land remaining was £112,000.

Calculate Seth's capital gain on the part disposal and show the base cost of the remainder of the land.

	£
Proceeds	28,000
Less: Cost	
50,000 × 28,000/(28,000 + 112,000)	(10,000)
Capital gain	18,000

Seth still has part of the field remaining. Therefore, when he comes to sell it, we need to know his base cost for CGT purposes. The cost of the whole field was £50,000. The amount of this cost used in the part disposal computation is £10,000. The base cost of the remaining area of land, is therefore the difference between these two:

Base cost of remainder of land	
50,000 – 10,000	40,000

12.2 Interaction with Enhancement Expenditure

If the taxpayer has incurred enhancement expenditure it will fall into one of two categories. If the enhancement expenditure has **increased the value of the whole asset**, but only part of the asset is subsequently sold, we cannot take a deduction for the whole of the enhancement expenditure. Instead we need to multiply this expenditure by the A/(A + B) fraction.

However, if the enhancement expenditure has been **specifically incurred on the part of the asset actually sold**, we are allowed to deduct the whole of the enhancement expenditure in calculating our capital gain.

➢ Illustration 2

Jack purchases 100 acres of land in June 2005 for £140,000.

In May 2008, Jack incurs enhancement expenditure of £35,000 on the whole of the field. Later on, Jack decides to divide his land into two separate plots.

In January 2012, Jack spends £10,000 in enhancing plot 1 only. In October 2022, Jack sells plot 1 only for £400,000. The value of plot 2 in October 2022 is £300,000.

Calculate Jack's capital gain on the sale of plot 1.

	£
Proceeds	400,000
Less: Cost	
140,000 × 400/(400 + 300)	(80,000)
Less: Enhancement (May 2008)	
35,000 × 400/(400 + 300)	(20,000)
Less: Enhancement (January 2012)	(10,000)
Gain	290,000

EXAMPLES

❖ Example 1

Marietta bought 15 acres of land in May 2012 for £850,000.

Marietta sold 6 acres of land in March 2023 for £950,000 (after £50,000 legal and other disposal fees had been deducted). The remaining 9 acres were valued at £1.5 million at that point.

Calculate Marietta's gain.

ANSWERS

✓ Answer 1

	£
Gross proceeds	1,000,000
Less: Expenses of sale	(50,000)
	950,000
Less: Cost	
850,000 × 1,000,000/(1,000,000 + 1,500,000)	(340,000)
Capital gain	610,000

CHAPTER 13

SALES OF LEASES

By the end of this chapter you will understand:

– what a 'lease' is
– how to identify whether the lease is a long or short lease
– how to calculate a gain on the sale of a long or short lease

13.1 Basic Definitions

A lease is essentially a **right to use an asset**. Where the asset in question is land or buildings, the lease is the right to occupy the land or buildings for a specified period of time, and usually in return for a specified rent. You may be living in a house or flat under the terms of a lease – ie you have the right to occupy that property for a certain period of time.

You may also have heard of the term 'freehold'. A 'freehold' and a 'lease' are two separate assets. If an individual owns a property as a **freeholder**, this means that the individual **owns the property outright** – ie they own the entire building as well as the land on which that building is situated. A freeholder therefore has more than simply a right of occupation.

A **lease** is therefore a piece of paper that gives the tenant – also called the lessee – a **right to occupy somebody else's property**. As this lease is a valuable asset, leases can be bought and sold, and in this session we shall look at the CGT effects of a tenant selling a lease.

The legal term for **the sale of a lease is the assignment** of a lease. The assignment of a lease is therefore an outright disposal of an existing lease. The capital sum received is wholly capital gains tax proceeds. It is a full disposal as the taxpayer will have no rights over the property in the future.

The way we calculate the gain on the assignment of a lease depends on whether the taxpayer is selling a long lease or a short lease. A **long lease** is a lease which has **more than 50 years to run** at the date it is sold. A **short lease has 50 years or less to run** when the taxpayer sells it.

The way we calculate the capital gain on the sale of a **long lease** is by using **normal CGT rules**. We take the proceeds and deduct cost to arrive at the gain.

13.2 Assigning a Short Lease

The calculation of a gain on the assignment of a short lease is slightly more complex. Consider a taxpayer who has a 40-year lease which they acquired in March 2008. The taxpayer therefore has the right to occupy the land or buildings for 40 years from March 2008. The taxpayer sells the lease in March 2023. The taxpayer is essentially selling a piece of paper which thereafter gives the purchaser the right to occupy the property for the remaining duration of the lease. TCGA 1992, Sch 8

Between March 2008 and March 2023, 15 years have expired. This means that in March 2023, the taxpayer is selling a lease that has 25 years left to run. They are therefore selling a short lease, and special rules apply. **An asset with a useful life of 50 years or less is called a 'wasting asset'**. A 25-year lease is therefore a wasting asset. Special rules apply to calculate gains on wasting assets. TCGA 1992, s.44

Our starting point is sale proceeds from which we deduct the base cost of the asset. However, where a wasting asset is being sold, the taxpayer **cannot take a deduction for the whole of the acquisition cost.**

As wasting assets depreciate over time, the taxpayer can only deduct part of the original base cost. The way we calculate the allowable base cost, is by using percentages from the lease **depreciation tables**. TCGA 1992, Sch 8, para 1(3)

The CGT base cost is the original acquisition cost of the lease, multiplied by the fraction:

S/P × original cost

S = % for years of the lease remaining at the date of sale.

P = % for years of the lease remaining at the date of purchase.

These percentages can be found at Sch 8 TCGA 1992 and also in the Tax Tables.

Illustration 1

A taxpayer bought a 40-year lease in March 2008 for £60,000. In March 2023, the taxpayer sells the lease for £90,000. As 15 years have expired between March 2008 and March 2023, the taxpayer is selling a lease with 25 years left to run. As he is selling a short lease, we need to apply the special rules.

Calculate the amount of chargeable gain using the special rules.

We start with sale proceeds of £90,000, from which we need to deduct the allowable base cost. As the taxpayer is selling a short lease, we multiply cost by the fraction S/P.

However, we cannot simply multiply £60,000 by the fraction of 25 over 40. At this point we must refer to the lease depreciation tables. If you look at your lease depreciation tables, you will see that the relevant percentage for a 25-year lease is 81.100. The relevant percentage for a 40-year lease is 95.457.

The gain is therefore:

	£
Proceeds	90,000
Less: Allowable cost	
60,000 × (81.100/95.457)	(50,976)
Gain	39,024

EXAMPLES

❖ Example 1

Lawrence bought a 30-year lease on a piece of land for £10,000 on 31 August 2012. Lawrence sold the lease on 31 August 2022 for £18,000.

Calculate Lawrence's chargeable gain.

ANSWERS

✓ Answer 1

		%
31 August 2012	30-year lease	87.330
31 August 2022	20-year lease	72.770

	£
Proceeds	18,000
Less: Cost	
10,000 × (72.770/87.330)	(8,333)
Gain	9,667

CHAPTER 14

GRANTS OF LEASES

By the end of this chapter you will understand:
– what 'granting' a lease means
– how to calculate a capital gain on the grant of a long lease
– how to calculate a capital gain on the grant of a short lease

14.1 Introduction

The grant of a lease is the creation of a new asset. If an individual who owns the freehold of a property grants a lease to a tenant, the tenant has a right of occupation of the freeholder's property for a specified period of time. In essence, the freeholder has created a new asset. The new asset – ie the lease – has been brought into existence for the first time. The individual granting the lease will regain the property rights when the new lease they are granting comes to an end.

In return for being granted a right of occupation, the tenant will pay the freeholder a sum of cash. This sum is called a 'premium'. The premium is a capital sum and will be charged to capital gains tax in the hands of the freeholder. The way we calculate the capital gain, is by **treating the grant of a lease as a part disposal of the freehold**, as the freeholder is not disposing of their entire rights over the property. TCGA 1992, s.42

There are two different rules to consider here, and the way we calculate the capital gain **depends on whether the lease granted is a long lease or a short lease**. A long lease is a lease in excess of 50 years. A short lease is a lease of 50 years or less.

14.2 Granting a Long Lease

Where a freeholder grants a lease to a tenant, and that lease gives the tenant the right to occupy the property for more than 50 years, we calculate the capital gain using the normal part disposal formula. TCGA 1992, s.42(2)

Allowable cost = A/(A + B) × acquisition cost

A = the gross amount of the premium paid.

B = the value of the remainder (the 'reversion' or the 'reversionary interest').

This reversion consists of two things. The first is the capital value of the property when it reverts back to the freeholder – ie when the lease has expired. The second is the current value of the right to receive future rents under the lease. TCGA 1992, Sch 8, para 2

➢ Illustration 1

Eric purchased the freehold of a property for £60,000 in January 2004. In December 2022 he grants a lease to a tenant called Ernest. The lease gives Ernest the right to live in Eric's property for the next 60 years. In return for the grant of the lease, Ernest pays Eric a premium of £100,000. Eric incurs legal fees in connection with the drafting of the lease of £2,000. The value of the freehold reversion in December 2022 is £150,000.

Calculate the chargeable gain arising on the grant of the lease.

The calculation of Eric's capital gain on the grant of this long lease will be as follows:

	£
Gross premium	100,000
Less: Legal fees	(2,000)
	98,000
Less: Cost	
60,000 × 100,000/(100,000 + 150,000)	(24,000)
Gain	74,000

14.3 Granting a Short Lease

The way we calculate the capital gain on the grant of a short lease, is slightly more complicated. Under the property income rules, if a landlord receives a premium for the grant of a short lease, **part of that premium is chargeable** to income tax as property income.

The **remainder of the premium is chargeable to capital gains tax**, ie ITTOIA 2005, s.277

Capital element = 2% × (N – 1) × P

P = the premium received.

N = the number of years of the lease.

Having identified the amount of the premium that is chargeable to capital gains tax, we calculate the resulting capital gain using the part disposal rules, but this time we change the part disposal formula very slightly. TCGA 1992, Sch 8, para 5

There is an alternative method to calculate the income taxable on the landlord that you may use of **P × ((50 – Y)/50)** where P is the amount of premium and Y is the number of complete years of the lease minus one. If using this method, the capital proceeds are the remainder of the premium. ITTOIA 2005, s.277

➢ Illustration 2

Eric bought a freehold property for £60,000 in January 2004. Eric grants a lease to Ernest in December 2022, giving Ernest a right to occupy Eric's house for the next 40 years. Eric has therefore granted a short lease to Ernest. Ernest pays a premium of £100,000. Eric incurs legal fees of £2,000 on the grant of the lease and the freehold reversion is valued at £150,000 in December 2022.

Calculate the chargeable gain arising on the grant of the lease.

Remember, when a freeholder grants a short lease to a tenant, part of the premium is chargeable to income tax as property income. Therefore, the first thing we need to do is to **split the premium** of £100,000 into its income tax and CGT components.

Capital element = 2% × (40 − 1) × £100,000 = £78,000

This will leave £22,000 of the premium chargeable to income tax as property income in 2022/23.

Note that, alternatively, this could be calculated as follows:

Capital element = £100,000 – (£100,000 × (50 – 39)/50) = £78,000

This 'capital' figure of £78,000 will be the proceeds of sale for CGT purposes.

We next calculate the allowable cost. The grant of a lease out of a freehold, is treated as a part disposal. However, when we are dealing with the grant of a short lease, we use a slightly modified formula:

a/(A + B) × acquisition cost

'A' and 'B' are the same as before – ie the gross premium and the capital value of the reversion. However, **the 'a' in this formula is the part of the premium which is chargeable to capital gains tax**.

The calculation of the gain will therefore be as follows:

	£
Capital element of premium	78,000
Less: Legal fees	(2,000)
	76,000
Less: Cost	
60,000 × 78,000/(100,000 + 150,000)	(18,720)
Gain	57,280

Tutorial Note:

A lot of people struggle with capital gains on leases. When attempting questions try to use the information in a question to identify which scenario applies.

Where a lease is **granted**, the capital sum received is termed the **premium**. In addition, you are normally given the value of the **reversionary interest** (the 'B' for the part disposal formula 'A/A+B'). 'A' here is the premium received.

Things get more complex where short leases are involved. In particular you may have to use an adjusted version of the part disposal formula for a grant of a 'short out of a long' which is 'a/A+B' where 'a' is the capital portion of the total premium 'A'.

Where a short lease is **assigned** (ie sold), you should **not** see the term premium and there will be no mention of a reversionary interest. In this case the lease depreciation tables need to be used to 'depreciate' the cost.

EXAMPLES

❖ Example 1

Abigail paid a premium of £25,000 to Nigel in August 2022 upon the grant of a 55-year lease on a shop from which Abigail intends to trade.

Nigel had bought the shop in April 2004 for £22,000. The freehold reversion was valued at £75,000 in 2022.

Calculate Nigel's chargeable gain on the grant of the lease.

❖ Example 2

Rikin bought a flat in South London for £95,000 in September 2003. In September 2022 he granted a 12-year lease to Natalie for a premium of £16,000.

The freehold reversion was valued at £94,000 in September 2022.

Calculate Rikin's chargeable gain on the grant of the lease.

ANSWERS

✓ Answer 1

Grant of long lease = normal part disposal

	£
Premium	25,000
Less: Cost	
22,000 × 25,000/(25,000 + 75,000)	(5,500)
Capital gain	19,500

✓ Answer 2

Capital element = 2% × (12 – 1) × £16,000 = £3,520

(Or: Capital element = £16,000 – (16,000 × ((50 – 11)/50)) = £3,520)

	£
Proceeds	3,520
Less: Cost	
95,000 × 3,520/(16,000 + 94,000)	(3,040)
Capital gain	480

CHAPTER 15

CHATTELS

By the end of this chapter you will understand:
- what a chattel is
- what 'wasting' and 'non-wasting' chattels are
- the special rules that apply to disposals of non-wasting chattels that are sold for a maximum £6,000
- how to apply the 5/3 rule for non-wasting chattels
- how to calculate gains on plant and machinery

15.1 Introduction

The term 'chattel' means **'tangible moveable property'** – ie assets which can be seen, touched and moved.

Chattels include assets such as paintings, antiques, racehorses and computers. Assets such as buildings, pieces of land, leases or shares are not chattels because they cannot be seen, touched and moved. For instance, land and buildings are not moveable assets, and assets such as leases and shares, are intangible assets – ie they cannot be physically seen or touched.

15.2 Wasting Chattels

A wasting chattel is a chattel with a **predictable useful life not exceeding 50 years**. Examples of wasting chattels will be racehorses, computers, or pieces of plant or machinery. HMRC also regard assets such as clocks and watches as 'machinery' for capital gains tax purposes. This means that an asset such as an antique grandfather clock will be regarded as a wasting asset for CGT purposes, as it falls within the definition of a 'machine'. TCGA 1992, s.44; TCGA 1992, s.44(1)(c)

Wasting chattels are exempt assets for CGT purposes. TCGA 1992, s.45(1)

This means that if a taxpayer buys a racehorse which turns out to be successful, and they subsequently sell it at a substantial capital gain, that gain is exempt from CGT because it is a gain on the sale of a wasting chattel. Clocks and watches are also exempt from CGT as they are chattels and as they fall within the definition of a machine, they are also wasting assets.

There is **one instance** when wasting chattels are **not exempt** from CGT. Wasting chattels will be chargeable to CGT if they are used in a trade and **capital allowances have been or could have been claimed on them**. Therefore, if a taxpayer makes a gain on the sale of a computer or a piece of machinery which has been used in their trade, the gain is a chargeable gain because the trader would have claimed capital allowances on those assets. In this case, the chattels rules we are about to look at will apply. TCGA 1992, s.45(2)

15.3 Non-Wasting Chattels: Proceeds ≤ £6,000

A non-wasting chattel is tangible moveable property that will last for **more than 50 years** – ie assets such as paintings, antiques and jewellery etc.

The first rule to consider in relation to non-wasting chattels is the '£6,000 rule'. If a non-wasting chattel is sold, and **proceeds of sale are less than or equal to £6,000**, any resulting capital **gain is exempt** from CGT. TCGA 1992, s.262(1)

➢ Illustration 1

A painting was bought for £200 and is sold for £5,600. The vendor has a capital profit of £5,400.

Calculate the chargeable gain on the sale of the painting.

Because this is a gain on the sale of a non-wasting chattel, and the disposal proceeds do not exceed £6,000, the gain of £5,400 will not be charged to CGT.

Remember that certain assets are always exempt from capital gains tax, regardless of the disposal proceeds. These assets will include cars, or decorations for valour etc.

15.4 Non-Wasting Chattels: Loss with Proceeds ≤ £6,000 Cost >£6,000

We next look at the special rule in relation to **capital losses**. Assume a non-wasting chattel, such as a painting or antique, is sold and realises disposal proceeds of less than £6,000. This time assume that a loss arises. To calculate the allowable loss for CGT purposes, the rules assume that the taxpayer has sold the non-wasting chattel for exactly £6,000. This means that we are **pretending that gross disposal proceeds are £6,000**. TCGA 1992, s.262(3)

➢ Illustration 2

A taxpayer buys a painting for £8,000. He sells it for £4,000, and incurs expenses of sale of £400.

Calculate the chargeable gain/allowable loss on the sale of the painting.

The cash loss is £4,400 (4,000 – 400 – 8,000). However, for CGT purposes, in order to calculate the allowable loss, we must assume that gross proceeds were £6,000.

	£
Proceeds (deemed to be 6,000)	6,000
Less: Expenses of sale	(400)
	5,600
Less: Cost	(8,000)
Allowable loss	(2,400)

The allowable loss of £2,400 can be set against other gains in the same year, or carried forward in the normal way. The application of the £6,000 rule restricts the allowable loss, but **cannot turn a loss into a gain**.

Therefore if an asset costing £6,000 or less is sold for less than £6,000, and a loss arises, the taxpayer will be left with neither a gain nor a loss – ie their gain or loss will be zero. Sales proceeds <£6k and cost <6k, no gain no loss

15.5 Non-Wasting Chattels: The 5/3rds Rule

The 5/3 rule applies if a non-wasting chattel is sold, **disposal proceeds exceed £6,000, but the original acquisition cost was less than £6,000**. TCGA 1992, s.262(2)

We first calculate the chargeable gain in the normal way – ie proceeds less original cost to give a gain. However, this gain **cannot exceed** the gain using the following formula:

5/3 × (Gross proceeds – £6,000)

This means that when calculating the gain on the sale of a chattel where proceeds exceed £6,000 but original cost was less than £6,000, we need to do **two computations**. The first computation calculates the gain in the normal way, whilst the second computation calculates the gain using the 5/3 rule. Having calculated two capital gains, the **lower** of these will be chargeable.

➢ Illustration 3

Tom inherited an antique vase on the death of his uncle in April 2003. The value of the vase in April 2003 – the 'probate value' – was £3,000. Tom sold the vase in February 2023 for gross proceeds of £8,400. He incurred expenses of sale of £300.

Calculate the chargeable gain on the sale of the vase.

In order to calculate Tom's chargeable gain, we will first calculate the capital gain in the usual way.

	£
Gross proceeds	8,400
Less: Expenses of sale	(300)
Net proceeds	8,100
Less: Cost (ie 'probate value')	(3,000)
Gain	5,100

As we are dealing with the sale of a non-wasting chattel, where proceeds are more than £6,000 but acquisition cost was less than £6,000, we need to **apply the 5/3 rule**.

5/3 × (8,400 – 6,000) = 4,000

The lower of the two gains is taken ie £4,000.

Note we only use the 5/3 rule, where the asset **originally cost less than £6,000**. If an asset is bought and sold for more than £6,000, we simply calculate the gain in the normal way, by taking proceeds less cost.

15.6 Gains on Plant and Machinery

HMRC will always regard plant and machinery as having a useful life of less than 50 years, so such assets will always be treated as wasting assets. **Moveable plant and machinery** satisfies the definition of a chattel – ie it can be seen, touched and moved – and therefore is a wasting chattel.

If a taxpayer uses plant and machinery in their business, they can claim **capital allowances** on the cost of those assets. Capital allowances are HMRC's way of giving a trader relief for the fall in value of machinery used in the business.

If a trader sells moveable plant and machinery on which capital allowances were claimed or could have been claimed and makes a loss, that **loss will not be allowable** for capital gains tax purposes. This is because the trader will already have received relief by way of capital allowances. Capital allowances compensate the trader for the fall in value of the plant and machinery, so if the trader could claim a capital loss as well, this loss would effectively have been double counted. TCGA 1992, s.41

However, where a taxpayer makes a gain on an asset on which capital allowances were claimed, that gain is a chargeable gain for CGT purposes. The trader will not be entitled to any tax relief as the asset has increased in value rather than fallen in value. Any capital allowances given will be clawed back (disposal proceeds, limited to cost, are deducted from the appropriate column in the capital allowances computation). In addition, the gain will be dealt with using the CGT rules. To calculate the capital gain on the disposal of moveable plant and machinery, we use the chattels rules discussed above.

Note that if an exam question states that plant and machinery was bought and sold for less than £6,000, the examiner is telling you that the disposal is exempt.

Where a machine has been used only partly for business purposes, it will be necessary to calculate two gains apportioning proceeds and cost to reflect business and non-business use.

➢ Illustration 4

Cameron bought a machine for £5,000. The machine is moveable, so it will satisfy the definition of a chattel. Cameron uses the machine 80% of the time for business purposes, and 20% of the time for non-business purposes. Cameron sells the machine for £10,000.

Calculate the chargeable gain on the sale of the machine.

Cameron can claim capital allowances on 80% of the cost of the machinery, but he cannot claim capital allowances on the remaining 20% (only assets used for business purposes will qualify for capital allowances).

In order to calculate Cameron's chargeable gain, we split the gain into business and non-business parts as follows:

	Business	Non-business
	£	£
Proceeds (80:20)	8,000	2,000
Less: Cost (80:20)	(4,000)	(1,000)
Gains	4,000	1,000

The machine is a wasting chattel so gains are usually exempt. However, where capital allowances have been claimed, the gain is chargeable. Therefore only the 'non-business' gain of £1,000 is exempt. The gain of £4,000 is chargeable under the normal chattels rules. As proceeds are more than £6,000 and cost is less than £6,000, we need to compare this to the gain calculated using the 5/3 rule.

Compare to:

$5/3 \times (8{,}000 - 6{,}000) = 3{,}333$

Cameron will therefore be charged on the lower gain of £3,333.

You should note that plant and machinery will not necessarily be a chattel. Some pieces of plant and machinery are immovable, and will not satisfy the definition of a chattel.

If an individual sells a machine that did not qualify for capital allowances, the individual will be making a gain or loss on a wasting asset. If the machine is moveable, it will be treated as a wasting chattel and any gains or losses will be exempt.

EXAMPLES

❖ Example 1

Julia sold 2 assets in January 2023 as follows:

	Cost	Proceeds
	£	£
Antique desk	7,000	4,000
Rare manuscript	1,000	9,000

Calculate Julia's chargeable gains.

ANSWERS

✓ Answer 1

	£
Desk	
Proceeds (deemed)	6,000
Less: Cost	(7,000)
Allowable loss	(1,000)
Manuscript	
Proceeds	9,000
Less: Cost	(1,000)
Gain	8,000
Restrict to:	
5/3 × (9,000 – 6,000)	5,000
Less: Loss on desk	(1,000)
Chargeable gains	4,000

CHAPTER 16

CONNECTED PERSONS AND INTER-SPOUSE TRANSFERS

By the end of this chapter you will understand:
– who is a 'connected' person
– how to deal with transactions with connected persons
– the special rules on using losses on disposals to connected persons
– the 'no gain, no loss' rule that applies to inter-spouse transfers

Throughout this manual, including this chapter, the word 'spouse' means husband, wife and civil partner.

16.1 Connected Persons

There are a number of anti-avoidance provisions to prevent taxpayers from obtaining tax advantages, by entering into transactions with 'connected persons'.

Section 286 TCGA 1992 identifies persons with whom we are 'connected' for CGT purposes. A taxpayer is connected with his or her **spouse**. The term 'spouse' should be taken to include a civil partner. A taxpayer is also connected with their **relatives**. 'Relatives' include **ancestors** such as parents or grandparents. Relatives also include **lineal descendants** such as children or grandchildren, and brothers or sisters. TCGA 1992, s.286

A taxpayer is also connected with any **relatives of their spouse**. These include brothers-in-law or sisters-in-law, being the brothers or sisters of one's spouse. Relatives of a spouse also include one's mother-in-law or father-in-law, so these people are also treated as connected persons.

Finally a taxpayer is connected with **spouses of their relatives**. For example, these include a son-in-law or daughter-in-law being spouses of one's children, or a step-father, being the spouse of one's mother. A taxpayer is not connected with their aunts, uncles, cousins, nieces or nephews, as they are not relatives or lineal ancestors for CGT purposes.

Section 286 extends the definition of connected persons to cover certain other situations.

An individual is connected with a **company that they control**. An individual has control of a company, if they have power to exercise **more than 50% of the voting rights**.

A partner is connected with their **fellow business partners and the business partner's relatives** – ie their spouses, ancestors and descendants etc.

16.2 Transactions with Connected Persons

All transactions between 'connected persons' take place at market value for capital gains tax purposes. The only **exception** to this is transactions between **spouses** which take place at 'no gain, no loss'. TCGA 1992, ss.17 and 18; TCGA 1992, s.58

Illustration 1

A taxpayer transfers an asset to his daughter. The asset is worth £100,000 at the date of the transfer, but the daughter only pays her father £60,000 for the asset.

Discuss the capital gains tax implications of the transfer for Dad and his daughter.

This is a **'sale at undervalue'** – ie Dad is selling the house to his daughter for less than its present market value.

This is a disposal by Dad for CGT purposes. As he is connected with his daughter for CGT purposes, the **deemed proceeds in the CGT computation are the market value** of the asset at the date of the transfer – in this case £100,000. From this we deduct Dad's cost, to give him a gain.

When preparing the donor's CGT computation, we ignore the actual amount of cash changing hands. This is because all transactions between connected persons take place at market value, irrespective of the actual consideration paid.

The **deemed proceeds of £100,000 now becomes the daughter's base cost** for CGT purposes. The computation would have been exactly the same if the transfer had been an outright gift – ie if no cash had changed hands between the two parties. An outright gift is a disposal for capital gains tax purposes, with deemed proceeds being equal to the market value of the asset at the date of the gift.

16.3 Losses on Disposals to Connected Persons

There is a special rule to deal with transactions between connected persons which give rise to a capital loss.

Under normal circumstances, a loss must be set against any gains in the year, or carried forward against future gains. This is not the case when the loss arises on a transaction between connected persons. **Where a disposal to a connected person gives rise to a loss, that loss may only be used against gains on future disposals to the same connected person**. The future disposal could be in the same tax year or in a later tax year. This rule is to prevent a taxpayer from deliberately generating artificial losses in order to reduce their CGT liability. TCGA 1992, s.18(3)

Illustration 2

Dad transfers an asset to his daughter when it is worth £100,000. The daughter pays Dad £60,000 for the asset. If Dad had originally paid £120,000 for the asset, the computation gives rise to a capital loss of £20,000.

How can Dad utilise the capital loss of £(20,000)?

The only way that Dad can utilise this loss of £20,000, is to make a future transfer of an asset to his daughter on which a capital gain will be generated. Otherwise the loss is wasted.

16.4 Inter-Spouse Transfers – The 'No Gain, No Loss' Rule

When an asset is transferred between spouses, there is a disposal by the donor for CGT purposes. However, **this disposal is deemed to take place at 'no gain, no loss'** – ie neither a gain nor a loss arises to the donor as a result of the disposal. TCGA 1992, s.58

This 'no gain, no loss' rule **only applies to disposals between spouses**. The rule does not apply to transfers of assets between partners who are not married.

When an asset is transferred between spouses, the donee spouse – ie the person receiving the asset – is deemed to have bought that asset from their spouse for their spouse's historic base cost (as this will be the amount which produces neither a gain nor a loss for CGT).

➢ Illustration 3

In March 2023, Mary transferred a piece of land to her husband Jeffrey. Mary had bought the land for £20,000 in September 2004.

Calculate the chargeable gain for Mary and the base cost for Jeffrey.

	£
Deemed proceeds	20,000
Less: Cost	(20,000)
Gain	Nil

Because this is a disposal between spouses, it takes place at 'no gain, no loss'. Mary's capital gain will therefore be zero. Jeffrey is deemed to have paid Mary such an amount so as to produce a gain of nil. Jeffrey is therefore treated as having paid Mary £20,000 in March 2023 for the asset. This figure is exactly equal to Mary's cost.

When Jeffrey comes to sell the asset, his base cost for CGT purposes will be £20,000.

EXAMPLES

❖ Example 1

Jamal makes the following gifts to members of his family in 2022/23:

Asset	**Given to**	**Date**	**Gain/(Loss)**
			£
Shares	Grandson	1.7.22	6,000
Cottage	Daughter	1.8.22	(5,000)
Picture	Son	1.9.22	(4,000)
Land	Son	1.10.22	3,500

Calculate Jamal's gains.

❖ Example 2

Charlotte invites the following people to her 40th birthday party:

a. Husband Henry

b. Uncle George

c. Henry's sister Henrietta

d. Financial adviser Percy

e. Mother-in-law Isabel

f. Best friend Tamsin

Which of the people are connected with Charlotte for CGT purposes?

❖ Example 3

Lars gave an antique vase to his civil partner Steffan in May 2015, when it was worth £5,000. Lars had bought the vase in July 2013 for £4,000.

Steffan sold the vase in August 2022 for gross proceeds of £7,200. He incurred a valuation fee of £200 on the sale.

Calculate Steffan's chargeable gain.

ANSWERS

✓ Answer 1

	£	£
Gain on shares given to grandson (July 2022)		6,000
Loss on cottage given to daughter	(5,000)	
C/f against future gains on gifts to daughter		
Loss on picture given to son (Sept 2022)	(4,000)	
Gain on land given to son (Oct 2022)	3,500	
Net loss remaining	(500)	
C/f against future gains on gifts to son		
Gains		6,000

✓ Answer 2

		Connected Yes	No
a.	Husband Henry	X	
b.	Uncle George		X
c.	Sister-in-law Henrietta	X	
d.	Financial adviser		X
e.	Mother-in-law Isabel	X	
f.	Best friend Tamsin		X

✓ Answer 3

	£
Transfer by Lars (May 2015):	
Deemed proceeds	4,000
Less: Cost	(4,000)
No gain, no loss	Nil
Disposal by Steffan (August 2022):	
Gross proceeds	7,200
Less: Expenses	(200)
Net proceeds	7,000
Less: Cost (above)	(4,000)
Gain	3,000
Restrict to:	
5/3 × (7,200 – 6,000)	2,000

CHAPTER 17

SHARES AND SECURITIES – MATCHING RULES

By the end of this chapter you will understand:
- how to apply the 'matching rules' to work out which shares have been sold
- the 's.104' pool and which shares go in it
- how to calculate capital gains for disposals of shares
- cryptocurrency gains

17.1 Introduction

In this chapter we shall examine how we calculate capital gains on sales of shares. Before we examine the treatment of shares, we will consider why we need special rules in the first place.

Consider a taxpayer who has been buying shares in a quoted company called XYZ Plc for a number of years. The share purchases have been as follows:

Date	Shares	Cost
		£
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	4,000	20,000
Total	10,000	39,000

The taxpayer currently has 10,000 shares, which have been acquired in four tranches between 2002 and 2016 and the total cost of the taxpayer's shareholding is £39,000.

In August 2022, the taxpayer sells 6,000 of the XYZ Plc shares for £36,000. His capital gain will therefore be:

	£
Proceeds	36,000
Less: CGT base cost	(?)
Capital gain	X

In order to calculate the chargeable gain arising on the sale of these 6,000 shares, we need to identify their base cost. To calculate the base cost, **we need to identify which shares the taxpayer has sold**.

The share 'matching' rules determine the order in which shares are deemed to have been sold. The 'matching' rules we are about to study, **apply for individuals only**. There are different matching rules for disposals of shares by companies.

Also note that the 'matching' rules only apply to shares **in the same class in the same company**. We should never mix up different types of shares in different companies. Indeed, with shares of different types there is no need for matching rules because there is not the same difficulty telling them apart.

17.2 The Share Matching Rules

There are 3 matching rules, and we shall cover them in their order of priority: TCGA 1992, s.106(A)

1. If an individual disposes of shares, they are first deemed to have sold any shares they acquired on the **same day**. TCGA 1992, s.105

2. Next, the shareholder is deemed to have sold any shares they acquired in the **following 30 days**. This rule was introduced to prevent the common tax planning practice known as 'bed and breakfasting'. TCGA 1992, s.106A(5)

3. Finally, the disposal will be matched with all other share acquisitions which are 'pooled' together and form one asset for CGT purposes. This asset is called the **'s.104 pool'**.

If there are multiple acquisitions in the s.104 pool, each share in that pool will be treated as having a base cost equal to the **average cost of the shares in the pool** as at the date of the disposal.

➢ Illustration 1

Geoff has shares in XYZ Plc, acquired over a number of years. The share purchases have been as follows:

Date	Shares	Cost
		£
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	4,000	20,000

On 15 August 2022, Geoff sold 6,000 shares for £36,000.

Calculate the gain in 2022/23 and show how the matching rules are applied.

To calculate Geoff's capital gain, we first identify which shares Geoff has sold, by applying the share matching rules.

Geoff sold 6,000 shares on 15 August 2022. Our first question is 'did Geoff buy any shares on the **same day**?' – ie did he buy any shares on 15 August 2022? If he did, these shares will be sold in priority to any others. The answer to this question is 'no'.

We then move to the second matching rule, and ask whether Geoff bought any shares in the **30 days following** the date of disposal.

The 30 days following the disposal, runs from 16 August 2022 to 14 September 2022. The answer to this question is again 'no'.

We now move to the last matching rule. The third match is with any other shares acquired. Geoff has bought several lots of shares. These shares form a 'pool' and Geoff is treated as selling his shares from the pool on a pro-rata basis.

The s.104 pool is therefore as follows:

Date	Shares	Cost
		£
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	4,000	20,000
Total	10,000	39,000
Less: Sale (August 2022)	(6,000)	(23,400)
Balance c/f	4,000	15,600

His capital gain will therefore be:

Proceeds	36,000
Less: CGT base cost (above)	(23,400)
Capital gain	12,600

Note that as Geoff has sold 6,000 of the 10,000 shares in the pool (ie 60%), we take 60% of the total base cost.

Illustration 2

Glenys has bought shares in ABC Plc as follows:

Date	Shares	Cost £
21 December 2005	20,000	10,000
18 June 2012	40,000	80,000
29 March 2023	10,000	40,000

On 14 March 2023, Glenys sold 20,000 shares for £75,000. She made no other disposals in the year.

Calculate the chargeable gain in 2022/23.

To calculate Glenys's capital gain, we first identify which shares she has sold.

Glenys sold 20,000 shares on 14 March 2023. Our first question is 'did Glenys buy any shares on the **same day**?' – ie did she buy any shares on 14 March 2023? The answer to this question is 'no'.

We then move to the second matching rule, and ask whether Glenys bought any shares in the **30 days following** the date of disposal.

The 30 days following the disposal, runs from 15 March 2023 to 13 April 2023. The answer to this question is **'yes'** as Glenys bought 10,000 shares on 29 March 2023. **These 10,000 shares are therefore sold first.**

The capital gain/loss on the sale of these 10,000 shares is as follows:

	£
Proceeds (10,000/20,000 × £75,000)	37,500
Less: Cost (29.3.23)	(40,000)
Capital loss	(2,500)

The last match is with all other shares acquired which are in the **s.104 pool**. The s.104 pool is as follows:

Date	Shares	Cost £
21 December 2005	20,000	10,000
18 June 2012	40,000	80,000
Total	60,000	90,000
Less: Sale (March 2023)	(10,000)	(15,000)
Balance c/f	50,000	75,000

Glenys's capital gain will therefore be:

Proceeds (10,000/20,000 × £75,000)	37,500
Less: CGT base cost (above)	(15,000)
Capital gain	22,500

Glenys has therefore sold 2 assets:

1. 10,000 shares bought on 29 March 2023; and

2. 10,000 shares from the s.104 pool.

Her net gain on sale is therefore:

Gain on s.104 pool shares	22,500
Less: Loss on shares bought on 29.3.23	(2,500)
Net chargeable gain	20,000

17.3 Cryptocurrencies

A cryptocurrency is a relatively new form of electronic money or digital currency, designed to be an online medium of exchange.

Unlike traditional currencies such as sterling or dollars, cryptocurrencies are not reliant on any central authority, such as a government or bank, to uphold or maintain them.

A cryptocurrency can be used to buy goods or services, but in most cases individuals seem to hold it as an investment.

Bitcoin is the perhaps the best-known form of cryptocurrency but there are others (such as Ether, Ripple and Stellar).

If an individual buys and sells cryptocurrency, **any profits or losses are within the capital gains rules**.

Gains are chargeable to CGT at 10% or 20% (depending on income).

Losses are treated like any other capital losses and are deductible against general capital gains (not just cryptocurrency gains) in the same year and the excess loss carried forward.

The share matching rules apply to disposals of cryptocurrencies of the same class.

There is a different 'pool' for each type of cryptocurrency an individual owns.

➢ Illustration 3

Laith is a Bitcoin investor and his Bitcoin purchases in recent years have been as follows:

Date of purchase	Amount	Cost
		£
15 April 2013	10	2,500
28 November 2016	25	25,000
4 December 2017	3	54,000
12 December 2019	20	80,000
5 January 2021	1	45,000
24 May 2022	1	36,000
Total	60	242,500

On 24 May 2022 he sold 4 Bitcoin for £136,000 (net of selling costs).

Calculate the chargeable gain (or allowable loss) arising.

The share matching rules apply.

First match: 1 Bitcoin bought on 24 May 2022 (same day)

Second match: 3 Bitcoin in the S.104 pool

Chargeable gains/losses:

		£	£
1st match:			
Proceeds	¼ × £136,000	34,000	
Less: Cost		(36,000)	
Loss			(2,000)
2nd match:			
Proceeds	¾ × £136,000	102,000	
Less: Cost (W)		(10,500)	
Gain			91,500
Net gain			89,500

Working: S.104 pool

	Amount	£
15 April 2013	10	2,500
29 November 2016	25	25,000
4 December 2017	3	54,000
12 December 2019	20	80,000
5 January 2021	1	45,000
	59	206,500
Less: Sale 24 May 2022	(3)	(10,500)
Pool c/f	56	196,000

EXAMPLES

❖ Example 1

Ricardo sold 2,000 shares (a 2% holding) in Widget Co Ltd for £16,000 on 1.10.22. His shares had been acquired as follows:

Date	No.	Cost £
1.12.19	1,000	4,000
1.12.20	1,000	5,000
1.12.21	1,000	6,000
1.12.22	1,000	8,500

Calculate Ricardo's chargeable gain.

❖ Example 2

Anna had the following share transactions in ABC plc:

Date	Event	No.	Cost £	Proceeds £
1.3.23	Buy	10,000	15,000	
21.3.23	Sell	8,000		16,000
21.3.23	Buy	4,000	10,000	
28.3.23	Buy	6,000	18,000	

Calculate Anna's gain/(loss) on the sale in March 2023.

ANSWERS

✓ Answer 1

2,000 shares sold 1.10.22:

Same day?	No
Next 30 days?	No
S.104 pool	Yes

Date	Shares	Cost
		£
1.12.19	1,000	4,000
1.12.20	1,000	5,000
1.12.21	1,000	6,000
Total	3,000	15,000
Less: Sale (1.10.22)	(2,000)	(10,000)
	1,000	5,000
1.12.22	1,000	8,500
Balance c/f	2,000	13,500

Ricardo's capital gain will therefore be:

Proceeds	16,000
Less: CGT base cost (above)	(10,000)
Capital gain	6,000

✓ Answer 2

8,000 shares sold 21.3.23:

Same day?	Yes	4,000 bought 21.3.23
Next 30 days?	Yes	4,000 bought 28.3.23
		8,000

	£	£
Disposal 1 – sale of 4,000 shares bought 21.3.23		
Proceeds		
16,000 × (4,000/8,000)	8,000	
Less: Cost (21.3.23)	(10,000)	
Loss	(2,000)	(2,000)
Disposal 2 – sale of 4,000 shares bought 28.3.23		
Proceeds		
16,000 × (4,000/8,000)	8,000	
Less: Cost (28.3.23)		
18,000 × (4,000/6,000)	(12,000)	
Loss	(4,000)	(4,000)
Total loss		(6,000)

CHAPTER 18

BONUS ISSUES AND RIGHTS ISSUES

By the end of this chapter you will understand:
- what happens when free shares are given to a shareholder under a 'bonus' issue
- what happens when a shareholder buys further shares under a rights issue
- how bonus issues and rights issues affect the calculation of a capital gain

18.1 Bonus Issues

A bonus issue is a **free issue of shares** by a company to its shareholders. Bonus shares are issued to shareholders in proportion to their existing holdings. TCGA 1992, s.127

For example, if a taxpayer owns 20,000 shares in ABC Plc and the company announces a '1 for 5 bonus issue', the shareholder will receive 1 bonus share for every 5 shares they already own. The shareholder will be given 4,000 free shares, taking their holding up to 24,000 shares. There is no cost involved – the shares are issued free of charge.

A company will announce a bonus issue in order to reduce the share price and to make the shares more marketable or more tradeable.

To illustrate this, assume that before the bonus issue the 20,000 shares had a market value of £120,000. Before the bonus issue, the shares were worth £6 each.

After the bonus issue, even though the shareholder has more shares, their total holding is still worth £120,000. A bonus issue will therefore increase the number of shares, but will not affect the overall value. After the bonus issue, the shareholder has 24,000 shares, valued in total at £120,000. The price per share has therefore come down to £5.

18.2 Effect on the Computation

Bonus shares are treated as having been **acquired at the same time as the original shares** for CGT purposes.

➢ Illustration 1

Nita buys 10,000 shares in Cobra Ltd in May 2005 for £1 per share. A further 4,000 shares are acquired in January 2008 for £1.50 per share and another 2,000 are acquired in October 2012 for £2.50 per share. These are all allocated to the s.104 pool.

Cobra Ltd announced a '1 for 2 bonus issue' in December 2022. Nita currently has 16,000 shares, so she is entitled to receive 8,000 free shares.

Nita sells 6,000 shares in March 2023 for £4.50 per share.

Calculate the capital gain in 2022/23.

The shares are allocated to the existing shares to which they relate. This means that the 8,000 also go into the s.104 pool.

	Shares	Cost
		£
May 2005	10,000	10,000
January 2008	4,000	6,000
October 2012	2,000	5,000
	16,000	21,000
Bonus 1:2 December 2022	8,000	Nil
Total	24,000	21,000

Nita sells 6,000 shares in March 2023 for £4.50 per share. Her gain is as follows:

Pool b/f	24,000	21,000
Less: Sale March 2023	(6,000)	*(5,250)
Total	18,000	15,750

* CGT base cost is 6,000/24,000 × £21,000 = £5,250

Capital gain:

Proceeds (6,000 × 4.50)	27,000
Less: CGT base cost (above)	(5,250)
Capital gain	21,750

18.3 Rights Issues

A rights issue operates in a similar way to a bonus issue, except with a rights issue the shareholder will **buy** any new shares offered to them. There is therefore a cost attached to a rights issue. TCGA 1992, s.128

Like bonus shares, rights shares are **issued in proportion to the existing holding**.

For example, if a taxpayer has 40,000 shares in a company and the company announces a '1 for 4 rights issue' at £2 per share, this means that the shareholder has a right to buy 1 additional share for every 4 shares that they hold, and they will pay £2 per share.

The shareholder can therefore buy a maximum of 10,000 shares for £20,000.

The shareholder can buy less than their rights entitlement (or none at all) if they so wish.

The main purpose of a rights issue is to enable the company to raise additional cash from its shareholders.

The company obviously wants the shareholders to take up their rights and to buy the new shares. Therefore, as an incentive, the new rights shares are **usually** offered at a price which is less than the current market value of the shares. For instance in the above example, the company offer the rights shares at £2 each, when in fact their market value could be, say, £2.50.

18.4 Effect on the Computation

Like bonus shares, rights shares are treated as having been acquired at the same time as the original shares for CGT purposes.

As there is a cost attaching to the rights shares, they are simply treated as a **normal purchase of shares** for CGT purposes.

➢ Illustration 2

Danny owns shares in ABC Plc. Danny bought 2,000 shares in January 2004 for £2,000.

Danny bought an additional 1,000 shares in May 2011 for £2,000. On 4 February 2018, ABC Plc announced a 1 for 4 rights issue at £2.50 per share.

On 30 November 2022, Danny sold 2,700 shares for £9,450.

Danny bought a further 1,200 shares on 10 December 2022 for £3,600. following 30 days

Calculate the 2022/23 chargeable gain.

First we decide which shares Danny has sold by using the matching rules:

2,700 shares sold 30.11.22:

Same day?	No	
Next 30 days?	Yes	1,200 shares
S.104 pool	Yes	1,500 shares
		2,700

The first match is with 1,200 shares bought on 10 December 2022:

The gain will on these shares will be:

	£
Proceeds (1,200/2,700 × 9,450)	4,200
Less: CGT base cost (above)	(3,600)
Capital gain	600

The second match is with 1,500 shares in the s.104 pool:

Date	Shares	Cost
		£
Jan 2004	2,000	2,000
May 2011	1,000	2,000
	3,000	4,000
February 2018 (1:4 rights issue @ 2.50)	750	1,875
Total	3,750	5,875
Less: Sale (30.11.22)	(1,500)	(2,350)
Balance c/f	2,250	3,525

Gain on the s.104 pool shares:

Proceeds (1,500/2,700 × 9,450)	5,250
Less: CGT base cost (above)	(2,350)
Capital gain	2,900

Net gain on sale:

Gain on s.104 pool shares	2,900
Gain on shares bought 10.12.22	600
Net chargeable gain	3,500

EXAMPLES

❖ Example 1

Liliana bought 10,000 shares in BCD plc for £20,000 in April 2010. She bought another 20,000 shares for £80,000 in August 2011.

In May 2013, BCD plc announced a 1:3 rights issue at £5 per share. Liliana took up her rights in full.

In March 2020, BCD plc announced a 1:5 bonus issue.

Liliana sold 12,000 shares for £100,000 in December 2022.

Calculate Liliana's capital gain.

ANSWERS

✓ Answer 1

All shares in s.104 pool

Date	Shares	Cost
		£
April 2010	10,000	20,000
August 2011	20,000	80,000
	30,000	100,000
May 2013 (1:3 rights issue @ 5)	10,000	50,000
	40,000	150,000
March 2020 (1:5 bonus issue)	8,000	Nil
	48,000	150,000
Less: Sale (Dec 2022)	(12,000)	(37,500)
Balance c/f	36,000	112,500

Gain

Proceeds	100,000
Less: CGT base cost (above)	(37,500)
Capital gain	62,500

CHAPTER 19

ROLLOVER RELIEF

By the end of this chapter you will understand:
- what rollover relief is
- how to calculate rollover relief
- what happens where proceeds are not fully reinvested
- the conditions that must be satisfied to claim this relief
- which assets qualify for rollover relief
- the time limits for claiming rollover relief
- the interaction between rollover relief and business asset disposal relief

19.1 Introduction

You will sometimes see rollover relief referred to as 'replacement of business assets' relief, for the simple reason that the legislation gives a trader relief when they **sell a business asset and replaces it with another**. Rollover relief is one of a number of ways in which a trader can **defer the payment of any capital gains tax**. TCGA 1992, s.152

Illustration 1

A trader is using a building for the purposes of their trade. They sell the building for £200,000 making a capital gain – before any reliefs – of £80,000. The reason the trader has sold the old asset, is because they wish to replace it with a new one. The business may be expanding and needs larger premises.

The trader replaces the old office building with a new office building costing £250,000. Where a trader disposes of a business asset and reinvests the proceeds in buying another business asset, they can make a claim to defer the gain they have made. In this example, the trader sells the old asset for £200,000 and reinvests the whole of the proceeds in buying a new asset for £250,000. The trader has therefore not retained any of the sale proceeds.

Calculate the capital gain arising on the sale of the building, assuming all available claims are made and state the base cost of the new building.

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Rollover relief	(80,000)
Gain	Nil

Rollover relief is a deferral relief as it pushes the capital gains back to a later period in time. The way rollover relief works, is that the amount of the **gain deferred** – in this instance £80,000 – is **rolled over and reduces the base cost of the new asset purchased**. TCGA 1992, s.152(1)(b)

New building:

Cost	250,000
Less: Rolled over gain	(80,000)
Base cost of new asset	170,000

Therefore, when the trader comes to sell the second building, because its base cost has been reduced by £80,000, the capital gain on the sale of that building will be uplifted by £80,000. The **capital gain** of £80,000 on the sale of building number 1 has therefore been **deferred until the sale of building number 2**.

The advantage of making a rollover relief claim, is that the taxpayer pays capital gains tax on this £80,000 several years later, thereby obtaining a cash flow advantage.

If the trader incurs disposal costs, it is only necessary for the net proceeds to be reinvested in order for full relief to be claimed.

19.2 Proceeds Not Fully Reinvested

➢ Illustration 2

Assume a trader sells a business asset for £200,000 realising a capital gain of £80,000. The trader uses the money to buy a replacement asset which costs £180,000.

Calculate the gain on the sale of the business asset, assuming all available claims are made and state the base cost of the replacement asset.

You will see that the trader has not fully reinvested the proceeds of sale. TCGA 1992, s.153

Cash retained = £200,000 – 180,000 = £20,000

Where the taxpayer does not spend all of the sale proceeds, the amount of **cash retained** (£20,000) is **immediately chargeable** to capital gains tax and the remainder can be rolled over into the base cost of the replacement asset.

This means that having made a capital gain of £80,000, the taxpayer is immediately charged on £20,000. The **balance** – here being £60,000 – **is the rollover relief** that the trader can claim.

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Rollover relief	(60,000)
Gain (200,000 – 180,000)	20,000

The £60,000 will be rolled over and reduces the base cost of the new asset.

Cost	180,000
Less: Rolled over gain	(60,000)
Base cost of new asset	120,000

Illustration 3

Assume a trader sells a business asset for £200,000, realising a capital gain of £80,000. They use part of the sale proceeds to buy a replacement asset. The new building is considerably smaller and costs £110,000.

Calculate the gain to be charged on the sale of the old asset and identify the base cost of the new asset.

Where a trader has not fully reinvested the proceeds of sale, we must identify the amount of cash retained.

Cash retained = £200,000 – 110,000 = £90,000

However, it is not possible for HMRC to charge the trader on a gain of £90,000, as his actual gain is only £80,000. Therefore, the whole of this gain of £80,000 will be immediately charged to tax, and no rollover relief will be available. The base cost of the new asset will remain at £110,000.

This demonstrates that when the **cash retained by the trader exceeds the capital gain**, the whole of the gain is chargeable and **no rollover relief can be claimed**.

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Rollover relief	Nil
Gain	80,000
Base cost of new asset	110,000

19.3 Conditions for the Relief

Rollover relief can only be claimed by **persons carrying on a trade**. Individuals trading as sole traders or within a partnership can claim rollover relief. Rollover relief can also be claimed if a **company** sells an asset and reinvests the proceeds in a replacement asset. TCGA 1992, s.152(1)

The **old asset** – ie the asset being sold – must be **used for the purposes of a business** carried on by the trader. Rollover relief is also available where an individual owns an asset, but the asset is used by their personal company. A personal company is one where the individual owns at least 5% of the voting shares.

If an individual is carrying on two trades at the same time, these **two trades are regarded as one single trade** for rollover relief purposes. Therefore, if an individual makes a capital gain on an asset used in trade 'A', they can claim rollover relief by buying a business asset and using it for the purposes of trade 'B'. TCGA 1992, s.152(8)

19.4 Qualifying Assets

Rollover relief is only available to a trader who makes a disposal of a 'qualifying asset', and who reinvests all or part of the proceeds in another 'qualifying asset'. The legislation contains a list of qualifying assets at s.155 TCGA 1992. TCGA 1992, s.155

The most common type of qualifying assets is **land and buildings** used for the purposes of a trade. These will typically include shops, offices, factories, warehouses etc.

The **goodwill** of a business is also a qualifying asset. When a trader sells his business, a major part of the value of the business will often be the reputation of the business and the customer contacts. This is what we mean by 'goodwill'.

Fixed plant and machinery are qualifying assets for rollover relief. Note the word 'fixed'. Fixed means immovable, so assets such as tractors or combine harvesters used by a farmer, or vehicles used by traders, are not eligible for rollover relief.

Ships, aircraft and hovercraft are qualifying assets as are satellites, space stations and spacecraft.

The qualifying assets you are most likely to see in practice are land and buildings, goodwill, or fixed plant and machinery.

It is important to note that the **old and the new assets do not need to fall within the same category**. If a trader makes a gain on the sale of a building, they will obtain rollover relief if they purchase either another building, or any of the other qualifying assets. Therefore a trader who sells goodwill and reinvests the proceeds in space travel, will obtain rollover relief.

One asset you will **not** find on the list of qualifying assets is **shares**. If an individual either **buys or sells shares, they cannot claim rollover relief**. Shares can never be used for the purposes of a trade. A share is simply an individual's stake in a company, and is not used for any specific purpose.

19.5 Statutory Time Limits

Rollover relief is only available if the new asset is acquired within a certain period of time. The **new asset must be acquired** within a four-year time window, running **from 12 months before the sale of the old asset, to 36 months afterwards**. These time limits can be extended at the discretion of HMRC. TCGA 1992, s.152(3)

Rollover relief must be claimed by the trader within a certain time limit. That time limit is four years from the end of the tax year in which the gain arises or the new asset is acquired (whichever is the later). For example, assume a trader sells the old asset and acquires the new asset in 2022/23. In the absence of a claim, the CGT will be due no later than 31 January 2024. A rollover relief claim should be made no later than 5 April 2027. TMA 1970, s.43(1)

Rollover relief is not automatic, and if a trader does not wish to defer a capital gain, they simply do not make a rollover relief claim. This may be the case if the gain is covered either by losses or the annual exempt amount or is eligible for business asset disposal relief.

19.6 Interaction with Business Asset Disposal Relief

Where a taxpayer makes a **material disposal** of **business assets**, business asset disposal relief (BADR) may be available to reduce the chargeable gain.

However, do remember that the disposal of a single asset only qualifies for BADR if, when the asset is sold, either the whole or part of the business is also sold.

The most likely time when rollover relief and BADR will interact is when the taxpayer is selling their old business with related assets and reinvesting in a new business and qualifying assets.

Where this is the case, BADR will apply to any **gains remaining after rollover relief** has been claimed.

EXAMPLES

❖ Example 1

Which of the assets below are qualifying assets for rollover relief purposes for an individual?

a. Goodwill

b. Freehold office

c. Lease on a factory

d. Tractor

e. Shares in a personal company

f. Painting

❖ Example 2

Harry bought a shop in May 2012 for £180,000. He sold it in May 2022 for £250,000. In June 2021 Harry had bought an office for use in his trade for £230,000. He sold the office in March 2024 for £240,000.

Assuming all relevant claims are made calculate Harry's chargeable gains and state the tax years in which they arise.

ANSWERS

✓ Answer 1

Qualifying asset?	Yes	No
a. Goodwill	X	
b. Freehold office	X	
c. Lease on a factory	X	
d. Tractor		X (Not fixed)
e. Shares in a personal company		X
f. Painting		X (Not used in trade)

✓ Answer 2

May 2022	
Shop:	£
Proceeds	250,000
Less: Cost	(180,000)
Gain	70,000
Less: Rollover relief	(50,000)
Gain (250,000 – 230,000)	20,000
The gain arises in 2022/23	
Office:	
Cost	230,000
Less: Rolled over gain	(50,000)
Base cost of new office	180,000
March 2024	
Office:	
Proceeds	240,000
Less: Base cost (above)	(180,000)
Gain	60,000
The gain arises in 2023/24	

Tutorial Note:

Harry purchased the office in the 12 months before the disposal of the shop. Both assets were used in the trade, so rollover relief is available.

CHAPTER 20

ROLLOVER RELIEF AND DEPRECIATING ASSETS

By the end of this chapter you will understand:
– what a depreciating asset is
– how investing in a depreciating asset affects rollover relief

20.1 Depreciating Assets

A **depreciating** asset for CGT purposes is similar to a 'wasting asset'. A 'wasting asset' is an asset with a useful life of not more than 50 years. A depreciating asset is either a wasting asset, or an asset which will become a wasting asset within the next 10 years. Therefore, a depreciating asset is an asset with a **useful life not exceeding 60 years**. TCGA 1992, ss.154 and 154(7)

The most common types of depreciating assets for rollover relief purposes are:

- **leases of 60 years or less;** and
- **fixed plant and machinery.**

As plant and machinery is regarded as having a useful life of less than 50 years, if a trader acquires fixed plant and machinery they will generally be treated as acquiring a depreciating asset.

However, s.155 TCGA 1992 distinguishes between fixed plant and machinery which forms part of a building from other fixed plant and machinery which does not.

In cases where an item of **fixed plant or machinery has become part of the fabric of a building** (such as lift or escalator), **the cost of the fixed plant is treated as expenditure on the building itself**. In this case the expenditure on the fixed plant will not be treated as expenditure on a depreciating asset.

20.2 Purchase of a Depreciating Asset

As far as rollover relief is concerned, where the asset being purchased is a depreciating asset, we do not take the gain on the original asset and roll it over against the base cost of the replacement. If the **replacement asset** is a depreciating asset, **relief is given by freezing the gain on the old asset** for a certain period of time. TCGA 1992, s.154(2)

➢ Illustration 1

A trader sells a building in July 2022. Proceeds are £200,000 giving rise to a gain of £80,000. The building is replaced with fixed plant and machinery bought in May 2022 for £180,000.

Calculate the gain chargeable on the sale of the old building, after rollover relief and identify the base cost of the new fixed plant and machinery.

All of the conditions for rollover relief have been satisfied. Both assets are used in the trade, both assets are on the list of qualifying assets, and the reinvestment takes place within the four year time window.

However, the way in which we defer the capital gain in this instance is slightly different, because the replacement asset – ie the asset purchased – is a depreciating asset. As not all of the sale proceeds have been reinvested in the replacement asset, the trader will have a gain of £20,000 which is immediately chargeable to capital gains tax, whilst the remaining £60,000 will be deferred.

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Deferred gain	(60,000)
Gain (200,000 – 180,000)	20,000

The way in which we defer the gain is not by rolling the £60,000 against the base cost of the plant and machinery. Instead this £60,000 is 'frozen'. This means that this amount will not be charged to capital gains tax until the happening of a certain future event. Where the replacement asset is a depreciating asset, the deferred gain is not rolled over. The base cost of the plant and machinery remains at £180,000.

At some point in the future, this frozen gain will crystallise and become chargeable. **The frozen gain crystallises on the earliest of three events**: TCGA 1992, s.154(2)

i. The frozen gain will become chargeable if the depreciating asset – ie the plant and machinery – is **sold** by the trader.

ii. If the trader **stops using** the plant and machinery within their trade – for example, the machine is used for a non-business purpose – this will also crystallise the frozen gain.

iii. If neither of these two events happens, the frozen gain will automatically crystallise no later than **10 years after the acquisition** of the depreciating asset.

In the example, the plant and machinery was purchased in May 2022. Therefore, the frozen gain of £60,000 will 'unfreeze' in May 2032 at the very latest.

➢ Illustration 2

In the previous illustration, the frozen gain was £60,000. This gain was frozen when the original building was sold in July 2022. The trader bought plant and machinery in May 2022 and the base cost of this plant and machinery is £180,000.

Assume that the trader sells the machinery in June 2023 for £195,000.

Calculate the total gains arising on the sale of the plant and machinery.

A gain arises on the sale as follows:

June 2023	£
Proceeds	195,000
Less: Cost	(180,000)
Gain	15,000

The sale of the depreciating asset will also lead to the crystallisation of the frozen gain.

The chargeable gain which crystallises in June 2023 is £60,000. We add this to the gain on the sale of the plant and machinery:

Gain	15,000
Add: Frozen gain crystallising	60,000
Total chargeable gains 2023/24	75,000

We only use the depreciating assets rule when the asset being **purchased** has a useful life of not more than 60 years. If this situation is the other way around – ie a trader sells a machine and uses the money to buy a non-depreciating asset such as a building – the normal rollover relief rules will apply.

EXAMPLES

❖ Example 1

Lance sold a freehold workshop in December 2022 for £400,000, making a gain of £150,000.

In May 2024 he reinvested £300,000 in buying a 55-year lease on a small shop.

In May 2025, due to a drop in business, he sold the lease for £280,000.

He made no other disposals in 2025/26.

Calculate Lance's gain/(loss) in 2025/26.

ANSWERS

✓ Answer 1

	£
December 2022: Sale of freehold workshop	
Gain (given)	150,000
Less: Rollover relief	(50,000)
Gain charged (SP 400,000 – cost of replacement 300,000)	100,000

Tutorial Note:

As the replacement asset (55-year lease) is a depreciating asset, the £50,000 claimed as rollover relief is frozen. The base cost remains at £300,000.

May 2025: Sale of lease	
Proceeds	280,000
Less: Cost	(300,000)
Loss on sale of lease	(20,000)

The sale of depreciating asset (lease) crystallises the frozen gain.

Frozen gain	50,000
Less: Loss on lease	(20,000)
Gain	30,000

CHAPTER 21

ROLLOVER RELIEF – FURTHER ASPECTS

By the end of this chapter you will understand:
- how partial business use affects the calculation of rollover relief
- how rollover relief is allocated when more than one asset is acquired

21.1 Partial Business Use

Rollover relief is only available if an asset is used for business purposes. Where there is only partial business use we treat the part used for business and the part used for non-business purposes as **separate assets**. Having calculated the business element of the capital gain, rollover relief will be available to defer all or part of this gain. However, the **non-business element** of the gain will be fully chargeable, and **no rollover relief** will be available. TCGA 1992, s.152(6)

In addition, we must also consider whether the replacement asset is being fully used for business purposes. Where the new asset is partly used for business and partly used for non-business purposes, we must look at the **amount reinvested in the business element of the asset** only, as this will determine the amount of rollover relief a taxpayer can claim. TCGA 1992, s.152(11)

➢ Illustration 1

A taxpayer bought a building for £160,000 in May 2010. He uses 75% of the building for business purposes, whilst the remaining 25% of the property is a flat which is being let out, and is not therefore used in his business. The taxpayer sells the whole of the property for £400,000 in September 2022.

The taxpayer replaced the property a few months later by buying a new building for £280,000 which is to be used fully in the business.

Calculate the gain chargeable in 2022/23, assuming a claim for rollover relief is made.

We need to calculate two capital gains, treating the business element and the non-business element as separate assets.

	Business (75%)	Non-business (25%)
	£	£
Proceeds	300,000	100,000
Less: Cost	(120,000)	(40,000)
Gains	180,000	60,000

The taxpayer replaced the property a few months later by buying a new building for £280,000.

The taxpayer has sold a business asset and replaced it with another, therefore he can claim rollover relief. However, it is only the business gain on the old asset – ie part of the £180,000 – that will qualify for rollover relief. The gain of £60,000 on the non-business asset will be fully chargeable, and no rollover relief will be available.

To calculate how much of the gain of £180,000 may be rolled over, we must work out how much of the business proceeds from the old asset have been reinvested in the new asset.

We **compare the business proceeds received with the amount of business proceeds reinvested**. The taxpayer received £300,000 on the sale of the business element of the old asset. He reinvested £280,000 on the business element of the new asset. The business proceeds retained are therefore £20,000. This is immediately chargeable so the remaining £160,000 can be deferred by a rollover relief claim.

	Business (75%)	Non-business (25%)
	£	£
Proceeds	300,000	100,000
Gains	180,000	60,000
Less: Rollover relief	(160,000)	Nil
Gain (300,000 – 280,000)	20,000	60,000
Total gains		80,000

The rolled over gain of £160,000 reduces the base cost of the new business asset which now becomes £120,000.

21.2 Buying More Than One Asset

If a trader sells an old asset, then uses the money to buy more than one qualifying asset, the trader can allocate the rollover relief in any way he chooses. Revenue Manual CG 60294

EXAMPLES

❖ Example 1

Tamsin, a trader, bought an office in December 2010 for £120,000. Two-thirds of the office was used for business and one-third was let to a third party.

Tamsin bought a storage unit for her business in December 2021 for £150,000. She sold the office in October 2022 for £270,000.

Calculate Tamsin's chargeable gain on the sale of the office, assuming she claims rollover relief.

ANSWERS

✓ Answer 1

Sale of office

	Business (2/3)	Non-business (1/3)
	£	£
Proceeds	180,000	90,000
Less: Cost	(80,000)	(40,000)
Gain	100,000	50,000
Less: Rollover relief	(70,000)	Nil
Gain (180,000 – 150,000)	30,000	50,000
Total gains		80,000

CHAPTER 22

GIFT RELIEF

By the end of this chapter you will understand:
- how to calculate gains on gifts of chargeable assets
- how the deferral relief works
- what assets qualify for the relief
- how to claim the relief

22.1 Introduction

A gift is a disposal for capital gains tax purposes. Therefore the person who is giving the asset away – the donor – could have CGT to pay even though they have received no money from the recipient. To calculate the donor's capital gain, we **assume that sales proceeds are equal to the market value of the asset** at the date of the gift. This rule applies whether or not the donor and the donee are connected persons. TCGA 1992, s.17

Consider the situation where Dad gives shares in a company called Dad Limited to his son. The shares are worth £200,000 at the date of the gift. To calculate Dad's capital gain, we deduct the cost of the shares to arrive at the gain.

	£
MV at gift	200,000
Less: Cost	(120,000)
	80,000

As far as the son is concerned, we **assume that he has bought the shares from Dad for their market value** – ie for £200,000. This becomes the son's base cost for CGT purposes.

22.2 The Deferral Relief

In the above scenario, it seems unfair that Dad has a gain of £80,000, when he has no money to pay the capital gains tax. TCGA 1992, s.165

Therefore in certain situations, 'gift relief' is available to defer Dad's gain on the gift of the shares. We **defer the gain** on Dad's gift by **rolling over this capital gain against the base cost of the shares in the hands of the donee**. Essentially, the relief transfers Dad's capital gain to the son. Gift relief is sometimes called 'holdover relief'. TCGA 1992, s.165(4)

If gift relief is available to defer the capital gain, the way in which the relief is given is by taking the capital gain of £80,000 and deducting it from the base cost of the donee. Two things are happening here. First, the donor's capital gain is reduced to zero by the gift relief.

	£
Proceeds (MV)	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Gift relief	(80,000)
Gain	Nil

Second, the donee's base cost of £200,000 is reduced to £120,000. This is what we mean by the donor's capital gain being transferred to the donee. When the **donee comes to sell the asset, his capital gain will be higher** by £80,000 because of this reduction in his base cost.

Cost	200,000
Less: Rolled over gain	(80,000)
Base cost	120,000

The donee's base cost is equal to the donor's base cost.

22.3 Qualifying Assets

Not all gifts will qualify for gift relief. Sometimes the donor will be left with a CGT liability even though he has received no cash proceeds.

Section 165 TCGA 1992 allows a gift relief claim when the asset being gifted is a **'business asset'**.

Any number of shares in an unquoted trading company are business assets for gift relief purposes. **Shares in a personal trading company** are also business assets under s.165. A personal company is any company in which the shareholder owns at least 5% of the voting rights. TCGA 1992, s.165(2)(b)

Assets used in a business will also qualify for relief. Typically these will include land and buildings, goodwill or plant and machinery used for the purpose of a trade. The trade must either be carried on by an individual as a sole trader, or as a member of a partnership, or be assets owned by an individual and used by their personal trading company. TCGA 1992, s.165(2)(a)

Agricultural land and buildings used for the purposes of farming will also qualify for gift relief. TCGA 1992, Sch 7, para (1)

The most common asset that is **not** a business asset under s.165, is shares in a **quoted** company where the donor **does not have 5%** of the voting rights. In most instances gifts of quoted shares will not qualify for gift relief. If gift relief is not available, the donor will pay capital gains tax in the normal way.

22.4 Claiming Gift Relief

In order for the donor to receive gift relief, it is necessary for a specific claim to be made, either under s.165 or under s.260. In the majority of cases, the election is a **joint election** between the donor and the donee. The donor cannot usually make a gift relief claim on their own – they must have the consent of the donee. The only time when a gift relief claim is not a joint election, is in the case of a gift to a trust. Gifts between individuals always require a joint election to be made. TCGA 1992, s.165(1)(b)

The time limit for the gift relief claim is **four years from the end of the tax year** of disposal. Therefore, for a gift in the tax year 2022/23, a gift relief claim is only valid if it is made on or before 5 April 2027. In reality, most gift relief claims are made when filing the self-assessment return for the tax year in which the gift is made (as otherwise CGT will be payable). TMA 1970, s.43(1)

EXAMPLES

❖ Example 1

Ms Kent bought a workshop for use in her trade for £50,000 in September 2010. She gave the workshop to her daughter Carla in May 2022 when it was worth £190,000.

Carla sold the workshop in March 2023 for £220,000 having used it in the summer for personal use.

Assuming all appropriate claims are made, calculate Carla's chargeable gain on the sale of the workshop.

❖ Example 2

Which of the following assets is NOT a business asset for gift relief purposes?

a. A 4% holding of shares in Chiswick Ltd, an unquoted trading company.

b. A 6% holding of shares in Hammersmith plc, a quoted trading company.

c. A 10% holding of shares in Richmond Investments Ltd, an unquoted investment company.

ANSWERS

✓ Answer 1

Ms Kent's gain:	£
Proceeds (MV)	190,000
Less: Cost	(50,000)
	140,000
Less: Gift relief under s.165	(140,000)
Chargeable gain	Nil
Carla's base cost:	
Market value (May 2022)	190,000
Less: Gift relief	(140,000)
Base cost	50,000
Carla's gain:	
Proceeds (March 2023)	220,000
Less: Base cost	(50,000)
Gain	170,000

✓ Answer 2

The answer is **C**

Shares in investment companies do not qualify for gift relief.

Shares in unquoted trading company and shares in personal trading company qualify for gift relief.

CHAPTER 23

GIFT RELIEF – RESTRICTIONS

By the end of this chapter you will understand:
- the restriction that applies to gift relief where there are non-business assets
- the restriction to the relief where there is a sale at an undervalue
- how gift relief interacts with business asset disposal relief
- how gift relief interacts with investors' relief

23.1 Restrictions for Non-Business Assets

Gift relief will not always be available to wipe out completely the capital gain. **Sometimes gift relief is restricted**. The most common example when full gift relief will not be available, is where a donor gives away **shares in their personal company**, and that **company holds 'non-business assets'**.

If this is the case, the amount of the gain which qualifies for gift relief is restricted by the following fraction: TCGA 1992, Sch 7, para 7(1)

Gain eligible for gift relief = CBA/CA × Gain

CBA = the market value of the company's chargeable business assets.

CA = the market value of the company's chargeable assets.

This restriction only applies to gifts of shares in the donor's **personal company**. As such, we only need to consider 'CBA over CA', where the donor has **at least 5%** of the voting rights in the company.

23.2 Chargeable Assets and Chargeable Business Assets

In the fraction restricting gift relief above, 'CBA' is the market value of the company's chargeable business assets and 'CA' is the market value of the company's chargeable assets.

A **chargeable asset** (CA) is any asset which is chargeable to capital gains tax. Therefore, assets such as stock or debtors or cars are non-chargeable assets, as they are outside the scope of CGT. Chargeable assets will include land and buildings, goodwill, plant and machinery or other assets held for investment purposes such as rental properties and shares. TCGA 1992, Sch 7, para 7

A **chargeable business asset** (CBA), is a chargeable asset used for business purposes. An asset is used for business purposes if it helps the company generate profits which will be taxed as trading income.

An example of a chargeable asset which is not used in the business would be shares held for investment purposes, as these produce dividend income. Buildings which are let out and produce rental income would also be non-business assets.

Therefore, to calculate the gain that qualifies for gift relief, we must identify the value of the company's assets at the date of the gift. This will give us our figures of 'CBA' and 'CA', and help us calculate the gift relief available.

➢ Illustration 1

Danny owns shares in McNamara Ltd. McNamara Ltd is Danny's personal company. Danny bought his shares in December 2006 for £100,000. He gave them to his daughter in December 2022 when they had a market value of £250,000.

The assets of McNamara Ltd at December 2022 are valued as follows:

	£
Premises	390,000
Machinery (cost £4,000)	2,500
Car	4,000
Shares in listed companies	10,000
Stock and cash	3,500
Total	410,000

By identifying chargeable assets, calculate the gain remaining after gift relief and also show the revised base cost for the daughter.

As Danny is giving away shares in a personal company, gift relief will be available to defer his capital gains. However before we can calculate the gift relief, we must identify the chargeable assets and the chargeable business assets of McNamara Ltd. We start with chargeable assets.

The premises are chargeable assets. Land and buildings are chargeable to CGT.

Plant and machinery, in this context, is not a chargeable asset. The machinery is valued at £2,500. This asset will be treated as exempt under the chattels rules, because no gains or losses arise if a chattel costing not more than £6,000 is sold for proceeds of not more than £6,000.

The car is an exempt asset for CGT. The shares in listed companies are chargeable assets. Stock and cash are not chargeable assets for CGT – if a company sells stock it generates trading profits rather than a capital gain.

The total value of the chargeable assets is therefore the value of the premises, plus the shares – these add up to £400,000.

We need to identify which of these chargeable assets are used in the business. The premises are used for business purposes. However, the shares are not regarded as business assets. The shares generate dividend income rather than trading profits, so they are not chargeable business assets. Therefore of the £400,000 of chargeable assets, chargeable business assets total £390,000.

		CAs	CBAs
Premises	390,000	Yes	Yes
Machinery	2,500	No	
Car	4,000	No	
Shares in listed companies	10,000	Yes	No
Stock and cash	3,500	No	
Total	410,000	400,000	390,000

We now have enough information to calculate Danny's chargeable gains. We start by calculating the gain:

	£
Proceeds (MV)	250,000
Less: Cost	(100,000)
Gain	150,000

We next work out how much of this gain qualifies for gift relief, by taking the gain, and multiplying it by the fraction CBA/CA.

Qualifying gain: 150,000 × 390/400 = 146,250

We can now deduct this from the gain. Any gain remaining after a gift relief claim, will be chargeable to tax.

Gain	150,000
Less: Gift relief	(146,250)
Chargeable gain	3,750

Business asset disposal relief will be available in respect of the remaining gain if Danny had worked in the business. We'll consider this in more detail at the end of this session.

Danny's daughter is deemed to have bought the shares for their market value of £250,000. The £146,250 of deferred gain is transferred over and reduces the base cost of the donee. The daughter therefore acquires the shares as at the date of the gift with a base cost as follows:

Cost	250,000
Less: Rolled over gain	(146,250)
Base cost	103,750

23.3 Restriction for Sales at Undervalue

Full gift relief will not be available where there is a 'sale at an undervalue'. A 'sale at undervalue' means the donee pays the donor for the transfer of the assets. However, the **amount paid by the donee is less than the market value** of the asset at the date of the gift. Therefore we have a sale, but the consideration is less than market value. TCGA 1992, s.165(7)

A sale at undervalue is **treated as a gift** for CGT purposes. As with all gifts, we calculate the capital gain by **assuming sale proceeds are the market value** of the asset at the date of the gift. This means that when calculating the capital gain, we ignore any actual proceeds changing hands.

Assuming the asset being transferred is a business asset, gift relief is available to reduce this gain. The amount of the gift relief is then rolled over and deducted from the donee's base cost.

In many instances, a sale at undervalue will result in gains being left chargeable after a gift relief claim has been made. In this instance, the **gain will be equal to the 'excess proceeds':**

Excess proceeds = Cash received − Base cost

If the donor makes a **cash profit** on the sale at undervalue, this profit is **immediately charged** to capital gains tax.

➢ Illustration 2

Make a cash profit = £140k - £130k

Priti bought a building for £130,000 in March 2009. In September 2022, Priti transfers the building to Jamie when it is worth £400,000. The building is used in Priti's trade and is therefore a qualifying asset under s.165.

If Priti charged Jamie at the cost, he would not have been charged the CGT

Jamie pays Priti £140,000 for the asset in September 2022.

Calculate the gain remaining chargeable after gift relief and Jamie's base cost.

This is a sale at undervalue because the amount that Jamie pays to Priti for the asset is less than its market value.

The first thing we do is calculate Priti's capital gain.

	£
Proceeds (MV)	400,000
Less: Cost	(130,000)
Gain	270,000

We now consider gift relief. Where we have a sale at undervalue, we must consider whether Priti has 'excess proceeds'. Priti actually sold the asset for £140,000, having paid £130,000 for the asset in March 2009. Priti is therefore making a **cash profit of £10,000**. This is her gain which is taxed in the usual way.

The difference between Priti's gain and her chargeable gain, is the gift relief, which will be rolled over and deducted from Jamie's base cost.

Gain	270,000
Less: Gift relief balancing amount	(260,000)
Chargeable gain (140,000 – 130,000)	10,000
Cost	400,000
Less: Rolled over gain	(260,000)
Base cost	140,000

Note here that the £140,000 paid by Jamie to Priti for the asset is only relevant for the purposes of working out how much gift relief is given to Priti. If there are **no excess proceeds** – ie the gift is **an outright gift**, or if Jamie had paid Priti less than £130,000 for the asset – **full gift relief** is available.

23.4 Interaction with Business Asset Disposal Relief

A gain on a gift may be **eligible for both gift relief and business asset disposal relief (BADR)**. This would apply, for example, where a sole trader is gifting the whole of their business or where shares are gifted in a personal trading company for which the donor works.

Where a gain is eligible for both gift relief and BADR, **gift relief is applied first**. Therefore, if the full gain qualifies for gift relief and a claim for gift relief is made, BADR will not apply as there is no gain left in charge.

If part of the gain in respect of a gift remains chargeable after a claim for gift relief, BADR can be claimed on the balance. This assumes that the gift meets the conditions of a qualifying disposal for BADR.

Gift relief claims are not mandatory and a taxpayer may prefer not to make a gift relief claim and instead allow the full gain on a gift to qualify for BADR. This may be the case if, for example, the recipient of the gift will not be eligible to claim BADR on a subsequent disposal and will therefore be taxed at a higher rate on the deferred gain.

➢ Illustration 3

Steven owns the entire share capital of Smith Enterprises Ltd, a family trading company, for which he has worked as a director for many years. The base cost of his shares is £280,000. He is a higher rate taxpayer.

In July 2022, Steven sold the shares, which were worth £900,000, to his son Tom for £400,000. Tom also works for the company.

The disposal qualifies for gift relief and BADR and Steven decides to claim both. Steven makes no other disposals in 2022/23.

Calculate the capital gains tax due assuming a claim is made for both gift relief and BADR.

The capital gains tax computation is as follows:

		£
Market value		900,000
Less: Base cost		(280,000)
Gain		620,000
Less: Gift relief (s.165)		(500,000)
Chargeable gain (400,000 – 280,000)	Balacing amount	120,000
Less: Annual exempt amount		(12,300)
Taxable gain		107,700
CGT @ 10%		10,770

The decision as to whether to claim gift relief and/or BADR will depend on the facts of each particular case. It will involve the consideration of a number of factors, such as the rate of tax paid by the donor and the recipient, the availability of losses and the annual exempt amount, and whether the recipient can claim business asset disposal relief on a future disposal.

23.5 Interaction with Investors' Relief

A gain on the gift of shares in a personal trading company may also qualify for investors' relief, where the necessary conditions have been met. As with business asset disposal relief, **gift relief is applied first**. Therefore, if the full gain qualifies for gift relief and a claim for gift relief is made, investors' relief will not apply as there is no gain left in charge. If part of the gain in respect of a gift remains chargeable after a claim for gift relief, investors' relief can be claimed on the balance where relevant.

EXAMPLES

❖ Example 1

Mariah gives away shares in Diva Ltd to her daughter. The shares are worth £200,000 at the date of the gift. Mariah paid £120,000 for the shares.

Diva Ltd has chargeable assets of £500,000 of which £440,000 are used in the business.

What is the base cost of the shares for the daughter if gift relief is claimed?

❖ Example 2

Bernard sold 1,000 shares (a 30% holding) in Widget Ltd, an unquoted trading company, to his niece Zoe in February 2023. The shares were worth £90,000. Zoe paid £48,000 for the shares.

Bernard had bought the shares in April 2012 for £25,000.

Assuming Bernard and Zoe make a gift relief claim, calculate the amount of Bernard's gain that can be deferred under gift relief.

ANSWERS

✓ Answer 1

Mariah's gain before reliefs is:

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000

Qualifying for gift relief = 80,000 × 440/500 = £70,400

The daughter is deemed to have bought the shares for their market value of £200,000.

The £70,400 of deferred gain is transferred over and reduces the base cost of the donee.

The daughter therefore acquires the shares as at the date of the gift with a base cost as follows:

Cost	200,000
Less: Rolled over gain	(70,400)
Base cost	129,600

✓ Answer 2

	£
Proceeds (MV)	90,000
Less: Cost	(25,000)
	65,000
Less: Gift relief	(42,000)
Gain (48,000 – 25,000)	23,000

The amount that can be deferred is £42,000.

CHAPTER 24

PARTNERSHIP CAPITAL GAINS

By the end of this chapter you will understand:
– how a partnership is treated for capital gains tax purposes
– how to calculate gains on disposals of assets by a partnership
– how to calculate gains on distributions of assets between partners

24.1 Introduction

Where a partnership exists, we need to be able to deal with the capital gains tax implications when an asset is disposed of or **an asset is distributed to a partner**.

We will now look at the various situations described above and determine the CGT treatment.

24.2 Section 59 TCGA 1992

Our starting point when looking at partnership capital gains tax is s.59 TCGA 1992. S.59 tells us that 'where 2 or more persons carry on a trade or business in partnership, tax in respect of chargeable gains accruing to them on the disposal of any partnership assets shall be assessed and charged on them separately'. TCGA 1992, s.59

S.59 also tells us that any partnership dealings are treated as dealings by the partners and not by the firm as such. Therefore, by virtue of s.59, if a partnership disposes of a chargeable asset and makes a capital gain, that resulting capital gain is charged on the **individual partners** and not on the partnership itself. **Partnerships therefore do not pay capital gains tax**.

Similarly, **partnerships do not pay income tax**. If a partnership makes a trading profit, that trading profit is allocated between the partners and each individual partner pays income tax on their share of the partnership profits as trading income. S.59 TCGA 1992 is effectively a mirror image for capital gains tax.

If a partnership makes a capital gain, details of the gain must be disclosed on the **partnership tax return**, along with details of how that capital gain is allocated between the individual partners. Each partner then discloses their share of that gain on their individual self-assessment return.

24.3 Disposals of Assets by a Partnership

Paragraph 2 of SP D12 deals with disposals of assets by a partnership to an **unconnected third party**. On the sale of an asset by a partnership, each partner is deemed to have disposed of a fractional share in the assets. Essentially, assets owned in the name of a partnership are, for CGT purposes, treated as owned by the individual partners themselves, and on a disposal of that asset, each partner will make a capital gain or loss. SP D12, para 2

Proceeds are allocated between the partners using agreed **capital-sharing ratios**. Such capital-sharing ratios are normally determined by the partnership agreement.

Where the partnership agreement does not specifically lay down the allocation of capital surpluses, the proceeds of sale will be the **actual destination** of the capital surpluses as shown in the partnership accounts. It is quite common for capital-sharing ratios to be the same as profit-sharing ratios for taxable profit purposes; however, this will not always be the case.

The acquisition costs of partnership assets are allocated between the partners in exactly the same way, using the capital-sharing ratios. Proceeds less cost will give **each partner a capital gain or loss** on the sale of their share of the asset. Each partner will be assessed on this gain **separately** via the individual self-assessment returns. As we have already mentioned, there is **no partnership capital gains tax liability**, although details of the gain will need to be disclosed on the partnership tax return.

Illustration 1

Alan and Belinda are in partnership. The partnership owns an office building, bought for £100,000. In July 2022, the partnership sells the office to an unconnected third party for £500,000. As per the partnership agreement, Alan is entitled to 75% of any capital profits, with Belinda entitled to the remaining 25%.

Calculate the chargeable gains on the sale of the office building for Alan and Belinda.

We need to calculate two capital gains – one on the disposal of Alan's 75% interest, the other on the disposal of Belinda's 25% interest.

	Alan (75%)	Belinda (25%)
	£	£
Proceeds	375,000	125,000
Less: Cost	(75,000)	(25,000)
Gains	300,000	100,000

These gains will be disclosed on Alan and Belinda's individual self-assessment returns and will be separately charged to tax. As with income tax, there is **no 'joint and several' liability** for capital gains tax. Therefore, neither partner can be held liable for the other partner's tax. As the gains are charged on the partners separately, each partner is entitled to relief for their own losses or annual exempt amount if available.

The individual partners can **make claims for relief in respect of any gains as normal**. For example, if the asset disposed of is a qualifying asset for rollover relief purposes, a claim for rollover relief can be made by an individual partner if a qualifying reinvestment is made within the normal qualifying period.

In addition, if the partnership ceases and the assets of the partnership are sold, claims could be made by the individual partners for business asset disposal relief, provided the normal conditions have been met, ie the partner had been a partner for two years prior to the date of cessation and the assets are sold within three years of that date.

24.4 Distributions of Assets between Partners

Paragraph 3 of SP D12 deals with the distribution of partnership assets among the individual partners. Assets will most commonly be passed between the partners either on the dissolution of the partnership, or where one or more of the partners leave or retire, although it can occur between continuing partners. SP D12, para 3

It is important to appreciate that what we are looking at here is the situation where a partnership asset ceases to be owned by the partnership but is now owned wholly by an individual partner.

➢ Illustration 2

Mike, Nigel and Ollie are in partnership and share profits 50%, 30% and 20% respectively. The partnership owns a building. Ollie retires, leaves the partnership and at this point the building is transferred to him.

After Ollie's departure, Mike and Nigel continue to trade and will share profits equally. For capital gains tax purposes, Mike and Nigel are treated as having given up a 50% and a 30% share of a partnership asset, this being a **disposal by Mike and Nigel** for CGT purposes. As far as Ollie is concerned, his fractional share in the asset goes up from 20% to 100%, and therefore Ollie has made a **capital acquisition** for CGT purposes. We therefore need to calculate the capital gain for Mike and Nigel, and the new base cost of the asset for Ollie.

Paragraph 3 of SP D12 tells us that the partner receiving the asset – in this instance, Ollie – is **not** treated as making a disposal for CGT purposes, and no capital gain is therefore charged on him. However, the partners **giving up** the asset – in this instance, Mike and Nigel – are deemed to have made gains. These gains are charged to CGT at the time that the asset is distributed. To calculate the capital gain and the revised base cost, there is a three-step procedure.

Step 1 Calculate the chargeable gains which would have arisen had **all** the partners disposed of their fractional shares at **market value**. Effectively we calculate a capital gain in the hands of **each** of Mike, Nigel and Ollie, assuming the asset had been sold by them to an outside third party for its market value.

Step 2 The gains accruing to the partners **giving up** the asset are **immediately** charged to capital gains tax.

Step 3 The gain accruing to the partner **receiving** the asset, is only a **notional** gain and is not charged to CGT. Instead, the receiving partner is deemed to have **bought** the asset for an amount equal to the market value of the asset, **less this notional gain**. In effect, the notional gain is **rolled over** and reduces Ollie's CGT base cost.

➢ Illustration 3

Mike, Nigel and Ollie share capital profits, 50%, 30% and 20% respectively.

The partnership jointly owns a building which it bought for £100,000 in January 2000. Ollie retires from the partnership. The asset passes to Ollie and has a market value of £500,000 at the date of the distribution.

Calculate the chargeable gains arising on the distribution of the building and the base cost for Ollie going forward.

According to paragraph 3 of SP D12, we first calculate the gain that would have arisen had the partners sold the asset for its market value.

Gains:	Mike (50%)	Nigel (30%)	Ollie (20%)
	£	£	£
Market value	250,000	150,000	100,000
Less: Cost	(50,000)	(30,000)	(20,000)
Gains	200,000	120,000	80,000

As Mike giving up a 50% interest in the asset, he will be charged on a gain of £200,000 at the time of the distribution. As Nigel giving up a 30% interest in the asset, he will be charged on a gain of £120,000 at the time of the distribution.

However, as Ollie is not giving up a part of the asset, his **'notional gain'** of £80,000 will not be charged to capital gains tax. Ollie's interest in the partnership asset is now 100%. Ollie is deemed to have acquired the asset for its market value at the date of distribution of £500,000.

However, Ollie's CGT base cost to be carried forward is the market value of the asset, less his notional gain.

Base cost for Ollie:

Market value	500,000
Less: Notional gain	(80,000)
Base cost	420,000

Effectively, the notional gain is rolled against the base cost, leaving Ollie with a CGT base cost of the asset of £420,000.

EXAMPLES

❖ Example 1

Farouk and Geran are in partnership sharing income and gains 60:40. The partnership owns 90% of the shares of FG (Holdings) Ltd, an unlisted investment company. The shares cost £60,000.

The partnership sold half the shares (a 45% holding) on 1 October 2022 for £90,000.

Calculate Farouk's chargeable gain arising on the sale.

❖ Example 2

Hayley, Imogen and Jessica are in partnership sharing income and gains 40:20:40. The partnership owns a property which cost £50,000.

On 1 January 2023 Jessica left the partnership. The property was worth £200,000 at that date. She took over sole ownership of the property. Jessica sold the property on 1 March 2024 for £240,000.

Calculate Jessica's chargeable gain in 2023/24.

ANSWERS

✓ Answer 1

	£
Proceeds:	
60% × 90,000	54,000
Less: Cost	
60% × 60,000 × ½	(18,000)
Gain	36,000

✓ Answer 2

1. Jessica leaving – January 2023

	Hayley (40%)	Imogen (20%)	Jessica (40%)
	£	£	£
Market value of property	80,000	40,000	80,000
Less: Cost	(20,000)	(10,000)	(20,000)
Gains	60,000	30,000	60,000
	Charged	Charged	Notional

Base cost for Jessica:	£
Market value	200,000
Less: Notional gain	(60,000)
Base cost	140,000

2. Sale of property – March 2024

	Jessica (100%)
	£
Proceeds	240,000
Less: Base cost	(140,000)
Gain	100,000